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What's News

Business & Finance

- ◆ **Oil prices retreated** and stocks climbed, with crude futures falling 7.2% and the S&P 500, Dow and Nasdaq gaining 1%, 0.9% and 0.9%, respectively. **A1**
- ◆ **Novo Nordisk ended** its partnership with Hims & Hers after accusing the telehealth company of illegally selling cheaper copies of its weight-loss drug and engaging in deceptive marketing. **B1**
- ◆ **Fair Isaac Corp. said** it would introduce a new model that factors “buy now, pay later” loans into its credit scores. **A14**
- ◆ **Fiserv said it plans** to launch a stablecoin and platform that could be used by about 3,000 regional and community client banks. **B1**
- ◆ **German media group Axel Springer** said it plans to double its value within five years supported by AI, calling time on the business model of maximizing clicks and advertising. **B3**
- ◆ **Alibaba folded its** food-delivery and online-travel services into its core e-commerce unit, streamlining operations in the face of fiercer competition. **B3**
- ◆ **Continental teamed up** with semiconductor company GlobalFoundries to design its own computer chips for vehicles. **B4**
- ◆ **Semiconductor supplier Wolfspeed** signed a deal with top creditors to cut roughly \$4.6 billion in debt through a bankruptcy filing. **B4**
- ◆ **Hotel owners were** in open revolt against Los Angeles’s new \$30-an-hour minimum wage, the latest blow to one of the country’s poorest-performing lodging markets. **A1**

World-Wide

- ◆ **Trump said Iran and Israel** agreed to a cease-fire to begin following their final military operations, hours after Iran fired missiles toward Al Udeid air base in Qatar, the largest U.S. military base in the Middle East. **A1**
- ◆ **Israel is looking to** wrap up its war with Iran soon, Israeli and Arab officials said, capitalizing on the U.S. attack on key Iranian nuclear sites to accelerate an end to the fighting. **A8**
- ◆ **Half-a-dozen ships** since Sunday have diverted course on their way to the strategically situated and vulnerable Strait of Hormuz. **A9**
- ◆ **The Supreme Court** cleared the way for the Trump administration to swiftly deport migrants, including a group of men bound for South Sudan, to countries not their own. **A2**
- ◆ **New York intends** to build a large nuclear-power facility, the first major new U.S. plant undertaken in more than 15 years, with the state’s governor calling for at least 1 gigawatt of new generation. **A3**
- ◆ **The number of abortions** in the U.S. accessed through telemedicine is growing, as are challenges to the avenue that has allowed patients to circumvent near-total abortion bans in some states. **A3**
- ◆ **The Senate is** considering a change to fuel-economy rules that would kneecap the policy that dramatically reduced gas consumption and helped create fuel-efficient cars. **A4**
- ◆ **A bipartisan group** of lawmakers is aiming to close a loophole that allows large insurers to charge Medicare to cover veterans who get treatment through the VA system. **A4**

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Trump Says Iran, Israel Agree to Truce



Each side reports attacks overnight, hours after Tehran targeted U.S. base

President Trump said Monday that Iran and Israel agreed to a cease-fire to begin following their final military operations, hours after Iran fired a missile barrage against the largest U.S. military base in the Middle East.

By Stephen Kalin, Lara Seligman and Summer Said

In a social-media post Monday night, Trump said Israel and Iran have agreed to a “complete and total cease-fire” that would begin in phases over the course of Tuesday.

Iranian Foreign Minister Abbas Araghchi said on X that his country would halt its attacks as long as Israel’s bombardments ended by 4 a.m. Tuesday local time. He later said Iran’s forces had fought up to the last minute of that deadline.

Araghchi said earlier there had yet to be an agreement on a cessation of hostilities. Israel didn’t comment on Trump’s announcement of a cease-fire.

Trump posted that both Iran and Israel had come to him looking for a deal. His comments came as Israel’s military warned residents of incoming missiles from Iran.

Fighting continued overnight, as Iranian state media said air defenses went off amid explosions in Tehran, while Israeli emergency responders said three people were killed in an Iranian missile attack early Tuesday.

Earlier on Monday, Trump said the U.S. received advance notice of Iran’s plan to attack a U.S. base in Qatar. All but one of 14 missiles launched toward Al Udeid air base in Qatar were shot down by U.S. *Please turn to page A8*

- ◆ **Israel aims to end fight with Iran.....** A8
- ◆ **Ships diverted from Strait of Hormuz.....** A9



Remnants of an Iranian missile that was intercepted over Qatar, top, and missiles over the capital city of Doha on Monday.

Oil Drops, Stocks Rise After Attack

By ALEXANDER OSIPOVICH

Oil prices retreated and stocks climbed after Iran’s retaliation against the U.S. avoided striking critical energy infrastructure on Monday, easing fears that the conflict in the Middle East would roil crude markets.

U.S. oil futures fell 7.2% after Iran launched missiles at a U.S. base in Qatar, with no casualties reported. The drop was a sharp reversal from Sunday night, when U.S. oil prices surged more than 6% in response to the U.S. bombing of Iran’s nuclear sites over the weekend.

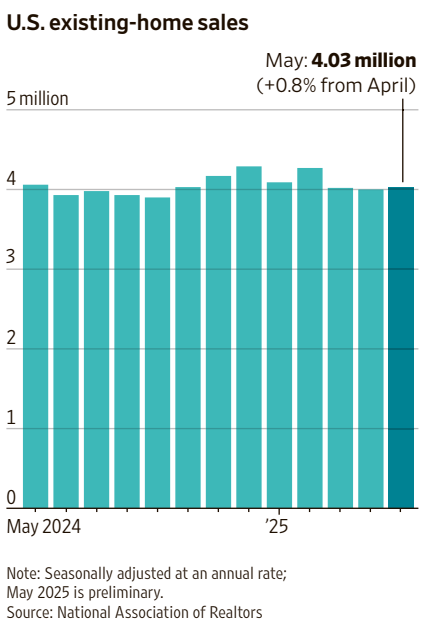
President Trump’s decision to bomb Iran had raised fears that Tehran might retaliate by choking off the Strait of Hormuz, a key bottleneck for Middle East oil exports. Instead, Iran opted on Monday to strike U.S. military facilities in the region—with little immediate impact. Officials said the

missile attack on Al Udeid Air Base, where the U.S. has a large military presence, was intercepted. Iran also warned Qatar ahead of the attack, Arab officials said. *Please turn to page A9*

- ◆ **Frackers say no to Trump on drilling.....** B1

Home Sales Inch Up

Sales of existing homes rose slightly in May, up 0.8% from the previous month. Sales were better than expected but still subdued. The spring market is usually the busiest time of the year for the housing industry, yet prospective buyers are staying away because of high home prices. **A2**



Meatpacking Plant’s Pitch To Attract American Workers

Nebraska factory has ergonomic stations, no night shift as immigration crackdown threatens traditional labor force

NORTH PLATTE, Neb.—Angela Jones feels fortunate to have landed a job at the new meatpacking plant in this stagnant prairie

By Scott Calvert, Arian Campo-Flores and Patrick Thomas

town she’s long called home. She earns \$24.50 an hour—far more than she made as a convenience-store clerk, custodian or construction flagger—and has health insurance for the first time in over 20 years.

But she’s also felt stress learning her quality-control duties, such as scrutinizing meat cuts moving down the line and ensuring workers properly sanitize their tools. Days before the May opening, she confided her concerns to the human resources and safety manager, who tried to buck her up with a pep talk.

“I just don’t want to disappoint the company,” Jones, 58, said from under her yellow hard hat. “Or myself.”

A similar mix of optimism and nervousness *Please turn to page A12*

A Creepy Doll Pushes People To Extremes

Devotees will do almost anything to snag a Labubu

By SHEN LU

Creepy little trolls started popping up on Shannon Goodwin’s TikTok feed in March. Before she knew it, she had plunged deep into their world.

She is now storing dozens of keychain versions of the “ugly little critters,” also known as Labubus, in a closet alongside her Louis Vuitton bags to avoid being judged by her teenage daughter.

Feeding her addiction hasn’t been easy. Labubus are constantly out of stock. Some plushies can fetch hundreds of dollars on the second-hand market. On Google, searches for Labubu have beaten out *Please turn to page A12*

New \$30 Hourly Pay Vexes L.A. Hoteliers

By KATE KING

Hotel owners are in open revolt against Los Angeles’s new \$30-an-hour minimum wage, the latest blow to one of the country’s poorest-performing lodging markets.

This was supposed to be a great time to own a hotel in L.A. The area will soon be at the center of the globe’s premier sporting events, first as a host city for eight World Cup soccer games next year, and then the Super Bowl the following year. In 2028, L.A. hosts the Summer Olympic Games.

But a pullback in foreign visitors and other issues have caused the L.A. hotel business to stumble again this year.

Now, hotel owners have to contend with what local union leaders said will be the highest minimum wage in the country. The City Council voted last month to boost the wage for workers in hotels

with 60 rooms or more. Hourly pay, currently \$20.32, will increase every year until it reaches \$30 in 2028.

The industry is mounting an effort to roll back the new minimum-wage law. Los Angeles hotel owners are petitioning to suspend the city’s new ordinance, and several hotel owners have also threatened to pull out of agreements to provide blocks of rooms during the Olympic Games.

Some hoteliers said they were already eager to exit L.A., if only they could find an off-ramp. “We would love to sell” our L.A. hotels, said Jon Bortz, chief executive of Pebblebrook Hotel Trust, which owns two hotels in the city and seven more in the L.A. area. “But nobody will buy them.”

Others said they are canceling renovation projects, closing or scaling back their hotels’ restaurants and could eliminate *Please turn to page A4*

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U.S. NEWS



Federal Reserve Chair Jerome Powell will be on Capitol Hill on Tuesday for regularly scheduled testimony before Congress on monetary policy.

Trump Puts Powell in No-Win Scenario

President’s repeated calls to lower rates complicate decision for Fed chief, board

By NICK TIMIRAO

President Trump has escalated his long-running public attack on the Federal Reserve, creating a lose-lose situation for the central bank as it navigates the risks of higher prices and weaker growth from tariffs. The assault has little modern precedent and forces the Fed to confront a dreadful choice: It could cut rates sharply as Trump wants and risk fueling inflation that damages its credibility with markets. Or it could maintain its current wait-and-see stance, and face further bullying that would weaken its standing if the economy slows sharply and the administration is validated in its view that inflation shouldn’t be a worry. The presidential pressure is being applied at the same time that a divide is opening up among Fed policymakers that could further complicate Chair Jerome Powell’s effort to balance political and economic hazards in the months ahead. Among Fed officials who have spoken since last week’s

meeting, the first to signal any appetite to cut rates at the Fed’s next meeting in late July have been the two appointed by Trump in his first term. Michelle Bowman, the Fed’s vice chair for bank supervision, said in a speech Monday she was more worried about risks of weaker employment than higher inflation—a meaningful shift for a policymaker who was previously highly focused on inflation worries. Fed governor Christopher Waller said in a CNBC interview Friday that he could support a rate cut next month because he worries about allowing too much labor market weakness. Powell faces Congress Tuesday for regularly scheduled testimony on monetary policy. How lawmakers regard Powell’s performance will be a key gauge of support for Fed independence. The central bank has in recent decades operated with a measure of independence in order to set monetary policy free of direct political control, which Powell has worked assiduously to defend.

High stakes

The stakes extend far beyond current policy debates. Powell’s term expires in less than a year. Trump could establish a tem-

plate for presidential influence that reshapes the central bank, with his relentless criticism serving as both a warning to Powell’s successor and a casting call for replacements who signal they will appease him. If future central-bank leaders feel more compelled to consider political preferences alongside economic data, decades of credibility that anchor global confidence in U.S. monetary policy could be degraded. On Friday, Trump called on Powell to reduce the central bank’s policy rate, currently around 4.3%, to between 1% and 2% to lower rising costs to service the federal debt. Other Trump advisers, including Commerce Secretary Howard Lutnick, have amplified the president’s criticisms of monetary policy by arguing that worries about tariff-driven inflation are being exaggerated. Since meeting with Powell privately in the Oval Office last month, Trump has unleashed a torrent of insults. “I don’t know why the Board doesn’t override this Total and Complete Moron!” said Trump in a social-media post on Friday. Powell has said the Fed makes its decisions based on its best analysis of the economy. “From my standpoint, it’s not complicated. What everyone [at the Fed] wants is a

good, solid, American economy,” he said last week. In speeches in the past two months, former Fed governor Kevin Warsh has said the central bank is to blame for attacks on its conduct. “I read breathlessly in the newspapers how mean these politicians are to the central bank. Well, grow up! Be tough,” said Warsh, a leading candidate for Fed chair, at a panel discussion last month.

Nixon mischief

Presidential pressure over Fed chairs isn’t new, but it used to happen in private. In the 1960s, President Lyndon Johnson physically intimidated his Fed chair, William McChesney Martin Jr., after summoning him to his Texas ranch; seated together on the porch, they later played down any conflict to reporters. In the 1970s, President Richard Nixon and his advisers planted a false story in the press that chair Arthur Burns was seeking a pay raise while arguing for price and wage controls. Burns ultimately yielded to White House pressure. The high inflation that followed in the 1970s was cured by punishing recessions in the early 1980s. Ever since, central bankers in the U.S. and other advanced economies have

tried—and largely succeeded—in building support among the government for greater independence, arguing that it leads to better economic outcomes. “It is normal for presidents to put pressure on the Fed chair, but Trump’s feel different. His attacks are more vicious, constant, and public,” said Mark Spindel, an investment manager who co-wrote a history of Fed independence. Powell became Fed chair in 2018 after Trump appointed him, and the president frequently bashed Powell for being too slow to support the economy by lowering interest rates. Trump’s critiques over the past week have been different. Republicans in Congress and Trump’s White House have found it more difficult than expected to cut spending and reduce deficits. That has led the president to press for lower interest rates to bring down growing payments on the federal debt, which this year could exceed what the U.S. spends on the military. The attacks put the Fed in a communications bind. If the Fed isn’t seen as acting in the country’s best interest, it will be harder for the institution to make the at-times difficult but necessary decisions to slow the economy to control inflation.

Court Clears Removal Of Migrants To Third Countries

By MARIAH TIMMS

The Supreme Court on Monday cleared the way for the Trump administration to swiftly deport certain migrants to countries they aren’t from. The court’s conservative majority stayed a lower-court order that said individuals set to be deported to third countries must be given meaningful notice of their intended destination, allowing them time to raise objections. The Trump administration, which asked the Supreme Court to intervene, argued a trial judge had improperly interfered with the president’s authority over foreign affairs. As is typical in emergency orders from the high court, the majority didn’t explain its reasoning. The court’s three liberals dissented and accused the majority of ignoring due-process requirements for migrants who may be sent to unfamiliar countries. “Apparently, the Court finds the idea that thousands will suffer violence in far-flung locales more palatable than the remote possibility that a District Court exceeded its remedial powers when it ordered the Government to provide notice and process to which the plaintiffs are constitutionally and statutorily entitled,” wrote Justice Sonia Sotomayor, joined by Justices Elena Kagan and Ketanji Brown Jackson. The case involved a class of migrants who were facing final orders that allowed them to be removed from the U.S. The Supreme Court’s order doesn’t resolve questions about the Trump administration’s legal obligations to the migrants, which continues to be litigated in the lower courts. But practically speaking, it could have an



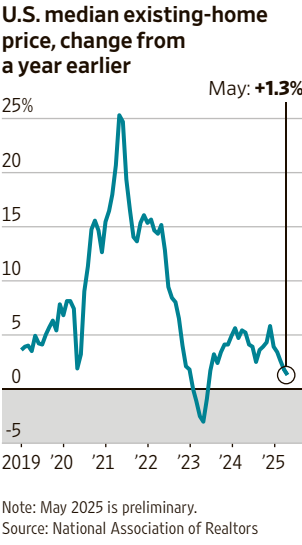
Justice Sonia Sotomayor

Home Sales Rise, but Market Remains Sluggish

By NICOLE FRIEDMAN

Sales of existing homes rose slightly in May but held near historically low levels, the latest sign that buyers are staying away because of high home prices. U.S. existing-home sales rose 0.8% in May from the prior month, the National Association of Realtors said Monday. Sales were better than expected. Economists surveyed by The Wall Street Journal had estimated a monthly decrease of 1.3%. But they were still subdued, coming in at a seasonally adjusted annual rate of 4.03 million. That was the slowest sales pace for any May since 2009. The spring market is usually the busiest time of year for the housing industry, but this year’s spring has been a bust, putting the market on track for its third straight year of anemic sales. Homes are sitting on the market longer because buyers are turned off by prices that hover near all-time highs and mortgage rates that have been stuck above 6.5%. The number of homes for sale is rising, a relief for buyers

after years of historically low supply. But that has failed to spark much activity because of the wide gap between what is available for sale and what buyers can afford. Households earning \$100,000 a year could afford to buy 37% of the homes listed on the market in March, according to an analysis by NAR and Realtor.com. Six years earlier, when mortgage rates and typical home prices were lower, a household earning that same amount could afford 65% of available listings. “With the interest rates, everyone’s looking for a deal,” said Dana Hall-Bradley, a real-estate agent in Celebration, Fla. “The buyers are not making decisions as quickly as they were during the pandemic days.” May home sales fell 0.7% from a year earlier. The monthly gain was the first in three months. As buyers are gaining negotiating power, price growth is slowing. About one in four listings on Zillow got a price cut in May, the highest proportion for any May since at least 2018, Zillow said. Metro areas in the South-



east and Southwest have more sellers than buyers, while some parts of the Midwest and Northeast still have more buyers than sellers, according to a recent Redfin analysis. Jane Coloccia and Victor Teixeira listed their Gearhart, Ore., home for sale in January and cut the price in February. They sold the house in May for about 7% below their initial listing price. “It’s definitely turning from a seller’s market into more of a

buyer’s market,” Coloccia said. “I think that a lot of people just couldn’t afford the mortgage.” Home prices are within striking distance of their all-time high of \$426,900 in June 2024. The national median existing-home price in May was \$422,800, up 1.3% from a year earlier and the highest median home price for any May, NAR said. The year-over-year price growth was the slowest since June 2023. “Consumers are not getting into the market,” said Lawrence Yun, NAR’s chief economist. “I would attribute that to the affordability challenges.” The May data largely reflect purchase decisions made in April and March. Tariff announcements in April caused stock-market volatility and prompted some buyers to cancel home purchases. The inventory of homes is rising because some sellers have life events that mean they have to move, such as job relocations or growing families. Rising property-tax and home-insurance costs in some regions are also making homeownership more expensive and prompting some investors and second-home owners to sell.

Nationally, there were 1.54 million homes for sale or under contract at the end of May, up 6.2% from April and up 20.3% from May 2024, NAR said. The typical home sold in May was on the market for 27 days, up from 24 days a year earlier, NAR said. For buyers who are in the market this spring, the increase in inventory is making it easier for them to negotiate. Pratik Divekar and Shruti Urkude wanted to buy a home before their older child started kindergarten, but they were surprised how competitive the market was in the suburbs east of Seattle. They expanded their search area farther north and found more available inventory. They bought a four-bedroom home in April for about 7% under the initial listing price. Even with that price discount, “the math doesn’t make sense at all to buy” compared with renting, Divekar said. “Hopefully, in a few years the market will improve, mortgage rates go down, and then we’ll be in a better position.” News Corp, owner of the Journal, operates Realtor.com under license from NAR.

immediate impact, with the administration signaling it plans to move quickly. “DHS can now execute its lawful authority and remove illegal aliens to a country willing to accept them,” said Department of Homeland Security spokeswoman Tricia McLaughlin. “Fire up the deportation planes.” Trina Realmuto, executive director of the National Immigration Litigation Alliance, whose group is representing the migrants in the case, said the order “strips away critical due process protections that have been protecting our class members from torture and death.” The Supreme Court blocked an order from U.S. District Judge Brian Murphy in Boston, who ruled the administration must give migrants time to raise concerns about potential persecution or fear of torture where they are being sent—with more time after that if their fears are reasonable. That ruling was put to the test in May when immigration officials on short notice loaded a plane bound for South Sudan with eight migrants, only one of whom was born there. Trump officials have said the men were previously convicted of crimes ranging from robbery to sexual assault and murder. The administration argued the president has the authority to remove serious criminals from the U.S., even when their home countries are unwilling or unable to take them back. Lawyers representing some of the men told Murphy their clients didn’t have a fair chance to challenge their deportation to South Sudan, a politically unstable country in East Africa. Murphy, appointed by former President Joe Biden, agreed. In an emergency ruling while the South Sudan flight was in progress, he said the deportations violated his prior directive and ordered the government to give them an opportunity to contest their removals.

CORRECTIONS & AMPLIFICATIONS

A photo with a Page One article on Saturday about pharmaceutical exports from Ireland incorrectly showed a Merck KGaA facility rather than the Merck & Co. facility where the drug Keytruda is made.

Seven of Accenture’s 13 industries grew at a high single-digit rate or better in the third

quarter, Chief Financial Officer Angie Park said. A Markets & Finance article on Saturday about the consulting firm incorrectly attributed the statement to Chief Executive Julie Sweet.

A Mitch Epstein photo from 2004 showed water vapor coming from a West Vir-

ginia coal-burning power plant. A Review article on Saturday about the photographer incorrectly called the emissions smoke.

An Off Duty travel article on June 14 about visiting Dubuque, Iowa, omitted the credit for the map illustrator, Aly Miller.

Readers can alert The Wall Street Journal to any errors in news articles by emailing wsjcontact@wsj.com or by calling 888-410-2667.

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U.S. NEWS

New York Aims to Build Nuclear Plant

By RYAN DEZEMBER
AND JENNIFER HILLER

New York intends to build a large nuclear-power facility, the first major new U.S. plant undertaken in more than 15 years.

Gov. Kathy Hochul said in an interview that she has directed the state's public electric utility to add at least 1 gigawatt of new nuclear-power generation to its aging fleet of reactors. A gigawatt is roughly enough to power about a million homes.

"I'm going to lean into making sure that every company that wants to come to New York and everyone who wants to live here will never have to worry about reliability and affordability when it comes to their utility costs," she said.

The New York Power Authority—created nearly a century ago by then-Gov. Franklin D. Roosevelt to manage hydro-power production on behalf of the public—will find a site in upstate New York and determine the reactor's design. The utility may pursue the project alone or in partnership with private entities, Hochul said.

The project could help jump-start a new era of U.S. nuclear-reactor construction. The nuclear industry has struggled for more than three decades to do much more than manage existing plants because of safety concerns, huge cost overruns and permitting processes that move at a glacial pace.

The project will also offer a practical assessment of the executive orders President Trump signed in May that aim to accelerate development of nuclear-power projects.

Hochul and the president last month had discussions that resulted in Trump lifting his stop-work order on a big offshore wind project and the revival of two left-for-dead natural-gas pipeline projects.

Only five new commercial reactors have come online in the U.S. since 1991, which hasn't been enough to offset plant retirements.

Nuclear-generation capacity is down more than 4% from its 2012 peak while other means of producing electricity have boomed, including with solar panels and natural-gas fueled turbines. Federal energy forecasters expect nuclear capacity to decline further, though there is interest in extending operating licenses for older plants. Nuclear plants produce about 19% of U.S. electricity.

Among notable retirements was the Indian Point nuclear plant roughly 40 miles upriver from Manhattan, which was closed in 2021 because of environmental concerns and its proximity to so many people down the Hudson River.

Concern over catastrophic accidents flared up following the 2011 meltdown at Japan's Fukushima Daiichi plant.

Besides the need for emissions-free baseload power to pair with intermittent renewable sources like wind and so-

Closure Lifted Emissions

A consequence of closing the Indian Point plant, which satisfied about 25% of the electricity needs of New York City, is that the state suddenly had to burn more fossil fuels to keep the lights on. That lifted greenhouse-gas emissions as most other energy policies in the city and the state were aimed at reducing air pollution.

"There was no Plan B," Gov. Kathy Hochul said.

Since then, however, nuclear power has experienced a sharp reversal in popularity, emerging as an unlikely winner in the political fight between supporters of fossil fuels and those in favor of renewables. Technology companies building power-hungry artificial-intelligence data centers have been particularly gung-ho about nuclear power.

Despite the risks and radioactive waste involved, supporters point to nuclear plants' ability to produce a round-the-clock flow of electricity without greenhouse-gas emissions.

lar, Hochul said she was emboldened by Trump's push to speed up the federal permitting process.

Meanwhile, she said, local support for Microsoft's plan to restart the undamaged reactor at Pennsylvania's Three Mile Island power plant, suggests that concerns around nuclear safety have eased and confidence in the technology has improved since a partial core meltdown in 1979 set back the industry by decades.

"That is a place now where the community around it has overcome that traumatic experience," she said. "That's a real signal to the rest of the country that the time has come."

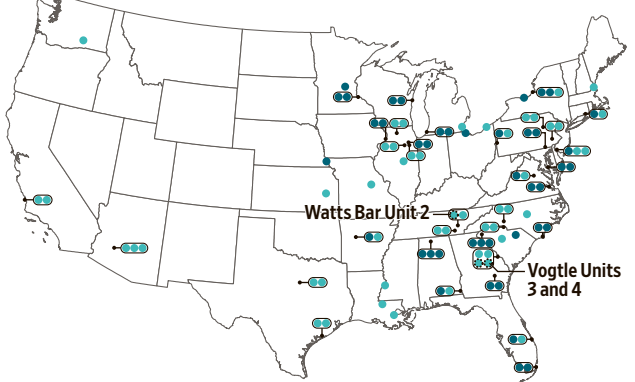
Potential sites under review for the new plant include the grounds of New York's three operating plants, all owned or majority-owned by Constellation Energy.

Constellation and New York are already working together on a federal grant that could help with early work toward adding one or more reactors at the Nine Mile Point Clean Energy Center in Oswego.

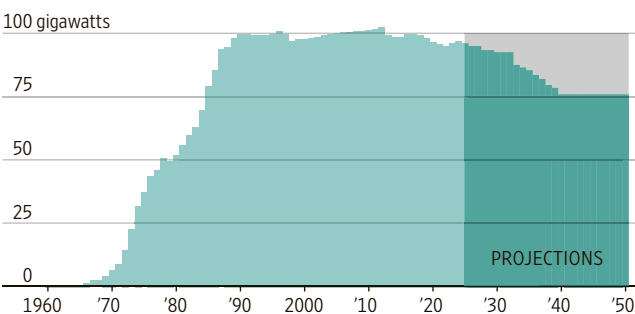
New York is arranging with Canadian officials to study efforts in Ontario to build four small modular reactors. Smaller reactors that could be built in a factory setting, one after the next, could in theory drive down costs and overcome one of the industry's stumbling blocks.

Growing demand for power is driving a push for new plants.

Active nuclear reactors by age ● Pre-1980 ● Post-1980 ○ Most recently constructed



U.S. nuclear-power generation capacity



Sources: Nuclear Regulatory Commission (active reactors); Energy Information Administration (capacity)



The image above, released Monday by the Vera C. Rubin Observatory in Chile, combines 678 separate images taken in just over seven hours of observing time. The U.S.-funded observatory, left, is in an area of the Andes known for dark skies.

World's Largest Digital Camera Snaps Its First Pics of the Universe

By PATRICIA GARIP

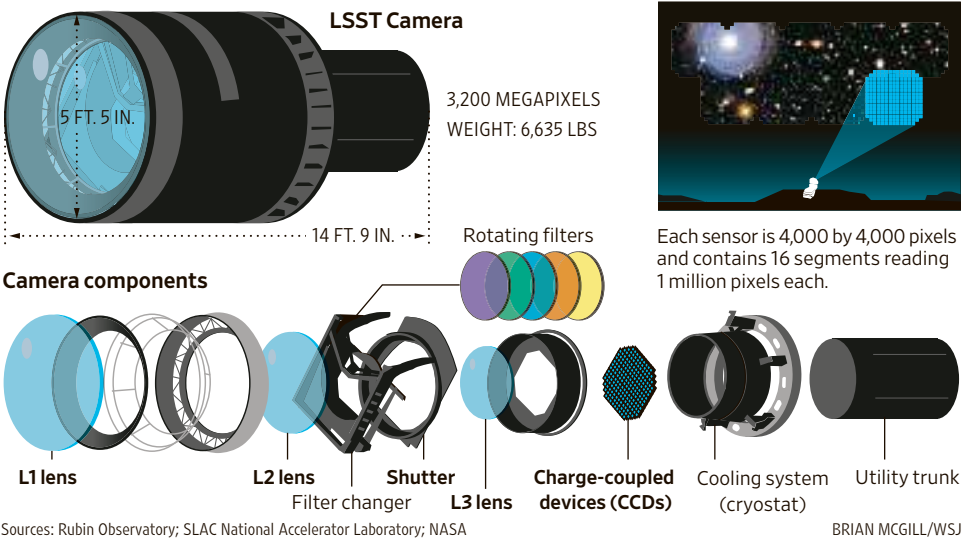
CERRO PACHÓN, Chile—The Vera C. Rubin Observatory on Monday released its first dazzling images of deep space in a preview of the cosmic movie the pioneering probe was built to create.

The U.S.-funded observatory, perched in an area of the Chilean Andes known for exceptionally dark skies, is equipped with the world's largest digital camera and a 27.5-foot mirror that can capture light too faint for other telescopes to see.

Together, the photos will create a dynamic time-lapse record of the southern sky—essentially a vast celestial flip-book that is expected to document 38 billion objects, from galaxies and stars to black holes and supernovae.

The project, dubbed the Legacy Survey of Space and Time, is slated to begin later this year. It will advance four science goals: inventorying the solar system, mapping the Milky Way, cataloging billions of transient space objects and unlocking the mysteries of dark matter and dark energy.

No previous telescope has peered this far and wide into space. "Pick a random spot in the sky, and usually at this level, nobody's seen it before," said Brian Stalder, a senior scientist at the observatory who was a California Institute of Technology undergraduate



Sources: Rubin Observatory; SLAC National Accelerator Laboratory; NASA

BRIAN MCGILL/WSJ

in the 1990s, when astrophysicists first brainstormed the ambitious project.

The team hit a milestone on April 15 when the observatory captured its first image of deep space—a blurry shot that moved some of the researchers to tears.

"So many people were like, oh my God, I can't believe it," said Vermont native Sean MacBride, a 26-year-old astrophysics doctoral student who works at the site.

Built for \$800 million, the observatory, funded by the National Science Foundation and U.S. Energy Department with contributions of equipment and expertise from about 30 other countries, will cost another \$800 million to

operate over 10 years.

The heart of the telescope is its 18-ton mirror, which took seven years to make at the Richard F. Caris Mirror Lab. The two-in-one glass combines an outer mirror and an inner mirror on a single surface, in a design intended to make the telescope compact and nimble.

Light from the cosmos bounces from the mirror's outer surface to a secondary mirror, back to the main mirror's inner surface, and from there to the 3,200-megapixel camera. Rubin's nightly path will be determined by an automated scheduler that will take into account research goals, atmospheric conditions and even satellite trails.

Rubin will generate a whop-

ping 20 terabytes of data every 24 hours. The public will have immediate access to a subset of Rubin data through the Rubin Observatory website, new Rubin-led web apps like Skyviewer and citizen research platform Zooniverse.

The data will revolutionize astronomy, according to Chilean astrophysicist Francisco Förster. "There are many things that have been theorized for many years," Förster said.

The team is also bracing for surprises. "We really don't know what we don't know," said astronomer Karla Peña Ramírez. "I'm sure there are going to be things that we're going to be scratching our heads about and thinking, what the hell is that?"

More Abortions Are Accessed Via Telehealth

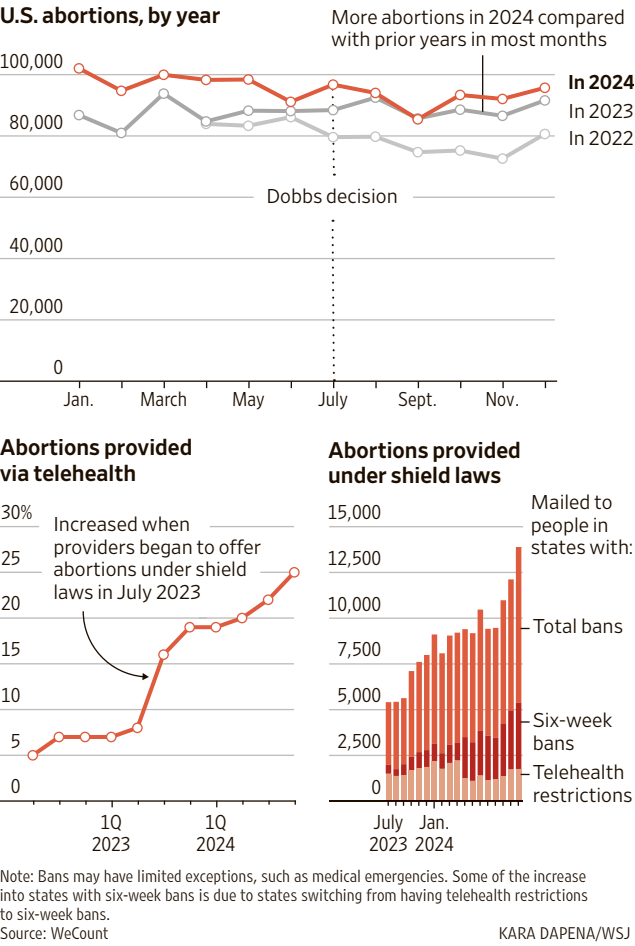
By JENNIFER CALFAS

The number of abortions in the U.S. accessed through telemedicine is growing. So are the challenges to this mechanism that has allowed patients in states with near-total abortion bans to acquire the abortion pill.

Abortions are on the rise in the U.S. despite more than a dozen states enforcing near-total bans on the procedure, according to a report released Monday by #WeCount, an abortion-data project sponsored by the Society of Family Planning, which supports abortion rights. There were more than 1.14 million abortions in the U.S. in 2024 compared with around 1.06 million in 2023, the report said.

One in four abortions in the U.S. were provided using telehealth at the end of 2024, compared with just 7% at the end of 2022, the report said. Half of those medication abortions were prescribed through telemedicine to patients living under bans by doctors operating in states with so-called shield laws. Eight states, including New York and Massachusetts, have shield laws designed to protect abortion providers from legal jeopardy, including extradition. "Telehealth has become a lifeline for so many people across the country," said Ushma Upadhyay, a public-health scientist and co-chair of #WeCount.

The acceleration of abortion via telemedicine has been fueled by a combination of these shield laws, Food and Drug Administration regulations and a patchwork of abortion access that has emerged since the Supreme



Court overturned Roe v. Wade three years ago. But this growing practice is facing a series of legal and regulatory challenges that abortion-rights activists said could further erode access and anti-abortion groups say are necessary for patient safety. Texas Attorney General Ken Paxton sued a New York-based doctor in December for allegedly violating his state's law by prescribing abortion pills to a 20-year-old pregnant patient. A Louisiana grand jury indicted the same doctor in January for allegedly prescribing abortion pills to a pregnant teenager in the state. Louisiana Attorney General Liz Murrill said in May the state is investigating a possible second case involving the same doctor.

New York Gov. Kathy Hochul said the state wouldn't comply with Louisiana's request to extradite the doctor, citing her state's shield law, and signed legislation that al-

lows doctors to leave their names off prescription labels for abortion pills. New York's Ulster County Clerk declined to file a summary judgment against the doctor for a \$100,000 penalty from Texas.

It isn't immediately clear how Texas and Louisiana will proceed. A representative for Murrill declined to comment and a representative for Paxton didn't respond to a request for comment. Legal experts have said these cases might land in federal court.

Dr. Margaret Daley Carpenter, the doctor at the center of these cases, is a co-founder of the organization Abortion Coalition for Telemedicine, one of several providers that prescribe out-of-state patients medication abortion through telehealth. Carpenter couldn't be reached for comment.

"The growing success of telemedicine has put it more on the enemies list of the anti-abortion movement," said Julie F. Kay, executive director and co-founder of ACT.

In the last quarter of 2024, shield-law practices provided an average of 12,330 abortions a month, according to the #WeCount report. They provided an average of 8,747 abortions a month in the first quarter of 2024.

Possible changes to regulations around the abortion pill could also affect how it is prescribed. The Supreme Court dismissed a case in 2024 that targeted this regulation to the abortion pill on procedural grounds. But a federal judge in Texas is considering a revived case that seeks to block clinicians from prescribing medication abortion through telemedicine and sending it by mail.

Summer in the City: Sidewalk Hotter Than a Match Head



ON BOIL: With temperatures in the high 90s as the heat wave struck parts of the Midwest and East Coast, New Yorkers carried their own breeze and shade.



Lawmakers Target VA Medicare Loophole

By Mark Maremont
And Christopher Weaver

A bipartisan group of lawmakers is aiming to close a loophole that allows large healthcare insurers to charge Medicare billions of dollars to cover veterans who get some or all of their treatment through the taxpayer-funded U.S. Department of Veterans Affairs health system.

The group introduced legislation Monday in the House and Senate that would permit the VA to charge private health insurers in the Medicare Advantage system for medical care that it provides for the insurers' members.

The bill was sparked by a December Wall Street Journal investigation, said Rep. Lloyd Doggett, a Texas Democrat and sponsor of the House legislation. The investigation found the federal government paid insurers an estimated \$44 billion from 2018 through 2021 to cover veterans in Medicare Advantage plans who were also getting healthcare through the VA.

"These big health insurers found a nifty way to profit from veterans," Doggett said. "They collect the payments and the taxpayers pay for the care."

The Journal's investigation found that more than a million aging and disabled veterans were enrolled in Medicare Advantage plans, which charged the government for their care even though many use the VA for much of their healthcare.

Under a decades-old law, the VA is prohibited from billing Medicare Advantage insurers for the care it provides their members, even though the VA can and does bill non-Medicare insurers. In Medicare Advantage, insurers get paid a lump sum by the federal government for each member, meaning they get paid even when their members don't use any services.

"It is essentially double dipping," said Rep. Greg Murphy (R., N.C.), a bill co-sponsor. "This is one of those issues that crosses party lines."

The House bill was also cosponsored by Rep. David Schweikert (R., Ariz.) and California Rep. Mark Takano, the ranking Democrat on the Committee on Veterans' Affairs.

The Senate version is backed by lawmakers including Sen. Elizabeth Warren (D., Mass.), Sen. Bill Cassidy (R., La.) and Connecticut Sen. Richard Blumenthal, the ranking Democrat on the Senate Committee on Veterans' Affairs, according to congressional staffers.

"It's a mistake to let Medicare Advantage plans exploit a costly loophole and pocket taxpayer money at the expense of veteran care," Warren said in a statement.

The Journal, using figures provided by researchers at Brown University and the Providence VA, found that the VA spent about \$17 billion caring for veterans who were Medicare Advantage members in 2021. That amounted to about 17% of the VA's health expenditures that year.

Humana leads the industry in Medicare Advantage plans covering veterans, the Journal reported in December. The company, like others in the industry, offers veteran-branded plans under the name Humana Honor, including many that offer cash-like rebates to seniors who sign up.

Humana said in a statement that "given the aging population of veterans and increasing complexity of their healthcare needs, we strongly support increased coordination between [Medicare] and VA to better ensure beneficiaries have seamless access to healthcare coverage they have earned through the VA and Medicare."

The VA encourages veterans to sign up for some form of Medicare, even if they have access to VA health, in part because Medicare gives them the choice of going to a non-VA doctor or hospital. Medicare Advantage plans offer perks that go beyond what Medicare requires, ranging from dental benefits to gym memberships.

Senate Weighs Mileage Standards' End

By Ryan Felton
And Sharon Terlep

The Senate is considering a major change to federal fuel-economy rules that would kneecap the policy that dramatically reduced gas consumption and helped create fuel-efficient cars like the Toyota Prius hybrid.

Republican senators are proposing a change to the Corporate Average Fuel Economy, or CAFE, rules as part of President Trump's wide-ranging tax and spending bill. It would eliminate fines for violating CAFE, all but nullifying rules that for generations have pushed automakers to churn out ever cleaner and more fuel-efficient vehicles. That technology has saved two trillion gallons of gasoline over the past 50 years, according to the journal Energy Policy.

Automakers including General Motors and Jeep parent Stellantis support the measure, while some of their rivals don't. Consumer advocacy groups warn that the move could keep dated technology on the road and further dependence on foreign oil sources.

"The combination of high penalties with the nearly impossible CAFE standards finalized during the previous ad-

ministration is a major problem," said John Bozzella, president and CEO of the Alliance for Automotive Innovation, which represents most major carmakers.

Trump came to office promising to cut regulations across the government. Congress last month struck down the nation's most aggressive emissions rules, and the Environmental Protection Agency has said it aims to loosen restrictions on automobile greenhouse-gas emissions.

Some carmakers have already signaled they are preparing to step up production of gas-powered cars. GM said last month it would invest \$888 million to repurpose an electric vehicle plant to make V-8 engines. Stellantis also said it is bringing back the HEMI V-8 in the 2026 Ram 1500 pickup.

GM and Stellantis say they are continuing to develop fuel-efficient technology, including on their new V-8s, but that current CAFE rules are unrealistic.

The measure would have to survive any challenges during the Senate parliamentarian's review of whether it qualifies for inclusion in the bill, done under a process called budget reconciliation. That allows budget bills to pass with a simple majority—rather than the

60 votes usually required—but only if provisions are primarily fiscal. The provision also would need approval by the House.

Several major automakers, including Toyota and Hyundai, support revisiting the standards but oppose eliminating penalties, people familiar with the matter say. Ford declined to disclose its position.

In recent years, GM and Stellantis have faced the heftiest fines. Since 2022, GM has paid \$128 million for CAFE violations, while Stellantis has paid more than \$425 million. Ford has never been fined, according to federal data. Automakers can buy regulatory credits from competitors to offset fines.

Federal and state regulations have directly affected vehicles on U.S. roads—including through fuel-saving technologies such as turbocharged engines that deliver more power, transmissions with more gears and powertrains that automatically shut off at stoplights.

Under the existing rules, automakers are hit with fines

when the average miles per gallon for their entire fleet falls short of the CAFE standard. For model year 2026, that threshold is 49 mpg.

Industry groups and other manufacturers argue that the standards, most recently increased under the Biden administration to 50.4 mpg by model year 2031, have become

exceedingly stringent.

But electric-car makers and some foreign rivals believe the proposed change could effectively render CAFE meaningless, according to people familiar with the matter.

"Automakers have proven time and time again that without strong and enforceable fuel-economy standards, many of them will leave proven, popular, and cost-effective technologies like hybrids sitting and gathering dust on the shelf," said Chris Harto, a Consumer Reports policy analyst.

The debate over fuel economy goes back to the 1970s energy crisis that led to gasoline shortages. In response, Congress started writing the

law that would create the CAFE rules.

Detroit's automakers objected, warning that the federal requirements would result in Americans' driving tiny cars. They pleaded with lawmakers to let consumer choice dictate what vehicles they made.

"This would place definite hardships on the many Americans who want and need larger cars to meet their personal requirements," Ford Motor said at the time.

President Gerald Ford signed legislation creating CAFE standards in 1975.

Bob Lutz, who had senior roles at GM, Ford and Chrysler over a nearly 50-year career, said the inception of the rules placed U.S. automakers at a disadvantage to Asian-based rivals that, at the time, were already making smaller cars. It took the domestic industry decades to recover, he said.

"We might have gone off the big V-8 beasts ourselves," he said. "Market forces could have taken us in the same direction but with less turmoil."

The proposal to eliminate CAFE fines was in the budget-reconciliation language released by the Senate Commerce Committee, which said its passage would result in modest savings for car buyers.

\$128M

Total fines GM has paid since 2022 for failing to meet fuel-efficiency standards

Hoteliers Revolt Over L.A. Wages

Continued from Page One
valet parking because of the increased labor costs.

"The quality of the experience is going to go down," Bortz said. "And that's going to hurt tourism, and it's going to leave L.A. in sort of an embarrassing situation when it comes to the World Cup and the Olympics."

Now protests over federal immigration enforcement, which escalated when President Trump sent in the National Guard and U.S. Marines, are adding to the hotel market's uncertainty. Nationally, hospitality trade groups have lobbied the Trump administration for temporary visas for hotel workers as the industry grapples with workforce shortages. The administration said earlier this month that it would pause immigration arrests at hotels, farms and restaurants, though it later said workplace raids would continue.

L.A. already has one of the slowest recoveries from the Covid-19 pandemic among the U.S.'s top 25 hotel markets, according to real-estate data firm CoStar Group.

The local hotel union, Unite Here Local 11, drove the effort to increase the wage. Representing 32,000 hospitality and other workers in Southern California and Arizona, it is one of the most powerful unions in the lodging business.

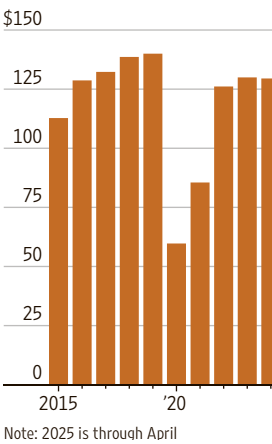
Kurt Petersen, the union's co-president, said hotel owners can pay the higher wages, especially with next year's



Hotel Palomar in Beverly Hills has been struggling with declining profitability since 2016.

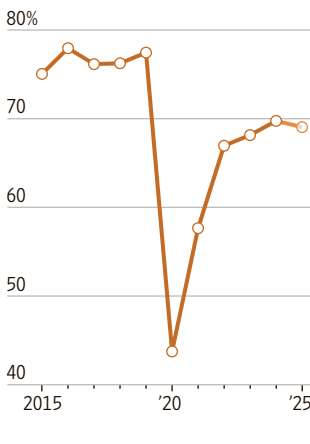
Hotels in the Los Angeles central business district

Revenue per available room

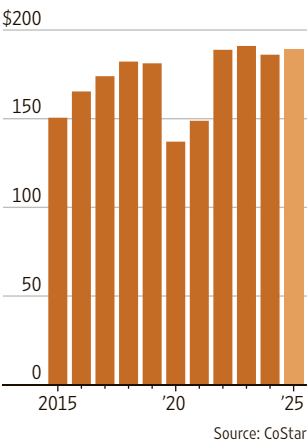


Note: 2025 is through April

Occupancy rate



Average daily rate



Source: CoStar

FIFA World Cup and NBA All-Star games, the Super Bowl and the Olympic Games all expected to juice room demand.

"Of course they can afford it," Petersen said. "Workers need to earn enough to be able to live in Los Angeles."

The median rental cost for a two-bedroom apartment in Los Angeles is \$2,383 a month, 72% higher than the

nationwide median rent, according to listing website Apartment List. The union is gathering signatures for a voter referendum to boost the wages of all L.A. workers.

The lodging industry said it was already facing serious headwinds, including a decline in international tourism after reports of foreign visitors being detained or de-

ported from the U.S.

A shift by budget-conscious travelers to short-term rentals and a 3% increase in hotel inventory since 2019 have also hurt, said Michael Stathokostopoulos, senior director of Hospitality Analytics at CoStar Group.

Even before the new minimum wage, the total average monthly cost of labor per oc-

cupied room this year at full-service hotels in the Los Angeles market had reached a record \$250 as of April, Stathokostopoulos said. That is up 6% from a year earlier and is about 36% higher than the 2019 prepandemic benchmark of \$184.

Hotel owners said they don't think the major sporting events will provide enough additional revenue to offset higher labor costs. The World Cup and Olympic Games will be held during Los Angeles's peak summer season and would therefore provide only an incremental bump, said Mark Beccaria, who owns the boutique Hotel Angeleno.

Beccaria said he is putting on hold a \$10 million planned renovation of his hotel, in part because of the minimum-wage increase.

Pebblebrook owns the W Los Angeles, not far from Rodeo Drive, and the Kimpton-branded Hotel Palomar. Both have been struggling with declining profitability since 2016.

Only these two of the company's hotels are in Los Angeles proper and will be required to pay the minimum-wage increase. But CEO Bortz said he would likely feel compelled to boost wages at his seven other properties in the broader Los Angeles market to stay competitive for labor.

In fact, wages are already set to rise in nearby Long Beach, where voters approved a new minimum of \$29.50 by 2028.

The American Hotel & Lodging Association is part of an effort to overturn the minimum-wage ordinance. If the opponents collect 93,000 signatures by the end of the month, the wage-increase's implementation will be paused for a year and the ordinance will go before Los Angeles voters in a referendum vote in June 2026.

Raising The Bar

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WORLD NEWS

Israel Aims to End Fight With Iran

Tehran’s retaliatory attack on a U.S. base doesn’t change hope for quick conclusion

JERUSALEM—Israel is looking to wrap up its war with Iran soon, Israeli and Arab officials said, capitalizing on the unprecedented U.S. attack on key Iranian nuclear sites to accelerate an end to the fighting that is stretching its troops, munitions and coffers.

By Dov Lieber, Anat Peled and Summer Said

Israel expects to complete strikes on its list of top military targets in Iran in coming days, which Israeli officials said would provide a window to stop the fighting. The officials said they didn’t expect a retaliatory attack Monday by Iran on a U.S.-run military base to change their calculus.

Iran said it launched 14 missiles—mirroring the number of U.S. bombs dropped in Iran—at the Al Udeid Air Base in Qatar after sending prior warning to authorities in Doha, a limited strike that appeared aimed at avoiding further escalation. There were no U.S. casualties, Qatar said.

After the U.S. strikes on Iran’s nuclear facilities over the weekend, and Tehran’s retaliatory attack on the American base, President Trump said a cease-fire had been reached between Israel and Iran. In a social-media post, the president said the cease-fire would be implemented in phases. Israel didn’t comment on this statement. Iran said that if Israel stopped its attacks no later than 4 a.m. Tuesday Tehran time, Iran had no intention to continue responding. Israel said that three people were killed in an Iranian missile attack early Tuesday.

Israeli Prime Minister Benjamin Netanyahu said on Sunday that Israel was “very, very close” to achieving its goals but didn’t lay out a specific timeline. He added that Israel wouldn’t be dragged into a war of attrition.

The U.S. has told Arab officials in the region that Israel is seeking to end the fight soon, Arab officials said, and has asked for the message to be passed along to Iran. The State Department didn’t respond to a request for comment.

Many of the aircraft at the U.S. base Iran attacked on Monday recently were relocated as prospects of an Iranian strike loomed, and Iran’s



People retrieved their belongings from the rubble Monday after Iranian missiles struck their residences in Tel Aviv.

prior warning gave Qatar time to prepare. Israeli officials and analysts say the retaliation won’t impact Israel’s decision to wind down the fighting.

“This is a response from Iran to the U.S. It doesn’t affect the Israeli timeline or calculations,” said Yoel Guzansky, a former Gulf expert for Israel’s National Security Council and now at the Tel Aviv-based Institute for National Security Studies.

Iranian officials have said they wouldn’t engage on a diplomatic proposal that entailed them giving up their nuclear-enrichment program, and that they didn’t think U.S. officials were sincere about offering the country an off ramp, the officials said.

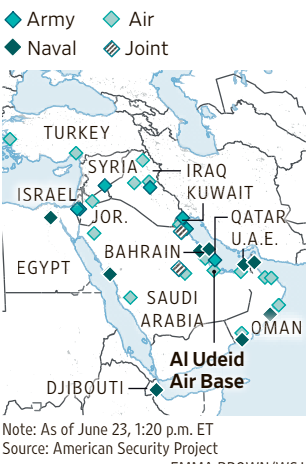
“We of course aren’t interested in a war of attrition, but we also have to say that the ball in some ways is in Khomeini’s court,” said Yuli Edelstein, an Israeli lawmaker in Netanyahu’s right-wing Likud party, referring to Iranian Supreme Leader Ayatollah Ali Khamenei.

Still, Edelstein said, Israel could continue to expand its list of targets against Iran, after achieving air superiority that allows it to strike at will.

At the same time, Trump has directly threatened Iran with regime change if it didn’t come to the negotiating table.

Israel appears to be making similar threats by expanding its military operation to sites synonymous with the regime. On Monday, Israel hit Evvin prison, where political prisoners and regime opponents are

U.S. military facilities in and around the Middle East



held; the headquarters of the Basij volunteer force, which helped suppress protests to maintain control over the Iranian population; the internal security headquarters of the Islamic Revolutionary Guard Corps; and the “Destruction of Israel” clock in Palestine Square in Tehran, which counts down to 2040, by when Iran says Israel will cease to exist.

Israeli security analysts said the strikes were aimed at forcing a quick end to the conflict by showing the regime that dragging out the war wasn’t in its interest. At the same time, the attacks on Tehran help mollify those in Israel who say Israel must topple the regime now while it has the chance.

“They are trying to pressure the regime,” Guzansky said. “If it succeeds, it may also shake the regime’s stability.”

Even if a diplomatic deal is reached with Tehran, Israel is prepared to use the Israeli air force to strike Iran in the future if the regime moves to reconstitute its nuclear-enrichment program or build up its ballistic-missile arsenal, the Israeli officials said.

Israel has followed a similar model in Lebanon, where it continues to strike Iran’s ally Hezbollah regularly despite a cease-fire agreement reached in September with Beirut.

Should Iran continue to attack Israel after Israel finishes its target list, Israel will also keep fighting, an Israeli official said.

Unlike the Lebanon model, Israel wouldn’t attempt to carry out frequent strikes in Iran as it does against Hezbollah in Lebanon, said Giora Eiland, a former Israeli national-security adviser. The approach would differ, he said, because Lebanon has a government that seeks to prevent renewed hostilities with Israel, while Iran almost certainly would immediately retaliate. Instead, he said Israel would likely only attack if Iranian efforts to rebuild its nuclear or long-range-missile program were reaching critical mass.

Israeli lawmakers from Netanyahu’s ruling Likud party have conveyed similar messaging in public statements since the American strikes. Some were eager to present the achievements as conclusive, even though Israel hasn’t yet completed its battle-dam-

age assessment of the Fordow nuclear site, which the U.S. struck with heavy bombers.

There isn’t conclusive evidence of the damage to Iran’s nuclear program from U.S. and Israeli strikes, and it isn’t clear whether Iran has managed to secrete its stockpile of highly enriched uranium that could be used to make a bomb in the future.

“So from that point of view the war aims haven’t yet been achieved,” said Chuck Freilich, a former Israeli deputy national-security adviser.

Despite its military advantage, Israel has a number of reasons it might prefer to end the operation as soon as it can.

The war in Iran is one of the most expensive in recent decades, with an estimated cost of hundreds of millions of dollars daily. The bulk of the expenses are going to intercepting Iranian missiles. Damage to buildings across the country is mounting.

And after more than 20 months of war since the Hamas attacks in Israel in October 2023, Israelis are exhausted, especially reservists who are repeatedly called up to fight on different fronts.

“We need this calm almost like the Iranians,” said Eiland.

Watch a Video



Cyber, Terror Warnings Issued

The National Terrorism Advisory System issued a bulletin warning about the threat of retaliatory actions, including hate crimes by violent extremists against perceived Jewish or pro-Israel targets and Iranian state-backed cyberattacks.

“Low-level cyberattacks against US networks by pro-Iranian hacktivists are likely, and cyber actors affiliated with the Iranian government may conduct attacks against US networks,” said the bulletin, which was listed as in effect for three months.

Threats of physical violence could increase if Iranian leadership issues a religious ruling calling for retaliation against targets, the alert added.

Cybersecurity experts say that while Iran’s ambitions for cyber disruption against the U.S. often exceed its capabilities, the threat shouldn’t be ignored.

—Dustin Volz

Airlines Extend Cancellations

Some U.S. and other international airlines are keeping a halt on flights to major Middle Eastern airports as global carriers scramble to figure out whether to continue flying to the region.

Shortly before the recent U.S. strikes on Iran, United Airlines and American said they would temporarily stop flights to Dubai and Doha respectively. Air France cut trips to Dubai and Saudi Arabia’s capital, Riyadh, over the weekend and Finnair has extended its flight cancellations to Doha until July 1. Singapore Airlines has canceled Dubai trips until June 25.

Airlines have navigated more than two years of flight disruptions in the region. Cancellations to places like Dubai and Doha, which play a big role in connecting global traffic with their mega hub airports, mark a significant escalation in the conflict’s impact on commercial aviation.

—Benjamin Katz

France Criticizes Iran Prison Hit

France condemned Israel’s strike against Tehran’s Evvin prison, where the Iranian regime holds political prisoners and dissidents, saying it endangered two French citizens who have been held there for three years.

“It’s unacceptable,” French Foreign Minister Jean-Noël Barrot wrote on X. He said the two prisoners, which France calls hostages, weren’t injured in the attack.

Cécile Kohler, a high-school teacher, and her partner and retired teacher Jacques Paris were arrested and accused of espionage during a tourist trip to Iran in 2022, French officials say.

Iranian state media reported that the Evvin was in the Israeli attack, but added that the prison was under control, and didn’t mention any casualties from the strike.

—Sam Schechner and Anat Peled

China, Germany Differ on Attacks

China’s Foreign Ministry criticized U.S. strikes against Iran’s nuclear facilities as a violation of the United Nations charter and expressed concern about potential spill-over from the deepening conflict. On Monday, Foreign Ministry spokesman Guo Jiakun urged countries to support a draft resolution at the U.N. Security Council by China, Russia and Pakistan calling for an immediate and unconditional cease-fire.

Meanwhile, Germany sees no reason to criticize Israel’s military action in Iran or the U.S. strikes, German Chancellor Friedrich Merz said on X.

“It is not without risk,” he said. “But leaving things as they were was also not an option.” The remarks reflect how Europe, while frustrated over the Gaza war, is giving Israel more diplomatic leeway in its showdown with Iran.

—Brian Spegele and David Wainer

Trump Says Truce Reached

Continued from Page One forces with help from Qatar, and the remaining one flew off course, causing no casualties and little damage, Trump said.

Trump said that Tehran’s careful response to Washington’s weekend attack on its nuclear facilities offered an opening to de-escalate the conflict.

By telegraphing the attack on the base, Iran appeared to have responded to the U.S. strikes in a way that allowed it to avoid further retaliation from Washington.

Trump urged Tehran over the weekend not to retaliate and to negotiate an end to the war, which Israel initiated June 13.

“I want to thank Iran for giving us early notice, which made it possible for no lives to be lost, and nobody to be injured,” Trump wrote on Truth Social.

Iran told Arab intermediaries that its well-telegraphed response should be seen as an off ramp and that it is ready to return to serious negotiations, Arab officials said. The U.S. has signaled through the same channels that so far it doesn’t want to retaliate, they said.

Supreme Leader Ayatollah Ali Khamenei of Iran said his country would respond when

attacked, in his first public comments since Iran launched the missiles at the U.S. base in Qatar.

“We haven’t harmed anyone, and we will not accept harm from anyone, and we will not submit to harm from anyone; this is the logic of the Iranian nation,” he said on X.

Tehran’s and Trump’s desire to de-escalate the conflict could face an obstacle in Israel, which has continued to carry out strikes on Iran, including on targets unconnected to its nuclear program. Trump wrote in his post on Monday that he would “enthusiastically encourage” Israel to halt its attacks.

The negotiations between the U.S. and Iran on a nuclear agreement, which were at a standstill over whether Tehran would agree to give up its enrichment of uranium,

were suspended after Israel and later the U.S. attacked Iran, arguing military action was necessary to halt its progress toward developing a nuclear weapon. Iran has said its nuclear program is for peaceful purposes.

Iran’s Supreme National Security Council said Monday’s attack was in retaliation for what it called the U.S.’s “aggressive and brazen act” against Iran’s nuclear facilities. Underscoring the symbolic nature of the response, it said the number of missiles used in the operation mirrored the number of bombs used by the U.S. in its attack on Iran’s nuclear facilities—14 30,000-pound bunker busters. A Qatari military



Missiles and air-defense interceptors light up the sky over Doha, in an image from video.

spokesman said 19 missiles had been launched at the country.

Qatar residents reported hearing explosions that shook the windows of their high-rise apartments. Residents of the Pearl, a man-made island in the capital Doha, recorded video of lights streaking across the evening sky, including one missile that collided with another coming from the opposite direction—an apparent interception by air defenses. An interior ministry spokesman said some shrapnel fell in residential areas, sparking small fires that were extinguished without harming anyone.

Barely 15 minutes after the attack ended, Qatar’s foreign ministry issued a four-paragraph statement condemning it as “a flagrant violation of Qatar’s sovereignty and airspace” and affirming its right

to make a proportional response. Qatar’s Arab neighbors rushed out similar statements of condemnation.

U.S. forces intercepted at least five one-way attack drones launched against American bases near Baghdad airport and in western Iraq, the last of which was taken down about 4 a.m. Tuesday, a U.S. official said. There were no American casualties or damage to U.S. facilities, said the official, who assessed that the drones likely originated inside Iraq, which hosts militias backed by neighboring Iran.

The limited Iranian counterattack was a calculated response that avoids more-provocative steps such as closing the Strait of Hormuz, that might have prolonged the conflict, said Bader al-Saif, an expert on Persian Gulf and Arabian affairs at Kuwait

University. “This is something manageable when compared to closing Hormuz or a direct ship-to-ship attack that could have people killed,” he said.

The missile barrage echoes Iran’s response to the U.S. killing of Gen. Qassem Soleimani, the top commander of Iran’s military operations abroad, in 2020. In response to the killing at Baghdad airport, ordered by Trump in his first term, Iran launched 12 ballistic missiles at an Iraqi air base housing U.S. troops. More than 100 U.S. service members suffered traumatic brain injuries in the attack, but no one was killed. Trump imposed sanctions on a number of Iranian military commanders involved in the attack.

Al Udeid houses around 10,000 troops and is a main hub for U.S. Air Force operations in the Middle East.

WORLD NEWS



A container terminal is seen Monday along the Strait of Hormuz, a key bottleneck for Middle East oil exports.

Stocks Gain While Oil Declines

Continued from Page One

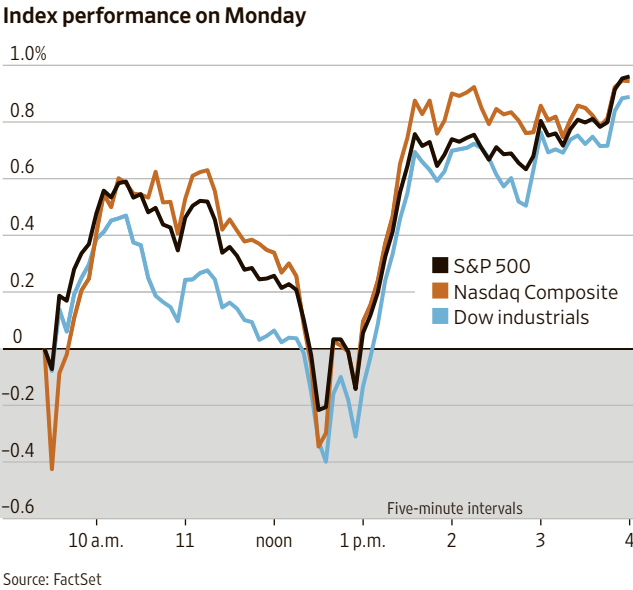
Trump confirmed the early warning in a social-media post, calling Iran’s response “very weak.”

U.S. stock indexes rose following the Iranian missile launch after wobbling between small gains and losses for much of the morning.

“The retaliation seems to be very measured,” said Jason Pride, chief of investment strategy and research at Glenmede. While the situation could change quickly, he said, Iran’s missile salvo seemed “very coordinated and intended to make it appear that Iran is not escalating.”

The Dow Jones Industrial Average advanced 375 points, or 0.9%, on Monday. The broader S&P 500 rose 1%, while the Nasdaq climbed 0.9%.

Stocks continued to advance



early Tuesday in Asia. Japan’s Nikkei 225 was up 1.1% at midday in Tokyo. Hong Kong’s Hang Seng Index was up 1.8%.

One explanation for Monday’s crude selloff: Oil markets have already priced in a high degree of uncertainty about the Middle East. Brent crude-oil futures settled at around \$77 late Friday, up from below \$70 before Israel first struck Iran. The

global energy market is also less dependent on Middle East oil than it was during previous conflicts such as the 1991 Persian Gulf war, with the U.S. now a major energy exporter thanks to the shale revolution.

Monday’s oil-price decline of \$5.33 a barrel was the biggest one-day decline in dollar terms since August 2022.

Before Iran retaliated, Trump

posted about crude prices on social media. “EVERYONE, KEEP OIL PRICES DOWN,” Trump, a Republican, wrote on Truth Social on Monday morning, without specifying if his comments were directed at oil companies or investors broadly. “I’M WATCHING! YOU’RE PLAYING RIGHT INTO THE HANDS OF THE ENEMY.”

Energy was the worst-performing sector of the S&P 500 on Monday. Exxon Mobil fell 2.6%, while Halliburton slid 6.8%.

In other stock moves, Tesla surged 8.2% after the electric-car maker launched its long-awaited robotaxis over the weekend.

Treasury yields fell Monday, with the benchmark 10-year yield settling at 4.321%. The two-year yield declined to 3.829% after Federal Reserve governor Michelle Bowman said Monday she could support a July interest-rate cut. Inflation has cooled, she said in a speech.

As of Monday afternoon, futures prices implied a 22.7% chance of a rate cut next month, up from 14.5% Friday, according to CME Group’s FedWatch tool.

Ships Diverted From The Strait of Hormuz

By **COSTAS PARIS**

Half-a-dozen ships since Sunday have diverted course on their way to the Strait of Hormuz, the crucial waterway connecting the energy-rich Persian Gulf to global markets, according to shipping officials, analysts and marine-tracking data. Iranian lawmakers reportedly threatened its closure on Sunday.

Two Chinese-operated very large crude carriers went off course as they tried to enter the strait after their navigation systems were jammed as a result of military operations in Iran.

Coswisdom Lake, run by China’s **Cosco** Shipping Energy Transportation, and South Loyalty owned by Sinokor Merchant Marine, turned around as they sailed south of the Iranian port of Bandar Abbas during this past weekend.

Later, the Coswisdom Lake and two other vessels U-turned again and were heading back into Hormuz.

A Cosco official said the incident with its vessel was being probed, and the crew of the Coswisdom Lake was safe.

Sinokor didn’t return calls for comment.

Iranian lawmakers on Sunday reportedly threatened a closure of the strait after the U.S. joined Israeli strikes on Tehran’s nuclear facilities.

Any disruption to shipping on the route, used on average by 100 tankers daily, would have a significant impact on oil markets.

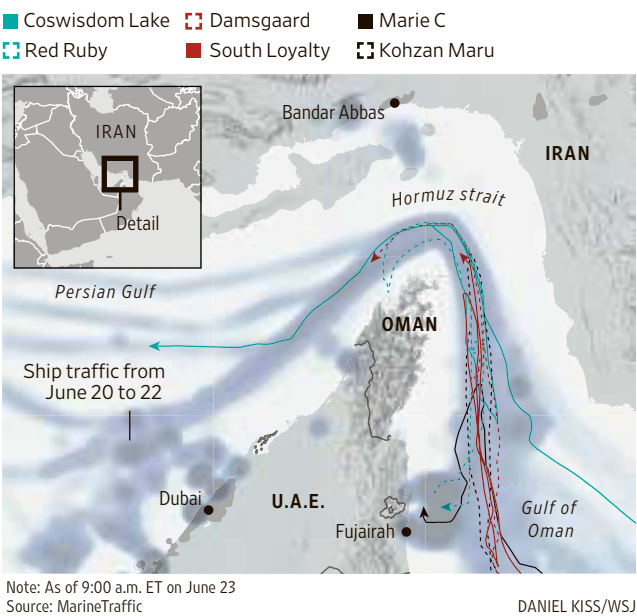
The strait is shared between Iran in the north and Oman in the south, and it handles about a quarter of the world’s oil trade.

The tankers load up oil at terminals in Iran, Saudi Arabia and Kuwait, and deliver the cargoes in Europe, the Americas and Asia.

The China Shipowners’ Association told its members to immediately start submitting daily reports on their ship movements through the Gulf of Oman and the Strait of Hormuz.

Beijing also called on the international community to maintain stability in the critical shipping lanes of the Persian Gulf, and said it was in touch with Iran about the continuing conflict.

Rerouted oil tankers in the Strait of Hormuz



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WORLD NEWS

NATO Prepares for New Kinds of Threats

Summit to focus on funding for defense against sabotage, drones and hacking

By DANIEL MICHAELS

Ukraine’s drone strike on parked Russian bombers and Israel’s destruction of Iranian air defenses sound a warning for NATO countries: Savvy adversaries can eliminate vital battlefield assets anywhere, before they enter a fight. That makes the work of preparing for battle more important than ever. Addressing the challenge of protecting and mobilizing forces inside the North Atlantic Treaty Organization’s homeland is rising on the alliance’s must-do list. “If World War III breaks out on the European continent, what’s the first shot?” U.S.

Ambassador to NATO Matthew Whitaker said recently. “Is it going to be Russian tanks invading Poland, or is it going to be a cyberattack on one of our allies or a challenge on some infrastructure?” The question hangs over preparations for NATO’s annual summit in The Hague starting on Tuesday. Funding for readiness and resilience will be high on leaders’ agenda and a core element of hitting a spending target set by President Trump. Trump early this year said NATO allies should spend 5% of gross domestic product on defense, up from 2%. NATO Secretary-General Mark Rutte, who was urging a rise to 3.5%, seized the moment to push for spending on long-overlooked areas such as mobility and resilience. Rutte in March proposed topping up traditional NATO defense outlays, such as weap-

ons and salaries, with a further 1.5% of GDP for the military-related spending. Leaders hope the proposal will be approved at the summit. Most Europeans are endorsing Trump’s target because they want to avoid giving him a reason to disengage from NATO. And they have come to understand that readying military forces is never easy, even in peacetime. Forces being mobilized for battle are prime targets for attack. So is infrastructure, ranging from roads and ports to phone lines and power plants. One thing no commander wants to run out of is options, a military adage holds—and adversaries have more ways

than ever of foreclosing options. Planners must consider wild cards from old-style sabotage to innovations including cyberattacks and drone strikes. “If China can shut off the power to our data centers, then maybe they don’t need to sink our aircraft carriers,” said retired Army Lt. Gen. Douglas Lute, a former U.S. ambassador to NATO. Western military planners haven’t faced serious threats to logistics since World War II. Russia’s invasion of Ukraine and the risk of further conflict change that. Now logisticians, who focus on mobilizing troops and sustaining battles, must refine their plans with an eye to homeland security and the

risk that adversaries will do everything possible to prevent defending forces from leaving bases and engaging in combat. Israeli special forces operating inside Iran targeted its mobile air-defense vehicles and other equipment at the start of Israel’s attack on June 13. Combatants and their weapons need lots of supporting mechanics, medics, equipment and other backup to operate. Military gear is heavy and cumbersome, requiring reinforced bridges and high overpasses to move across civilian transportation arteries. Adding to complexity: Homeland security isn’t in military hands during peacetime, and law-enforcement agencies rarely coordinate with armed forces. Sabotage and cyberattacks on private-sector assets have only recently come to be seen as national-security threats.

U.S. authorities have accused China of planting malware in systems running port cranes that would be vital in a military mobilization. The Pentagon has forbidden use of foreign ports employing a Chinese cargo-data network, Logink, which they fear could be repurposed for espionage or to disrupt military logistics. In Europe, authorities have faced what they suspect are Russian efforts to scope out and attack current military support to Ukraine and future NATO mobilization networks. A Russian “threat actor” known as Fancy Bear targets Europe’s transportation sector, including air-traffic-control systems and maritime organizations, largely linked to support for Ukraine, according to Norma Cyber, a nonprofit organization that Norwegian shippers established to support members’ cyber resilience.

Most Europeans want to avoid giving Trump a reason to disengage.

WORLD WATCH



AFTERMATH: Mourners beneath a bullet-scarred painting at a memorial service in Mar Elias Greek Orthodox Church near Damascus on Monday, a day after a suicide attack there killed 25.

UKRAINE At Least 14 Killed In Russian Attacks

Russian drones and missiles killed at least 14 civilians and injured several dozen others in Ukraine in overnight attacks, local officials said Monday, with nine deaths reported in the capital, Kyiv, where an apartment building partially collapsed. Russia fired 352 drones and decoys overnight, as well as 11 ballistic missiles and five cruise missiles, Ukraine’s air force said, adding that air defenses prevented 339 drones and 15 missiles from reaching their targets, a statement said. Later in the day, a missile strike destroyed a high school in the southern Odesa region, killing two staff, authorities said. No children were on the premises due to the summer vacation, Ukrainian President Volodymyr Zelensky said.

—Associated Press

INDONESIA Drug Sweep Ends With 285 Arrests

Indonesian authorities said Monday they arrested 285 people suspected of drug trafficking, including 29 women and seven foreigners—one of them an American—and seized over half a ton of narcotics during a two-month nationwide crackdown. Indonesia is a hub for drug trafficking despite sometimes executing convicted smugglers by firing squad. The head of the National Narcotic Agency, Marthinus Hukom, said the crackdown also uncovered money-laundering schemes by drug syndicates and confiscated assets worth more than \$1.5 million. The women arrested were mostly homemakers, he added. “I call on Indonesian women to be more vigilant in establishing friendships both in the real world and in cyberspace,” he said.

—Associated Press

SOUTHEAST ASIA Dispute Escalates Between Neighbors

Thailand announced new land-border restrictions Monday aimed at blocking tourists heading into Cambodia as the two countries engage in retaliatory measures in their border dispute. Relations have deteriorated since an armed confrontation May 28 left one Cambodian soldier dead. While the two sides have agreed to de-escalate, they continue measures that have kept tensions high. Thailand said it would tighten screening at land borders, allowing only students, medical patients and others who need to purchase essential goods to enter or leave. Cambodia, for its part, has boycotted some Thai internet services, and blocked electricity and fuel supplies. Cambodia formerly imported 30% of its fuel from Thailand.

—Associated Press

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FROM PAGE ONE

Labubus Stir Up A Frenzy

Continued from Page One ones for Elon Musk on most days since late April. Goodwin, who is in her 40s and works in human resources in New England, learned through a Reddit group that the Chinese maker of Labubus for a while dropped new trolls on its site on Thursday nights. “I have no life at 10 p.m. on Thursdays,” she said. Labubus started sweeping the world last year after Lisa, the K-pop band BLACKPINK’s Thai singer, held one in a photo she posted on social media. Then Rihanna was spotted

with one dangling from her bag. Madonna posed with two Labubus on Mother’s Day. David Beckham received one from his daughter. Houston Rockets player Dillon Brooks arrived at a game with a Labubu swinging from his belt loop. Kim Kardashian has shown off her full set of Macarons—the second Labubu series issued. When new stores open anywhere in the world, Labubu fans line up for hours. “You tell people, ‘there’s a limited amount of quantity.’ And I go, ‘Oh my God, I need it,’” said Victoria Antenor, a 32-year-old accountant in Santa Clarita, Calif., who has spent more than \$1,600 and way too much time hunting for Labubus for her 6-year-old son. Labubus, owned by Chinese collectible-toy company Pop Mart International Group, hit the market just as consumers’

desire to splurge on affordable, feel-good pleasures rose in response to economic and political uncertainty. “I don’t know if I will ever be able to buy an apartment or house,” said Anastasiia Shkorinenko, 25, who used to think bag charms were useless. But a Labubu is “a little joy in the moment because it’s not that expensive, you can get it and you can be happy about it.” The Labubu hunt also taps into customers’ gambling impulses, since most of the Pop Mart’s products are sold in so-called blind boxes. “It’s a feeling like this Labubu chose you,” said Shkorinenko. In early April, Shkorinenko set out to buy her first Labubu but found none at a Pop Mart store in New York. However, a claw machine around the corner from the store had blind boxes. After several futile attempts, she caught a break



‘Ugly little critters’

when a passerby got the claw to pick up a Labubu box. When it contained one he already had, Shkorinenko bought it from him for \$27, a 23% markup on the retail price. “I was really happy because, you know, I really had to fight for it,” she said. But Shkorinenko wanted more. So on April 24, the day Pop Mart started selling the latest Labubu series online, called Big Into Energy, she had her strategy in place. Half an hour before the 10

p.m. drop, Shkorinenko had a laptop and two cell phones ready, each refreshing Pop Mart’s website, which kept crashing from the heavy traffic. At 10:45, she finally snagged a blind box that arrived weeks later. She has since bought five more. The same night, Antenor, the California mom, joined hundreds of others outside a Los Angeles shopping mall, where Pop Mart planned a Labubu in-person sale the following day. The lines kept shifting. The crowd was rowdy and the police were called. “It was like a mob,” Antenor said. At the last minute, Pop Mart canceled the in-store launch and instead have people order online and pick the dolls up at a store. By the next afternoon, Anenor had managed to score a whole set of six Big Into Energy plushies for her son, Elijah, for a total

of \$167.94, at a different mall. The hunt has made his mother a fan as well. “I think I love them, too,” she said. Piecing together a full set of a Labubu series often requires multiple tries. Buyers often end up with duplicates, and many then try to sell or trade on resale platforms such as StockX, which says Pop Mart has been its top-traded brand since October. The doll’s popularity has helped drive up Pop Mart’s stock price more than sixfold in Hong Kong trading over the past year. At home in China, the Labubu craze has been a rare bright spot in a gloomy consumer market. After selling eight duplicates, Goodwin this month finally scored the last blue Labubu she was missing from the Big Into Energy series. “I’m done…….for real,” she wrote in an email.

Meatpacker Aims to Lure U.S. Staff

Continued from Page One grips North Platte as the roughly \$400 million Sustainable Beef operation roars to life. For decades, this old railroad hub was stuck. Some employers departed, Union Pacific cut railroad positions and young people fled. Now, officials are pinning their hopes on a slaughterhouse, which promises an economic jolt but represents a risky bet and a crucial question: Will Americans work there? “We needed to do something to stay relevant,” said Pete Volz, a city council member. “Sustainable Beef was the catalyst.” Opportunity and hope have ebbed away in parts of rural America, including North Platte, as farming has declined and economic dynamism has concentrated in urban centers. Taking matters into their own hands, North Platte leaders have embraced an industry that has long conjured images of bloody, hazardous working conditions while supplying products for American dinner tables. The company believes the gleaming plant will appeal to locals who never would have considered doing such work. Nationwide, over half of all front-line meatpacking workers are immigrants, according to the Center for Economic and Policy Research, and turnover is high.

Steepest challenges loom. Sustainable Beef is taking on the Big Four meatpackers—JBS, Tyson Foods, Cargill and National Beef—that control 85% of the beef industry. Cattle herd sizes have hit a 75-year low. And President Trump’s immigration crackdown is targeting the backbone of an industry known for some of America’s most-grueling jobs. Among other policy shifts, the administration ended a parole program that authorized residency and work for migrants from Cuba, Haiti, Nicaragua and Venezuela, nations that provide an estimated 10% to 20% of the meat industry’s workforce. Migrants are moving to the town anyway—unsettling some longtime residents. Fear of rising crime is a common refrain. Amy Minor, a bartender who lives near the plant, recently bought a gun, “because I don’t know who’s coming,” she said. Sustainable Beef has tried to lure local workers, including Americans such as Jones, with starting pay of \$22 an hour—about \$46,000 a year—on par with average wages locally. The facility’s single daytime shift lets employees attend their children’s sports games after work. The company touts ergonomic work stands and individual lockers—even the plentiful toilets are an upgrade from typical meat plants. “This isn’t the same old meatpacking plant!” its hiring ads promise. The implicit pitch: In a city that is 85% non-Hispanic white, this work isn’t just for immigrants. Whether locals step up remains uncertain, especially on the production floor where knife workers slice cattle into cuts. Like many rural states, Nebraska faces persistent labor shortages, as workers age out or leave. Small towns struggle to diversify their economies, leaving them vulnerable to industry downturns. Sustainable Beef, a concrete behemoth the size of 10 football fields just off Interstate 80, aims to process 1,500 head of cattle daily, with most of the beef go-



Top, the carcass cooler room at Sustainable Beef in North Platte, Neb., a new meatpacking plant that has upgraded working conditions to attract employees who live in the area. Staffers, from left: Angela Jones, Dailey Celestrin and Keenan Taylor.

ing to Walmart, an investor in the project. The plant expects to hire about 850 workers by year’s end, which would make it the city’s third-largest private employer. Ancillary businesses such as trucking and food services, by some estimates, could yield 1,200 more jobs—if the slaughterhouse survives.

An idea in a bar

Sustainable Beef’s story began six years ago in a Hanoi bar, where rancher Rusty Kemp joined Nebraska’s then-Gov. Pete Ricketts on an Asia trade mission. Kemp groused about cattle prices cratering after a fire shut down a Tyson plant in Kansas. Ricketts, a Republican who is now a U.S. senator, said he urged him to challenge the Big Four. Kemp recruited other cattlemen for the venture during the pandemic. At that time, short-staffed meatpackers were accepting fewer cattle, creating a glut that hurt prices and ranchers’ bottom lines. Finding a location presented a challenge. Another western Nebraska city had rejected a different plant proposal over concerns about immigrant labor, said David Briggs, Sustainable Beef’s chief executive. But North Platte officials got wind of Sustainable Beef’s proposal and saw an opportunity. In August 2020, they made a hard sell to win the plant during a meeting with the project’s investors. Led by Chamber of Commerce Chief Executive Gary Person, they pitched a city-owned site—a dry sewage lagoon—and local and state incentives that would

eventually top \$50 million. “Our strategy was to convince this group to spend millions of dollars on this giant old shithole, and we had to be convincing,” Person recalled. The founders were sold. And the location in Nebraska’s sandhills made sense: about 13% of all U.S. beef is processed within 200 miles. In early 2021, the city and Sustainable Beef went public with what Mayor Brandon Kelliher declared “an economic opportunity like we have not seen for many, many, many years.” Some residents spoke out against the proposal. “It’s just too many things that are iffy,” Jim Jackson said at a City Council meeting. “What’s that going to do to the crime rate that we have now?” Others supported it. Kelle Dikeman said she commuted 35 miles for work because North Platte had so few options. “This Sustainable Beef project is a boon for our town,” she told the council. Even critics agreed North Platte needs more jobs and less reliance on Union Pacific, which established the city in 1866. After World War II, the railroad expanded its operations and de-

veloped the world’s largest classification rail yard, where trains are sorted and routed across the U.S. Employment peaked at around 3,000 in the 1970s, said Jim Griffin, director of the county historical museum. While Union Pacific remains the city’s largest private employer, its ranks have thinned to between 1,700 and 2,000, Person said. The railroad declined to give job numbers. Other big employers include a health system with 1,300 employees and a Walmart distribution center with about 600 workers. Overall, employment in the North Platte area is down 20% since 2008, according to the Bureau of Labor Statistics. The city’s population over that period fell from around 24,000 to about 22,500 last year, lower than 1990 levels, Census Bureau data show. “We had to do something that was going to stimulate the economy here,” Person said, “and give people hope.”

Community shift

Hanging over the project from the start was a central question: Who would fill the jobs at Sustainable Beef, and

how would these workers change the community? Company officials have said the operation would attract a few hundred laborers already living in a 60-mile radius. That includes Lexington, home to a large meatpacking plant that opened in 1990, run by Tyson. Some North Platte residents view Lexington as a cautionary tale. Serious crime soared countywide during a 10-year period that straddled the opening, according to a 1998 Government Accountability Office report examining the impact of two dozen meatpacking plants in Nebraska and Iowa. The report said police officials attributed some of the increased crime to plant workers, though people who committed crimes weren’t tracked by their place of employment. Once mostly white, Lexington is now 65% Hispanic. North Platte leaders have prepared for an influx. The city is offering developers incentives to build housing, and up to 2,000 units are in the pipeline. Schools are boosting English as a Second Language instruction. The police department has outfitted officers with portable translation devices. “Will there be changes? Yep, probably so. But we’re just going to have to adapt,” North Platte Police Chief Steve Reeves said. Aidelin Milán recently landed a job on Sustainable Beef’s production line after a multiyear journey from Cuba. After leaving the island in 2019, she worked in Uruguay, then trekked with her husband across South America, through Panama’s Darién Gap and on to Mexico. They presented themselves at the

border, and after a brief detention, were released. They petitioned for political asylum, obtained work permits and later filed for permanent residency under the Cuban Adjustment Act. The couple first headed to Miami, then drove to Nebraska two years later. They found work at Tyson in Lexington and saved up to buy a trailer in North Platte, which they found more desirable. The trailer happened to be near Sustainable Beef, and both work there now, as do Milán’s two sisters, a brother-in-law and a nephew. She describes the plant as far better than the Tyson one—brand new, with a dining area just off the production floor, nice lockers and restrooms “like in a hotel.” “I left Cuba with the dream of having a better future, and I’ve achieved it,” said Milán, 30. “I’m not leaving here.” Jones, the quality-control worker, didn’t strike those who know her as the meatpacking type. She’s an animal lover who buries earthworms after it rains. Friends joked she would try to free the cattle. She also heard worries about how the plant would tarnish North Platte, where she has lived since age 10. But Jones saw the job as financially attractive and a good way to supplement her husband’s income as an auto dealer. She can enroll in a 401(k) after a year.

Meatpacking stigma

The new facility is airier and more spacious than typical meatpacking plants, many of which came online in the 1960s. It provides workers with more space and reduces movements that can cause strain—one of its employment ads touts “no overhead throwing.” Unlike traditional plants with dual shifts that require some employees to work late into the night, Sustainable Beef said it wanted to promote quality of life and family time for its workers, so it operates on a single, daytime shift. It has sparkling stainless steel equipment and features technology to maximize the meat taken off a carcass and track workers’ efficiency. Keenan Taylor, who is white, took a job at Sustainable Beef as a forklift driver. He works in a warehouse, chilled to around 35 degrees, moving boxes of beef. He recalls tense arguments with fellow North Platte residents who grieved about minorities arriving to work at the meatpacking operation. “All of these locals that want to complain, ‘Oh, it’s all going to be Mexicans,’ I have no nice words to say other than stop being lazy, go get your hands dirty and stop saying it’s somebody else’s job to do,” said Taylor, 31. Some of his acquaintances have complained they have grown kids living at home not earning enough. He suggested they apply at Sustainable Beef. “Their response was, that’s beneath them. That’s a dirty job for immigrants,” he said. Sustainable Beef leaders said they are confident they can fill the jobs, having received more than 2,000 applications. They are ramping up slowly and have brought on more than 400 workers so far, close to half their goal. But industrywide, anxiety is mounting. A recent ICE raid at a meatprocessor in Omaha—even though it used the government’s E-Verify program to confirm employment eligibility—caused employees to stay home at other plants. Sustainable Beef also uses E-Verify. Trump’s actions to end certain immigration programs and work authorizations are expected to reduce the available workforce and raise costs.



The plant aims to process 1,500 animals a day. Most of the beef will go to Walmart.



Alexa Gaxiola, a sales assistant by day, moonlights as a club DJ.

Americans Are Side Hustling Like We’re in a Recession

The two-job trend these days is about financial necessity, not pursuing a passion



ON THE
CLOCK
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Does your friend with a second job know something you don't? The share of working Americans holding down multiple jobs rose to between 5.3% and 5.5% during the first five months of the year. That's a range we haven't seen since the recession of the aughts, according to the Bureau of Labor Statistics.

Granted, almost anything—from Lady Gaga to men's underwear—can supposedly be a recession indicator. Leave the forecasting to influencers and economists. Whether an increase in second jobs portends a recession is only half the point. People are side hustling like we are already in one.

It's a testament to our collective unease and further evidence that careers will look very different than they used to.

Holding one job at a time is on the way to becoming antiquated, or a luxury, for emerging generations.

Roughly four in 10 millennials and Gen Zers have side jobs, according to new research by Deloitte. Elizabeth Faber, Deloitte's global chief people and purpose officer, says it's notable that the



Dyna Krigbaum's second job allows her to bring her son to work

share of millennials working two jobs has been virtually unchanged for several years.

People typically have less need for side hustles as they advance in their careers. But it isn't playing out that way for a group already scarred by two recessions.

Those juggling more than one job say they are bracing for a potential downturn by padding their

finances while they can. They are also ensuring they'll still have a source of income in the event of a layoff or diminished earnings.

"I just started thinking, 'Well, a recession might be coming. Maybe it's time to diversify,'" says Marie Incontrera, who launched a cleaning business six months ago to supplement her main job as owner of a small public-relations agency

in New York.

She has grown her PR shop to two employees and several freelancers over a decade in business, and she earns enough to live comfortably in Manhattan. But Incontrera, 39 years old, knows her services could be one of the first things clients eliminate if they need to cut costs.

After researching businesses that seemed dull but reliable—laundromats, carwashes, vending machines—she settled on cleaning because of low startup costs. She and a business partner book commercial and residential cleaning assignments and deploy gig workers to do the scrubbing, occasionally filling in when someone no-shows.

'Take a humble pill'

What's most striking about Incontrera's choice of side hustle is that she had a cooler option. Before going into PR, she was a professional jazz musician. She could play the dive-bar circuit for extra cash but decided to be practical.

The story of second jobs in this

New normal

On a sunny afternoon last month, students at the University of California, Irvine, pitched tents and business ideas on a campus green. It wasn't another "Shark Tank"-style contest for founders trying to build billion-dollar startups. Instead the event was billed as a "side-hustle challenge" and featured cookies, homemade sweat-shirts and eyebrow threading.

Maryam Garg, a venture consultant to UC Irvine's entrepreneurship center, says more colleges are preparing students for a world that may require them to work a second job.

"And it's often something completely different than what they're studying," she says.

Alexa Gaxiola's degree is in business marketing, which she uses in her day job as a sales assistant and social-media coordinator at an aerospace manufacturer in California. Her night job as a club DJ could hardly be further removed.

Gaxiola, 26, says practically everyone in her social circle works more than one job.

"And if I know someone that has only one job, they're working overtime," she says. "It's a survival thing."

Her mix of a fun job and a staid one reminds me of how Hall of Fame baseball players once sold insurance or cars in the offseason. Recession or not, we may be headed back to a time when two jobs are the norm.

Check Card Perks to See If Fees Add Up

By Dawn Gilbertson

The following items first appeared in Dawn Gilbertson's weekly Travel newsletter.

Like those fancy travel credit cards and the perks that come with them? Get ready to pay more.

Chase announced a big price hike for its top-of-the-line Chase Sapphire Reserve card this past week.

Never mind the influencers gushing about all the "refreshed" perks for one of their favorite cards. (Remember, they often make money from card sign-ups.) The bottom line here is that the already high annual fees for these status cards keep climbing.

Chase's new annual fee will be \$795, up from \$550. That's higher than the \$695 annual fee for American Express's top-of-the-line Platinum card. But American Express made some noise this past week about coming changes for its card, and that usually foreshadows higher fees.

The price hikes mean it's time to do some math before signing up or renewing. Make sure the included perks will offset the fee—for you. Chase puts the value of the revised Sapphire Reserve benefits at

\$2,700 per year. I certainly get my money's worth out of the American Express Platinum card, but I practically live on the road.

Some things to consider:

► **Lounge access:** We all love our airport-club access, and it's a key draw for these cards. But access is getting stricter, especially when it comes to guests. And the lounges aren't in every airport, especially for Chase and Capital One. I was considering the Chase Sapphire Reserve card but its new Phoenix lounge is tiny. So it wasn't worth adding to my wallet for that perk alone. If you're a frequent flier who loves lounges, compare the card fee with the cost of an annual airline-club membership.

► **Travel credits:** The Chase card touts a \$300 flexible travel credit and new \$500 credit for high-end hotels like the Ritz Paris. The big question here is whether you will use them. Some credits are applied automatically. But sometimes you have to use the card portal to book and I generally find better deals by booking direct.

My lower-tier Chase card comes with a \$50 hotel credit and I have yet to use it. My American Express Platinum comes with a \$200 credit



for select hotel bookings but there's fine print. I did put it to good use last summer for one night at the Andaz Maui. The \$200 credit plus associated perks like early check-in, late checkout and free breakfast made it worth it.

► **Global Entry, TSA PreCheck or Clear fees reimbursement:** Airport

shortcuts are a no-brainer if you fly a lot. When doing your card value math, though, divide the Global Entry and TSA PreCheck credit by five because those mem-

berships are good for five years. Clear renews annually. You can pay for any of these services separately if the other credit-card perks aren't something you will use.

► **Miscellaneous perks:** Scan the list of other perks, from rideshare to streaming service and media subscription credits. If you're already paying for these, you can cancel and use the credits to offset the cost of the card fees. Note that most of the monthly credits in this category are small.

JFK gets a bagel boost

Flying through JFK airport this summer? The already solid lounge lineup got a boost this past week with the opening of a Capital One lounge in Terminal 4. It's the bank's largest lounge to date and includes a coffee bar with bagels from New York's Ess-A-Bagel.

To subscribe to Dawn's Friday newsletter, go to [wsj.com/newsletters](https://www.wsj.com/newsletters).

CLARECO DYNA, OYLERIE KRIGBAUM

TONY LUNKE FOR WSJ



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Don't Fall in Love With AI, And Other Rules for Graduates

Congrats, you've got your diploma! Now here's how to outsmart the bots taking your jobs, and more advice from Joanna Stern's Union College commencement speech



Who handed that old lady a mic, let her rant about the threats of AI and then lead a singalong to a 1970s classic?

Hi, it's me. I'm the old lady.

This past Sunday, 19 years after my own graduation from Union College in Schenectady, N.Y., I stepped up to the lectern, looked out at 5,200 chairs filled with students, proud families and friends, and delivered a speech. I talked about how the smartphone revolution transformed the world after I graduated—and how AI is transforming it again.

I didn't sugarcoat things.

Artificial intelligence is coming for your jobs, especially the entry-level ones, Class of 2025. Doctors, lawyers, accountants, financial advisers, consultants, software engineers, marketers—basically, whatever you just told Uncle Bob you're planning to do with your degree. Maybe your parents can get a refund on your last four years, I suggested. Also, this same technology may reprogram how we relate, communicate—even date.

Then came the pivot. After all my AI reporting—for my columns, videos and the book I'm currently writing—I've come to a few helpful conclusions about how we can lean into our humanity *and* live with the machines. Plus, a lot of the skills we'll need in this world, I really did learn in college.

I also studied my good friend Jason Gay's recent commencement speech at the University of Wisconsin. He didn't just talk in abstract, he showed proof. Next commencement season, we're offering a WSJ columnist 2-for-1 deal. Steve Carell has nothing on us.

So here are my five rules for living and thriving in an AI-driven world. Whether you've been around long enough to have faxed your résumé or are just now hitting the job market, these will help.

1. Be a creative human.

To prove this point, I played a song made entirely by AI. No humans involved except me, typing "create an indie folk song about graduating Union College in the age of AI" into a music generator called Suno.

It sounded impressive...until you heard the lyrics. Clearly, the bot never pulled an all-nighter, made lifelong friends or felt the sheer anxiety of not knowing what comes next.



Ashley Sofia's 'Ten Years Time,' about graduating, captures the kind of soul and emotion AI can't.

But you know who has? Humans. Specifically, one human: Ashley Sofia. A singer-songwriter and Union alum, Ashley wrote a song about graduation the old-fashioned way.

My AI song had melody, but no soul. No nuance. No truth. When Ashley played, people teared up. What sets us apart from the artificial is our creativity and ability to relate to others. Lean into that at

work and all parts of your life.

2. Be a lifelong learner.

Last week, I emailed Sam Altman, chief executive of OpenAI, for his advice to new grads.

"Get good at using AI tools," he said, "and focus on learning skills like adaptability, resilience and figuring out what other people want in a rapidly changing world."

Back in 2007, no one predicted that the iPhone would lead to jobs like app developer or social-media manager—or TikTok creator with five million followers and a ring light.

I reminded graduates: Over the past four years, you've learned how to learn. You don't have to know exactly what's next—you just have to be willing to learn new skills and tools, and to try new things.

3. Be a truth seeker.

We live in a time of deepfakes, AI-generated video, misleading yet confident bots and leaders who yell "fake news" anytime they don't like something.

Whether it's an article, a chatbot answer or a TikTok, ask yourself: What's true here? Who benefits if I believe this? Think

critically. Ask questions. Be the person who interrogates the information—not just scrolls past it.

Read the news. Heck, *pay* for the news. Ignore the AI sludge.

4. Be a hard worker.

It's easy to assume we won't work as hard when AI can do the work for us. And companies are already trying to do more with less of us since AI agents don't complain or take coffee breaks. But don't be fooled: The jobs that are available will go to the people doing the real work.

I reminded this class: You're one of the last to start college without AI tools to summarize readings or write papers. Let AI help you, but don't shortcut the important efforts. Like, I *could* have had ChatGPT write the speech, but instead I wanted to pen my own bad jokes.

Altman offered another piece of advice: "You will start your career in the greatest time of opportunity possibly ever, and you'll be able to accomplish more than anyone who has come before you." Let's hope he's right.

5. Be a collaborator.

The greatest lessons I learned in college weren't in the classroom but in the newspaper office, working late with other editors putting

issues to bed, or in a dorm room, collaborating on group projects.

AI can be a collaborator, sure. But your greatest teammates will still be other humans. My best, most creative work—the stuff that has won awards and accolades—happened because of people who challenged, inspired and supported me.

Speaking of teammates, a bonus rule: Don't fall in love with a robot or chatbot. Seriously. It's happening more than you think. Find yourself an amazing partner—a human one.

I wrapped up the speech with this last piece of advice: At the end of the day, it's not the machines that will define your future. It's the relationships you build, the values you carry and the curiosity and creativity you bring to everything you do.

Which is why I thought it was perfect to end with a group song—a powerful, human moment to bring our voices together. I chose "Lean on Me."

What I *didn't* consider? The limited vocal enthusiasm of hot and hung-over college grads. I estimate a total of 35 joined in. And that's a generous estimate.

But hey, that's what made them human. AI probably would have belted it out. But it never would have felt it.

BY IMANI MOISE

'Buy Now, Pay Later' at Checkout Can Now Factor Into Credit Score



Credit scores will start to take into account the hundreds of millions of loans tied to the "pay later" option at checkout.

Fair Isaac Corp., the company behind the most widely used U.S. credit score, said Monday that it would roll out a new model that factors into its scores the "buy now, pay later" loans used to finance everything from Gucci belts to groceries.

It is the first time FICO has ever introduced a score to account for a type of loan, according to Ethan Dornhelm, vice president of scores and predictive analytics at FICO.

The credit-scoring industry has long puzzled over how to evaluate these loans because they are so different than, say, a credit-card loan or auto loan.

These short-term plans, in which a customer often pays for their purchase in four installments over six weeks, are among the fastest-growing types of consumer credit over the past few years.

The value of BNPL transactions in the U.S. is expected to reach \$108 billion this year, up from \$94 billion in 2024, according to market-research firm Emarketer.

Some industry observers have said the growing reliance on BNPL loans might mask economic stress among American consumers.

The Consumer Financial Protection Bureau, under previous leader-

ship, warned about "loan stacking," where consumers juggle multiple BNPL loans at once.

Because these loans haven't appeared on credit reports, lenders were often blind to how much debt a borrower had already taken on.

In April, Affirm began reporting all new loans—including its "pay in

four" plans—to Experian and TransUnion, a move other providers are expected to follow.

Factoring BNPL data into scores requires more than just feeding the numbers into the existing algorithm. Current scoring models penalize consumers for opening several new lines of credit in a short period.

That would mean opening four BNPL loans in a three-month period would cause a credit score to drop as much as it would if opening four credit cards in the same time frame—even though the BNPL loans aren't as risky as the credit cards.

So FICO is rolling out the new credit-scoring model and offering it

to alongside its current one, starting this fall.

Banks and credit card-companies will evaluate the new data but don't have to rely on it.

Though the scores will be available to lenders, it is up to credit-reporting bureaus such as Experian, Equifax and TransUnion to decide when to make them visible to borrowers and lenders.

So far, bureaus have decided to make BNPL data available to consumers, but they are waiting on more data before sharing them with lenders.

The new scores were trained on a sample of more than 500,000 BNPL users in a joint study with Affirm.

The model groups together multiple BNPL loans when evaluating creditworthiness. According to FICO, consumers with five or more Affirm loans typically saw their scores increase or remain stable under the new model during early testing.

Still, more open lines of credit offer more chances for a borrower to fall behind.

Missing payments on a BNPL loan will be more likely to penalize your credit score.

Many younger consumers and new immigrants turn to BNPL before they apply for credit cards, meaning having the loans could help them build credit histories. However, it is ultimately up to lenders to decide how to evaluate potential borrowers who rely heavily on short-term financing.

ARTS IN REVIEW

By DIANE COLE

EXHIBITION REVIEW

Jane Austen's Ambition

The Morgan Library & Museum offers a fresh view of the great novelist

Literary reputations come and go, but the uncommon sense and sensibility of Jane Austen (1775-1817) abides, as demonstrated by the millions of copies sold of the books she penned, and by the innumerable adaptations in different media that they continue to spawn.

The Morgan Library & Museum's "A Lively Mind: Jane Austen at 250" celebrates the landmark anniversary of Austen's birth by chronicling the author's life and continuing afterlife with equal measures of popular enthusiasm and scholarly rigor. Even if you arrive having never opened "Pride and Prejudice," by the time you leave you'll probably be wondering why you haven't. (Another celebration marked by the exhibit is the 50th anniversary of the bequest by Alberta H. Burke of her extensive Austen collection, divided between her alma mater, Goucher College, and the Morgan, and from which many of the items on display come.)

The plot line that runs throughout the exhibit answers a most intriguing question: How did the spinster daughter of a country minister of modest means in the small village of Steventon, England, come to nurture a mind so lively and develop a wit so intrepid that she was able to write her way into the forefront of what the literary critic F.R. Leavis dubbed "The Great Tradition"? Co-curators Dale Stinchcomb, curator of literary and historical manuscripts at the Morgan, and Juliette Wells, professor of literary studies at Goucher, employ numerous letters, manuscripts, documents, artworks and personal artifacts that simultaneously showcase Austen's gifts while debunking lingering misconceptions about her artistry, in particular the suggestion that she never wrote for publication or profit but for her own pleasure only.

Austen began writing fiction as a teenager, often reading her pieces aloud to her family, to whom she dedicated many of them. Austen copied and collected these youthful works in a three-volume manuscript set, the second of which we see here (from 1790-93). On loan from the British Library, it bears



Austen's handwritten notation in Latin, "Ex dono mei patris": "The gift of my father," a costly present that displays his support for her ambitions from early on. Austen's seriousness of purpose is also shown in her circa 1817 list of "Profits of my Novels" (a modest amount, according to the wall label), as well as her tally of opinions from various friends and family members of her novel "Emma."

The exhibit immediately situates us in Austen's world, with the galleries decorated with wallpaper similar to the vivid green and yellow

designs that covered the dining and drawing rooms at the cottage house in Chawton, where Jane; her older sister, Cassandra; and their mother lived together, starting in 1809. Visitors today to Jane Austen's House, as it is called, can see the original small, 12-sided writing table whose reproduction appears here, with a white quill and inkpot atop it.

low designs that covered the dining and drawing rooms at the cottage house in Chawton, where Jane; her older sister, Cassandra; and their mother lived together, starting in 1809. Visitors today to Jane Austen's House, as it is called, can see the original small, 12-sided writing table whose reproduction appears here, with a white quill and inkpot atop it.

The most affecting original artifact lent by Jane Austen's House is a simple but elegant turquoise and gold ring (c. 1760-80), turquoise being one of the birthstones for December, Austen's birth month. "What a small hand she had!" commented a visitor, putting her own close to its case. A memorial lock of her auburn hair (also from Jane Austen's House) adds to our knowledge of her appearance, as the only known drawing of her from life is the 1810 graphite and watercolor, on loan from London's National Portrait Gallery, by Cassandra, which shows her seated, arms folded across her chest and wearing a white bonnet and dress. Bringing viewers still closer to Austen's personal appearance is the hand-sewn replica of her elegant gold and brown silk pelisse, dating from approximately 1812-14. The textile and fashion historian Hilary Davidson, who recreated it, estimates that Austen was between 5 feet 6 and 5 feet 8 inches tall—a remarkable height for that time. Her interest in fashion is also demonstrated in a letter to her sister on June 2, 1799, during a trip to Bath, in which Jane describes and draws a lace pattern and asks Cassandra's opinion of it. We also learn details of Austen's daily routine, such as playing the

pianoforte each morning before breakfast, probably performing from her hand-copied volume of musical selections, which she cheekily titled "Juvinal songs & lessons for young beginners who don't know enough to practise." The neatly jotted musical notes help bring to life the many scenes of music-making, dancing and singing that occur throughout her work.

Family correspondence also challenges the misconception still harbored by many that Austen lived a monotonous, lonely life. Letters describe regular travels to London, Bath and various seaside resorts, attending balls, touring grand estates and residences, and meeting and observing people of every social status, all of which provided fodder for her imagination. After attending a London art exhibit, for instance, she writes in a letter to Cassandra on May 24, 1813, about a painting that struck her as a portrait of Mrs. (Jane) Bingley from "Pride and Prejudice," calling it "exactly herself, size, shaped face, features & sweetness; there never was a greater likeness."

The final galleries track the growth of Austen's popularity, starting with four of the six known copies of "Emma" from an unauthorized Philadelphia reprint that appeared during Austen's lifetime. Over the next centuries, her admirers multiplied exponentially, aided in America by praise from novelist and journalist William Dean Howells, among others, until today.

It is only apt, then, that visitors exit through a doorway framed by bookshelves filled with translated copies of Austen's works from around the world, with her continuing ascendancy affirmed by the charming 2019 painting by Amy Sherald that closes the exhibit. Depicting a handsome young black man in casual dress and titled with a familiar phrase from "Pride and Prejudice"—"A single man in possession of a good fortune"—it leads the way to the next 250 years of readers.

A Lively Mind: Jane Austen at 250
The Morgan Library & Museum, through Sept. 14

Ms. Cole is the author of the memoir "After Great Pain: A New Life Emerges."

ARTS CALENDAR

HAPPENINGS FOR THE WEEK OF JUNE 24

By WSJ ARTS IN REVIEW STAFF

Film

"F1: The Movie" (June 27)
In the new film from "Top Gun: Maverick" director Joseph Kosinski, Brad Pitt plays Sonny Hayes, a former Formula 1 phenom whose career was cut short by an accident. After a 30-year hiatus, Hayes returns to the asphalt to mentor rookie driver Joshua Pearce (Damson Idris) and confront his own complicated past.

"Sorry, Baby" (June 27)
In the new dramedy from A24 directed by and starring Eva Victor, a young woman who works at a small New England college tries to heal from a traumatic event as she settles into adulthood. Naomi Ackie, Lucas Hedges and John Carroll Lynch co-star.

TV

"The Bear," Season 4 (Hulu, June 25)
The hit series starring Jeremy Allen White and Ayo Edebiri returns. In 2024, the show broke its own record for the most Primetime Emmys won by a comedy series in a single year, claiming 11 categories. Reviewing the third season, our critic asked, "Is it successful because it takes chances, or can it take chances because it is successful?"

"My Mom Jayne" (HBO, June 27)
Mariska Hargitay makes her feature directorial debut with a documentary about her late mother, the American cinematic sex-symbol Jayne Mansfield.

Theater
"Duke & Roy" (Lucille Lortel Theatre, New York, June 24-Aug. 23)
Writer Charles Randolph-Wright explores love, cultural divisions and resilience in this off-Broadway production starring Jay Ellis and Stephanie Nur. The play follows an international hip-hop artist and Afghan inter-

preter who find love in war-torn Kabul.

Music

Lorde, "Virgin" (June 27)
Preceded by singles "What Was That," "Man of the Year" and "Hammer," the singer-songwriter's highly anticipated fourth LP offers reflections on pain, romance and gender.

Barbra Streisand, "The Secret of Life: Partners, Volume Two" (June 27)
For the follow-up to her 2014 duets collection, the singer and actress invites Hozier, Paul McCartney, Bob Dylan, Laufey and others to join her 11-track LP.

Dance

Jacob's Pillow Dance Festival (Becket, Mass., June 25-Aug. 24)
For nine weeks, the dance

of the finest works from Albert C. Barnes's singular collection as the museum undergoes a reflooring project, this show outlines the development of French painting by trailing Impressionist and Post-Impressionist masters from the nation's capital to points farther south as they searched for new perspectives, palettes and inspirations.

Getty Villa Museum Reopens (Pacific Palisades, Calif., June 27)
After a five-month closure due to the fires that ravaged Southern California earlier this year, the Herculaneum-inspired building will welcome visitors once again. Following extensive cleanup and maintenance, the institution will offer limited hours and cap entries at 500 guests a day.



Jeremy Allen White in 'The Bear,' which returns this week.

center and performance space in the Berkshires will host world-class performances, exhibits, talks, workshops and more. Michelle Dorrance and Ephrat Asherie will open the 93rd fest with "The Center Will Not Hold," a fusion of hip hop, breaking, house and tap dance.

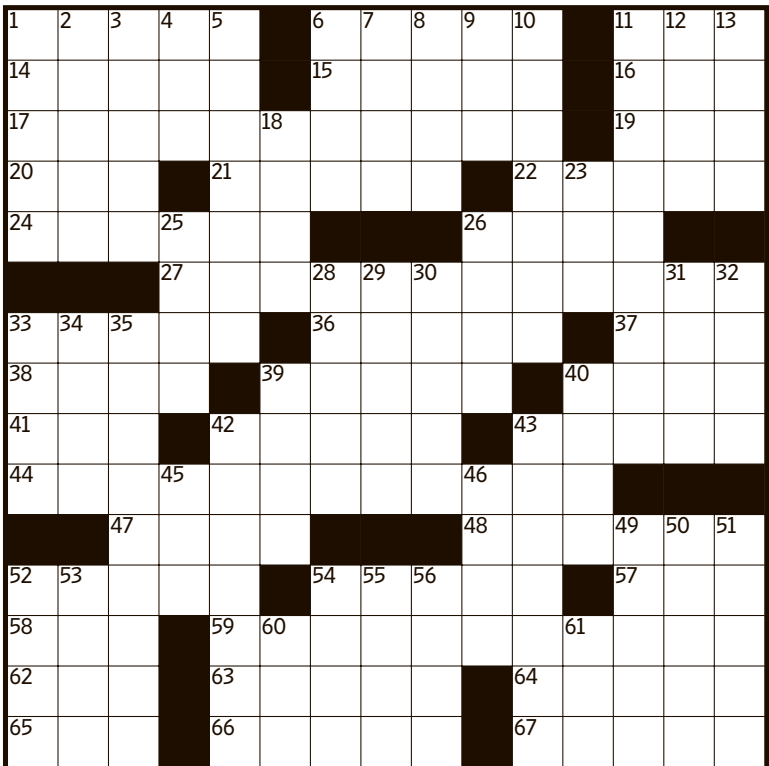
Art

"From Paris to Provence: French Painting at the Barnes" (The Barnes Foundation, Philadelphia, June 29-Aug. 31)
Recontextualizing some

Last Call
"Stephen Sondheim's Old Friends" (Samuel J. Friedman Theatre, New York, through June 29)
Bernadette Peters and Lea Salonga lead Cameron Mackintosh's song-stuffed revue of the Broadway composer's legendary career. Our critic called it a "lavish and affectionate tribute."

For additional Arts Calendar listings visit wsj.com. Write to brian.kelly@wsj.com and catherine.goodman@wsj.com.

The WSJ Daily Crossword | Edited by Mike Shenk



COLLEGE KNOWLEDGE | By Amy Goldstein & Adam Cohen

Across

- "The Two ____" ("Chinatown" sequel)
- Brewer based in Tokyo
- In the know
- It can be fuzzy or symbolic
- Pod piece
- College class in Scandinavian studies?
- Spot for a street performer's tips, perhaps
- Luau's music maker
- He-Man's twin
- Keoghan of "The Banshees of Inisherin"
- Madrid Mrs.
- Bubbly British chocolate bar
- College certification for online discussion site participation?
- Did some carpentry
- Round gasket
- Hosp. area that's closely monitored
- Theme of Taylor Swift's recent tour
- Join forces
- Particle named from the Greek for "indivisible"
- Do something
- Soundly defeat
- Secluded valleys
- College-concluding research paper about lab monkeys?
- Singer
- McEntire
- Unexpectedly funny
- Hedren of "The Birds"
- Electricity pioneer Nikola
- Obamacare, for short
- Fuss
- College exam at the conclusion of a chiropractic class?
- Under the weather
- Looks after
- Like the crest of a whitecap
- One of the fire signs
- Chocolates in the bottom of a desk drawer, e.g.
- One of England's home counties

Down

- Two-faced Roman god
- Stopped snoozing
- One of music's Carpenters
- Stammering sounds
- Becomes enraged

- Coffee mate?
- Celtic language
- Collection plate alternative
- App symbol
- Alka-Seltzer rival
- Char quickly
- St. Louis skyline feature
- Sport whose players wear their numbers on their caps
- Major in astronomy?
- "I forgot to mention..."
- Braque and Picasso, for two
- Tallest mammal
- Mo. with an equinox
- Window support
- Frequent babysitters
- Translation of Caesar's "veni"
- Group of sepals on a flower
- Comet component
- Just sitting around
- "30 Rock" creator Fey
- Breaks off frame
- Terrier or tabby
- Android competitor

Previous Puzzle's Solution

A	S	C	O	T	D	R	E	S	S	R	C	A
M	A	R	I	A	R	E	V	E	P	E	O	S
I	D	Y	L	L	A	M	A	N	A	M	R	S
					S	T	E	P	I	N	G	S
P	I	T	A		L	E	X		M	A	V	E
A	M	A	N	D	A		E	S	P		S	E
W	A	L	K	I	N	G	S	T	I	C	K	S
					A	I	R		A	L	L	
					R	U	N	N	I	N	G	L
S	C	O	T		G	N	U		B	I	L	O
A	L	O	A	D		T	A	U		O	P	T
D	A	S	H	I	N	G		F	I	G	U	R
I	S	T		G	O	E	R	S		R	I	F
S	S	E		I	N	T	E	L		A	F	O
T	A	R		T	O	S	E	E		L	Y	R

► Solve this puzzle online and discuss it at WSJ.com/Puzzles.

JASON GAY

Heartbreak in Game 7: Indiana’s Hopes Undone by Haliburton Loss

The Pacers’ dynamic leader gets hurt, changing the complexion of the do-or-die title decider



Tyrese Haliburton's early exit all but doomed the Pacers' title hopes.

That's basketball. But that was brutal, too. It was billed as an NBA Game 7 for the ages, a highly unexpected showdown, for certain—the Indiana Pacers pushing the heavy-favorite Oklahoma City Thunder to a do-or-die championship decider Sunday night. With 4:55 left in the first quarter, it became something very different: a heartbreaker. That's when Indiana's best player and leader, Tyrese Haliburton, fell to the court while driving to the basket, his lower right leg quivering with what appeared to be the classic presentation of an Achilles injury. Haliburton's father, John, later told ESPN that indeed was the case. Haliburton's emotional reaction—he immediately began slapping the floor with a hand—said everything you needed to know. Stunned teammates crowded around.

Haliburton would hobble toward the locker room, towel on his head, left arm draped around veteran teammate James Johnson, done for the night, the series, and likely, much, much more. The nightmare: Pacer down. Not just a Pacer, but the dynamo who stirred this outrageous Indiana playoff run, a speedy, unselfish guard with a habit of winning games with ridiculous, high-arching shots. Haliburton had been dealing with calf injury on the same right leg—his health was the central drama in the back half of this extended series—but he looked good to start Game 7, hitting 3 of 4 3-pointers. "He gave us everything," his teammate Pascal Siakam later said. "Everything he had." Indiana tried to rally, and they kept it close until halftime, but in the third quarter, the Thunder began pulling away. There were a few flashes of that Indiana comeback magic—TJ McConnell had another TJ McCon-

nell small-bodied outburst—but the swarming Thunder kept frustrating the Pacers with offensive rebounds and turnovers and ultimately prevailed, 103-91. Injuries are part of sports, of course. Haliburton, just 25, is far from the first star to go down at a major moment. But his departure instantly changed the vibe of what is ordinarily a thrilling night. It felt crushing, even bigger than the title game at hand. This is not the story of a bully triumphant, however. The Thunder, re-branded from the Sonics after moving from Seattle in 2008, have won their first title in Oklahoma City. This is a smartly-run, patient franchise defying the idea that contenders can't be built in a small market. The Thunder have a good coach (Mark Daigneault), a young core and a low-key, likable

Finals MVP (and league MVP) in Shai Gilgeous-Alexander. They play team-oriented, pressure basketball and won an absurd 84 games in the regular season (68) and playoffs (16), tying them with the Michael Jordan-era 1996-97 Bulls for the third-most ever. If anything, OKC's going to get better. Watch out. As for Indiana, it's devastating to get so close and then have to try to win short-handed. This injury didn't just color Game 7 — it changed the complexion of the Pacers' future. Indiana hasn't confirmed Haliburton's status, but if it's indeed his Achilles as his father said, that is a prolonged recovery. It's possible he's not playing for a year. In the aftermath there are questions about what's going on—prior to Haliburton falling out, two

other NBA stars, Boston's Jayson Tatum and Milwaukee's Damian Lillard, went down with Achilles injuries in the playoffs, torpedoing both the Celtics and Bucks futures, too. The entire Eastern Conference could be up in the air. Is the league playing too much basketball? Are 82 regular season games followed by repeated Best-of-7 series too much to ask? This is not the first time we've seen a Finals impacted like this—in 2019, Kevin Durant, then of Golden State, suffered a similar-looking injury sequence, a bad calf into a torn Achilles. He missed a full season. Is this a random series of unfortunate events, or is something broader happening with player health and the relentless pace of the modern game? Haliburton clearly took a risk playing injured Sunday. But it's what he wanted—and it's what the game expects. Does the NBA and its player membership need to take a longer view and dial back the workload? Fewer games, of course, could mean fewer dollars. I've never seen the aftermath of a championship game covered like this. Usually the script is written by the winners. The losing Pacers got as much attention from the TV cameras as the winning Thunder did. There were extended shots of Haliburton leaning over a pair of crutches, consoling his returning teammates. Retired Pacer legend Reggie Miller held an emotional McConnell as the latter left the floor. I can understand Thunder fans thinking: Hey didn't we just win a World Championship? But the Pacers clearly made an impact. A pronounced underdog, repeatedly winning upsets, often via buzzer beaters, will assemble a loyal following. Indiana showed what it was about in Game 7's final quarter. This contest was effectively over—the Thunder pushed the lead beyond 20—and the minus-Haliburton offense was too ragged to launch an extended threat. But they kept pushing, picking up the Thunder for full-court defense, nicking away, refusing to roll over. "It was symbolic of what this team stands for, what basketball in Indiana stands for," said a proud Pacers head coach Rick Carlisle. "There was no surrender." There wasn't. There was no quit. Still, for Indiana and Tyrese Haliburton, it's a heartbreak—heading into a long summer.

He's the NBA's Biggest Winner. And He Got There By Losing. And Losing. And Losing.

By ROBERT O'CONNELL

Oklahoma City
THE MOMENT that the Oklahoma City Thunder beat the Indiana Pacers in Game 7 of the NBA Finals on Sunday, Shai Gilgeous-Alexander etched his name into basketball history. He had led the Thunder to their first championship. He had added the Finals MVP to a trophy case that already included the regular-season MVP award. He had become the first player in 25 years to lead the league in scoring and cap the season off with a title. He also happened to one-up a player who knew a little something about putting the ball in the basket and piling up championship rings. When the buzzer sounded Sunday night, Gilgeous-Alexander became the highest-scoring NBA champion of all-time, beating Michael Jordan by 0.1 points per game. "It's hard to believe," Gilgeous-Alexander said. "It's hard to even fathom that I'm that type of basketball player sometimes." But the truly unfathomable thing is the route that Gilgeous-Alexander, a string-bean guard from Canada, took to surpassing one of basketball's greatest winners. That's because it started with losing—lots and lots and lots of losing. Gilgeous-Alexander came to the Thunder in 2019, after Oklahoma City general manager Sam Presti traded star Paul George to the Los Angeles Clippers. Immediately, Gilgeous-Alexander proved to be a good fit, scoring 19 points a game

and helping push the Thunder to 44 wins—a 50-win pace, in a season that would end up shortened by the Covid pandemic. There was just one problem. Gilgeous-Alexander showed flashes of brilliance, but the Thunder's roster was so well-rounded that he was handcuffed to a limited role. He faced a headache common to many young professionals in new cities: He was essentially blocked from a promotion. So after the Thunder advanced to the postseason in 2020, Presti decided to do something drastic to give the kid a shot. He turned the Thunder into one of the worst teams in the entire sport. Presti stripped the Thunder down to the bolts, sending All-Star point guard Chris Paul to the Phoenix Suns and trading away four of the team's five top scorers. The purpose? To see whether the intriguing young player he had acquired could make shots against the best defenders in the league, and whether his body could withstand the demands of being a number-one scoring option. In short, the Thunder were pressure-testing Gilgeous-Alexander for superstardom. "That's how you know how good they are," Presti said at the time. "They bounce through things." To the outside observer, the deals looked like an unmitigated disaster—less of a bounce than a crash and burn. Gilgeous-Alexander missed the back half of the 2021 season with a foot injury, and



Shai Gilgeous-Alexander became the highest-scoring NBA champion in history when the Thunder won the title.

the Thunder plummeted to a 22-50 record. Meanwhile, Paul led Phoenix to the NBA Finals. The next year was just as bad. The Thunder finished 24-58—the second-worst record in the entire Western Conference. But through all of that failure, Gilgeous-Alexander was learning how to succeed. It was a carbon copy of a plan Presti had used once before—when he traded away All-Star shooting guard Ray Allen to let another lanky scorer take the wheel. His name was Kevin Durant. Durant won an MVP award with the Thunder and carried them to the NBA Finals before leaving for Golden State. But the

shocking thing about the 2.0 version of Presti's plan is that it's worked out even better. This season, Gilgeous-Alexander led the NBA with 32.7 points per game, exactly a tenth of a point more than Jordan averaged in his 1993 championship season. For the third consecutive season, he put up more than 30 points a night while making more than 50% of his shots—joining MJ as the only two guards in NBA history to do so. The similarities between Gilgeous-Alexander and basketball's greatest player don't end there. Like Jordan, Gilgeous-Alexander works predominantly in the "midrange" sector of the floor be-

tween the 3-point line and the basket. It's an area that has been neglected as analytics have pushed players to launch 3-pointers—but one that the rarest scorers can utilize masterfully. "It only takes a split second, and these guys can escape, elevate and make those shots," said Tim Legler, an ESPN analyst who once had the unfortunate job of guarding Jordan. "The most unguardable one-on-one force in the league right now is Shai." Now the most unguardable force is also the NBA's newest champion. And the reason Gilgeous-Alexander has reached basketball's summit is because he started at the bottom of the heap.

OPINION

Trump’s Political Calculus on Iran



GLOBAL VIEW
By Walter Russell Mead

Donald Trump has astonished the world again. Saturday’s attack on three Iranian nuclear sites was the boldest use of American power since George W. Bush launched his shock-and-awe campaign against Saddam Hussein in 2003.

The effectiveness and consequences of the daring raid remains unclear. We don’t yet know how badly Iran’s facilities were hit, or how much fissile material and equipment had been evacuated. Nor do we yet know what comes next. Does Iran plan further retaliation after Monday’s limited strike against an American base in Qatar? How long will Israel continue to follow up the attack, and how effective will more Israeli attacks on regime facilities be? Will this be the last direct American attack on Iran? Will Mr. Trump be dragged into a “forever war” of his own?

The answers will emerge in due course; for now, it is more useful to look at the political calculations that led Mr. Trump to defy the restrainer wing of his coalition on what, for many Trump supporters, is the cause that brought them into politics and the defining issue of their lives.

America’s 21st-century track record in the Middle East, under presidents of both parties, has been appalling.

From Mr. Bush’s ill-fated invasion of Iraq to Barack Obama’s shambolic intervention in Libya and Joe Biden’s bungled withdrawal from Afghanistan, American presidents have blundered across the region, losing trillions of dollars and thousands of lives in one ill-judged escapade after another. These costly failures alienated a generation of Americans, fueling populist isolationism on the right and socialist anti-Americanism on the left.

Mr. Trump campaigned against the forever wars of his predecessors and many of his most fervent supporters expected him to withdraw from the Middle East rather than bomb it. Now, in what may prove to be the decisive moment of his second term, the president has struck at the heart of Iranian power. And far from reassuring supporters that the attack was a one-off, Mr. Trump has invoked the phrase “regime change” for Iran as he contemplates the future.

As the echoes of the explosions faded in Iran, the political shock waves were reverberating in the U.S. Tucker Carlson and Rep. Alexandria Ocasio-Cortez figuratively stand side by side protesting on the barricades while John Bolton and the ghost of John McCain cheer the president on. For the most part, however, the MAGA coalition has stayed loyal to its president, with leaders from Vice President JD Vance on down expressing both personal and political support. There are, however, no guarantees. If

Saturday’s attack leads to another endless and costly military conflict, Mr. Trump could end up politically isolated.

But he may be less exposed to this risk than many suppose. Lyndon B. Johnson felt unable to walk away from the Vietnam conflict even as it broke the Democratic Party. Mr. Bush’s sense of duty compelled him to continue the Iraq war long after it became

His MAGA coalition remains loyal, but if things go badly, he could end up isolated.

a political liability. Mr. Trump is harder to trap and would likely move to escape an unpopular conflict as rapidly and unscrupulously as his political interests required.

Despite the fulminations of highly visible anti-Israel voices online and in the media, in siding with Israel against Iran, Mr. Trump is aligned with the majority of his coalition. In a Fox News survey released June 18, 73% of Republicans supported Israel’s strikes against Iran’s nuclear facilities. Eighty-one percent of respondents said that events in the Middle East matter to the U.S., and 78% were “extremely” or “very” concerned about Iran getting a nuclear bomb. Support for American military aid to Israel peaked at 60% in November 2023 after the Hamas attack the previous month, but

it has recovered from a March low of 50% to 53% in June. Seventy-one percent of Republicans favor U.S. financial aid to Israel’s military.

Because the MAGA movement represents such a break with the dominant trends in American politics before 2016, its internal factional disputes can confuse outsiders. On many issues the Trump base is united. It is skeptical of international institutions like the United Nations and the International Criminal Court. It rejects the idea that the U.S. should serve as a global social worker or the world’s policeman.

But there are deep differences below this superficial agreement, and Israel policy brings them to the fore. The hard-core restrainers, rooted in the Jeffersonian tradition of principled isolationism, see the U.S.-Israel relationship as toxic, drawing America into an endless series of Middle East conflicts. The larger Jacksonian wing of the coalition sees Israel as an ideal ally and wants the U.S. to support it.

The military strikes against Iran played to the Jacksonian wing of the GOP. Mr. Trump’s Middle East policy will likely reflect his sense of the political balance inside his coalition. If that balance changes, American policy will shift, perhaps suddenly, but otherwise the pro-Israel tilt to Mr. Trump’s Middle East policy is likely to remain.

William McGurn is away.

BOOKSHELF | By Douglas Smith

A Doomed Revolt in Russia

The First Russian Revolution

By Susanna Rabow-Edling
Reaktion, 320 pages, \$30

On the morning of Dec. 26, 1825, a group of Russian military officers supported by 3,000 soldiers gathered in Senate Square in the heart of St. Petersburg. They had assembled to force the government to accept a list of demands, which included a constitution, civil rights, a constituent assembly and the end of serfdom. As Susanna Rabow-Edling writes in her short yet detailed and nuanced study, “The First Russian Revolution,” the Decembrists’ revolt, as it became known, marked “the first Russian attempt to overthrow an autocratic regime by a liberal opposition movement with a structured political programme.”

The Decembrists, who numbered roughly 200 by the author’s count, hailed from the elite of Russian society. Some were aristocrats; all were educated and cosmopolitan, while many were friends and members of the imperial guards regiments. Not only had they studied the ideas of the Enlightenment, many had seen with their own eyes what life was like in the West during the wars against Napoleon. Some of the Decembrists had even taken part in the triumphant entrance into Paris of Russian forces behind Czar Alexander I in March 1814.

Their awareness of the gulf in political and legal rights between

Russia and the West made inaction impossible. Justifying the rebellion to Alexander’s successor, Nicholas I, one Decembrist wrote that Russia remained a benighted state in which both people and property were “completely deprived of protection,” where there was “a total absence of law and justice” and the wholesale “repression of enlightenment and freedom.”

For much of his reign, Alexander I had supported attempts to reform Russia’s autocratic system, but by 1820 he had become a staunch conservative, determined to squash any criticism of the existing order. Frustrated by the czar’s change of heart, and unable to openly discuss politics because of increased censorship, young officers began meeting in Masonic lodges and several new secret societies, such as the Union of Salvation, to debate what needed to be done and how to turn their ideas into reality.

As Ms. Rabow-Edling makes clear, the Decembrists were patriots imbued with a profound love for their homeland and a sincere desire to serve the common good. Abolishing serfdom was the first step on the road to creating a new Russia, one in which the people would be citizens, not subjects. For some secret society members, plans for a constitutional monarchy did not go far enough. Pavel Pestel, a chief ideologue of the Decembrists, argued that regicide was necessary to guarantee Russia’s path to freedom.

The death of Alexander earlier in December and confusion over the imperial succession spurred the Decembrists to act. The men knew the odds of success were slim, but the Romantic notion of heroic self-sacrifice gave meaning to their likely martyrdom. “We are going to die, brothers, oh, how gloriously we are going to die!” Alexander Odoevsky is said to have cried out as he stepped onto Senate Square. Odoevsky, a poet and playwright, wrote that the revolt would be the “spark” that would ignite the flame of revolution.

The plan on Dec. 26 was to seize the Winter Palace and important government buildings, arrest the royal family and impel the Senate to agree to the rebels’ plans for reform. But the new czar, Nicholas I, had by this time taken the throne. He had already learned of the plot and rallied

In late 1825, a group of reform-minded Russian military officers believed the time was ripe to end the rule of the czars.

the cavalry, preventing the Decembrists from leaving the square. The standoff lasted the entire day. Rebel leaders hesitated, fearful of spilling blood. As it grew dark, Nicholas ordered the artillery to open fire. Approximately 80 people, including bystanders, were killed. In the aftermath, the authorities arrested more than 1,000 men. They hanged five of the Decembrists’ leaders and sentenced dozens to hard labor in Siberia.

Ms. Rabow-Edling argues that things might have gone differently had the Decembrists acted with greater conviction and purpose at a few significant moments that fateful day. This cannot be denied, but a more important question, one ignored in her book, remains: Even if the Decembrists had seized power, could they have transplanted their largely foreign ideas onto Russian soil? Considering Russians’ later failures—after a century of increasing Westernization—to build a liberal, constitutional order following the revolutions of 1905 and March 1917, what realistic chance did they have in 1825? Pestel himself wrote that the transition to a republican government would take time because Russia was not yet ready. In the interim, some form of dictatorship, complete with secret police to root out subversion, would be necessary. As for the empire’s non-Russians, Pestel talked of resettling the peoples of the Caucasus and deporting the Jews to Asia Minor. The outlines of 20th-century totalitarianism are unmistakable.

Despite these darker truths, Ms. Rabow-Edling writes, the “revolt became a source of inspiration for all subsequent Russian opponents of the regime,” including Lenin himself, who called the Decembrists “the originators of the Russian revolutionary movement.” Indeed, in 2011-13, the organizers of mass protests against the Putin regime invoked the example of the Decembrists. The undying symbolism of the revolt frightened the government enough that it financed the lavish 2019 film “Union of Salvation.” It portrays the Decembrists as traitors to the nation, irredeemably flawed characters ready to plunge Russia into civil war who are fortunately stopped by the iron-willed czar. The meaning for today’s Russia is obvious.

In 1817, the economist Nikolai Turgenev, who was tried in absentia for his role in the Decembrist movement and escaped punishment by remaining abroad, wrote in his diary that he was “crushed by the thought that I will not, in my lifetime, see Russia free and governed by a wise constitution.” Two centuries later, millions of Russians are still waiting.

Mr. Smith is the author of “Rasputin” and “The Russian Job.”

You Can’t Legislate Fertility

By Matthew Hennessey

Nobody ever had a baby for the tax break. That’s a simple reality that doesn’t seem to have dawned on the social conservatives pushing what they call “family friendly” provisions in the One Big Beautiful Bill Act currently working its way through the Senate. The bill contains several provisions that advocates say will be a boon to new parents and shore up the struggling American family. Don’t count on it.

Birthrates across the West have been plummeting for decades. In 1960, the average American woman had 3.65 children in her lifetime. That’s fallen to about 1.6. It’s a big problem in need of an urgent solution. But the fix won’t be found in the tax code. European countries have showered families with tax incentives and child-care subsidies for years. All to no effect.

In France, the law guarantees generous parental benefits, including paid leave, cash birth grants, child-care payments, mortgage support, and lower fares on public transit. For all this largess, fertility is no higher in France than in the U.S. In Hungary, the example par excellence of family-friendly public policy, birth rates are lower than they are here—and falling.

The West is undeniably in the midst of a dangerous demographic collapse. The reasons are complex and hotly

debated. Changing sex roles have certainly played a part. The female labor-force participation rate has nearly doubled since 1955. The precipitous decline in religious belief is also to blame. One thing’s for certain: Tax policy has nothing to do with it.

Once kingmakers in the Republican Party, social conservatives have watched their influence in the GOP and, by extension, the larger culture,

Encouraging people to start families is a job for churches and civil society, not the IRS.

steadily erode. The whiplash effect of losing the gay-marriage fight and winning at the Supreme Court on abortion has left social conservatives grasping for a saleable agenda. Everybody knows they are against transgender madness. But what are they for?

The writers and thinkers in the movement’s intellectual vanguard have alighted on pronatalism—a grab bag of policies, from birth bonuses and tax credits to paid leave, meant to reverse the baby bust by putting cash in the hands of new parents. Their motives are pure. It’ll never work.

The pronatalists believe babies are a good thing. I agree. I’m in the habit of telling

young people to have as many children as they can, that they’ll never regret having a child. Babies are worth it even when raising them is hard, which is most of the time. There’s never enough money. If you had more, you’d still think it wasn’t enough. The need expands to meet the resources available. Don’t let it stop you from starting your family, I say. The money will take care of itself.

My bona fides on this score are impeccable. I’m the father of five. The younger me never would have thought it possible, but somehow we manage to get by. People always do.

That’s the part that pronatalists don’t seem to understand. People have children for many reasons. Biology is one. We’re hard-wired to reproduce. Culture is another. Some societies place a high value on children as a common good. But have you ever met anyone who could be talked into starting a family with the promise of a time-limited, \$2,500 partially refundable tax credit? Subsidies and handouts aren’t the answer.

The best thing the government can do to support families is to give them the gift of a growing economy. There are plenty of policies proven to do just that and pro-family Republicans should support them. A future full of possibilities to work and consume, to invest in education and save for the future, is worth far

more to parents than any one-time payment or targeted tax break. Opportunity is what American families need, not entitlements.

The pronatalists will argue that the law is a teacher. If the government signals that it values children and families, then prospective parents will look past the social and cultural factors keeping them on the sidelines of the baby game. That’s asking a lot from one piece of legislation, no matter how big or beautiful.

The solution to this vexing problem is in families and churches, not Congress. It’s in the casual conversations between neighbors and co-workers. It’s in the mentorship of example. If you want people to have more babies, spread the word. Take a moment to explain why it will enrich their lives. Show them, through your own happiness, how great it is to nurture children, to see them thrive. Eventually the message will get around. Your young friends will recognize the value of having children and want a family for its own sake—maybe even a big one.

Until then, give them prosperity. Give them hope for the future. Give them what is actually in the government’s power to deliver: the circumstances conducive to a growing economy.

Mr. Hennessey is the Journal’s deputy editorial features editor.

I Envy the Nightly Newsless

By Joseph Epstein

Years ago I wrote a little book on the large subject of envy. It was part of a series on the seven deadly sins. What I discovered is that apart from the standard resentment-laden envy, there is what I termed “emulative” envy. Under the spell of emulative envy, you don’t wish to attack or strip the possessions or qualities of other people but instead to imitate, match or surpass them. I envy people who restrain themselves from watching news on television, something I am apparently unable to do.

Every so often I mention to a friend some event or incident I saw on the television news. The response will often be a version of, “Oh, I stopped watching a decade ago.” Others respond: “I restrict myself to 15 minutes a day. No more.” When I query them about this, the answers are generally short and not sweet: “I find television news depressing.” Or: “I really don’t get

that much out of it.” Or: “It’s all so hopelessly politicized.” All true.

Television news has the advantage over print media of being able to show things “live.” Print describes a riot while television shows it. Today, given all the security cameras hanging about, TV can often show robberies, even

My appetite for television news is, sadly, bottomless.

murders, as they are happening. Yet there is something missing from television news—intelligent commentary on what is being shown.

Television news is too ubiquitous to be useful. Most channels broadcast local news four times a day—morning, noon, evening and late-night. On cable, the news is on all day long. Sports and weather each get five minutes, whether they need it or not. They usually

don’t, so viewers learn about drizzle in Montana and a nice catch in a minor-league baseball game in Alabama. Repetition of previous news gets even more time.

In Chicago, where I live, local television news is often about murder and robbery. A policeman is murdered on Monday. On Tuesday his family, friends and colleagues testify to his many virtues. On Wednesday the “person of interest,” otherwise known as the killer, is featured. On Thursday the date and time of the funeral is announced. On Friday, the funeral itself is covered. A tragic event becomes yawn-worthy.

National television news is less news than announcements of troubles around the world. On cable the repetition is relieved only by the politics of various anchors, hosts and pundits. Actually, it’s generally the other way around: the politics is relieved by occasional news. Watching two or three hours of all this leaves you with very little in the way of

new information, which is what I thought news was supposed to be about.

Not that print news doesn’t have its problems. Roughly 15 years ago I cancelled my subscription to the New York Times. I remember the exact moment I did so. This was at the close of a roughly 8,000-word article ending with the phrase “remains to be seen.” The Times, I decided then and there, for too long had deprived me of my Sundays, and I dispensed with it. I am immensely grateful to The Wall Street Journal, to which I have since been a subscriber, for not publishing a Sunday edition.

The news, by definition and by etymology, should be new. On occasion it may be amusing, or downright entertaining. It ought never to be predictable, larded with crude politics or remaining to be seen. But I must run: David Muir is on in three minutes.

Mr. Epstein is author, most recently, of “Never Say You’ve Had a Lucky Life.”

OPINION

REVIEW & OUTLOOK

Trump and the ‘12-Day War’

Iran fired 14 ballistic missiles at U.S. troops in Qatar on Monday, and in typical fashion claimed to have “destroyed the American air base” in retaliation for U.S. strikes on three nuclear sites. Here on Planet Earth, the base was already substantially evacuated and the missiles were intercepted with no casualties reported. All sides said Iran gave advance notice that the attacks were coming. The price of oil fell.

Tehran’s feeble retaliation shows how damaged the regime is.

This was Persian Kabuki theater, and it would be laughable if real missiles weren’t aimed at Americans. It’s also no small matter to fire on Qatar, the friendliest state to Iran in the region, or at U.S. Central Command’s regional headquarters. But as a show of Iranian power or resolve, the attack failed. President Trump mocked it as “a very weak response,” adding that Iran had “gotten it all out of their ‘system.’”

For all the predictions that a strike on Iran would “almost certainly result in thousands of American deaths” (Tucker Carlson) and set off World War III, Iran strongly signaled it doesn’t want the fight. Israel has aggressively targeted Iran’s missile launchers, and Iranian salvos shrink each day. Iran is weak, and if its regime continues to shoot at the U.S. or Israel, it risks its survival.

Of that Iran has been put on notice, and by a lethal combination: Israeli strikes and President Trump’s Truth Social account. On Monday Israel blew the gate off notorious Evin prison, where Iranian dissidents are held and tortured. Israel also struck Revolutionary Guard units focused on internal security and the headquarters of the Basij paramilitary, whose thugs Iran uses to put down protests. These are deliberate attacks on the regime’s institutions of repression.

If Ayatollah Ali Khamenei was relying on a U.S. taboo against regime change to protect him from Israel or his own people, well, think again. “It’s not politically correct to use the term, ‘Regime Change,’” President Trump wrote on Truth Social on Sunday, “but if the current Iranian Regime is unable to MAKE IRAN GREAT AGAIN, why wouldn’t there be a Regime change??? MIGA!!!”

Tulsi Gabbard may have fainted, and perhaps that was part of the post’s appeal for the Presi-

dent. But we don’t read Mr. Trump as proposing another Iraq war. He wants “Peace and Harmony,” he wrote Monday, not a ground invasion or occupation. If Iran stands down, he would “encourage Israel to do the same.”

And sure enough, he later announced that Israel and Iran had agreed to a “Complete and Total CEASEFIRE” within 24 hours and an end to what he called “the 12 day war.” Israel reportedly agreed if Iran ceases its attacks, and Reuters reported that Iran had as well. The fair conclusion is that Iran surrendered, and even in 12 short days the war’s achievements are enormous for Israel and the U.S.

Iran appears to have lost its nuclear enrichment and weaponization facilities, its leading military commanders and nuclear scientists, and much of its missile production and launch capacity. Israel may have liked more time to hit more targets, but it also has to worry about protecting its cities.

Prime Minister Benjamin Netanyahu has also made clear that Israel won’t return to a status quo in which Iran or its proxy militias endanger its existence. Israel is signaling it is prepared to strike again if Iran insists on rebuilding its missile and nuclear capabilities. If Iran still thinks it can play by the rules of the late Quds Force killer Qassem Soleimani, Israel will from now on strike pre-emptively.

The question remains how Iran’s regime will fare now. Authoritarians appear to be sturdy until the moment they aren’t. Militarily humiliated, Mr. Khamenei could fall prey to a popular uprising. Or he could fall to an elite coup, from elements of the regime or military that see the Ayatollah’s policies driving them into the ground. In either case it’s hard to imagine a successor that would be worse for U.S. interests and “Peace and Harmony.”

As for Mr. Trump, the cease-fire and “12 day war” line is a way of assuring the isolationist right that this won’t be another Iraq or Afghanistan. He’ll squander these war gains if he lets Iran take a breather, retain any enriched uranium it has secretly stored, and then rearm. But the last fortnight creates a rare opportunity for a more peaceful Middle East.

Gilead’s HIV Breakthrough

Good news the world can use: The Food and Drug Administration last week approved Gilead Science’s twice-a-year shot that is nearly 100% effective in preventing HIV transmission. The breakthrough cracks open the door to ending the HIV pandemic.

Big Pharma delivers another life-saving medical advance.

HIV treatments have come a long way over the last four decades thanks to U.S. pharmaceutical innovation that has built on government-funded research. Gilead’s daily antiviral pills can prevent HIV transmission and slow AIDS. While an HIV vaccine remains the Holy Grail, Gilead’s new long-lasting injection, lenacapavir, is the next best thing.

Gilead tested lenacapavir—which was approved by the FDA in 2022 as a treatment for patients with drug-resistant HIV—in two clinical trials against its daily prophylactic pills. Lenacapavir was 100% effective in preventing HIV in one trial and 96% in the other. While Gilead’s pills are highly effective at preventing HIV, many people forget to take them daily.

Lenacapavir built on research funded by the

National Institutes of Health in the 1980s and ’90s on viral proteins. Gilead in the 2000s took the research out of the lab by developing lenac-

pavir, which binds to key HIV proteins and interferes with several steps in the virus’s life cycle. The next step is figuring out how to extend lenacapavir’s duration.

Even Big Pharma’s critics are hailing Gilead’s breakthrough drug, though they forget that innovation doesn’t come cheap. Profits from Gilead’s other HIV drugs have helped fund lenacapavir’s development and expensive clinical trials. President Trump’s threat of drug price controls risks slowing such advances by reducing the financial incentive to innovate.

Gilead has signed royalty-free licensing agreements that will allow six generic manufacturers to sell the drug in more than 120 lower-income countries. It will also manufacture enough shots for two million people in those countries at no profit until the generics are available. Remember this the next time you hear Democrats and Republicans assail “greedy” Big Pharma.

Senate Questions for Emil Bove

Does Emil Bove have the right judicial temperament? Does he have a judicial philosophy? Those are two questions for the Senate when Mr. Bove testifies soon in support of his nomination by President Trump to a lifetime seat on the Third Circuit Court of Appeals. The job of a judge is to interpret and apply the law as written, and many of Mr. Trump’s appointees are models.

How will he explain the Adams mess, as he seeks a lifetime judicial seat?

Perhaps Mr. Bove is also capable of being a fair referee, but his reputation lately is as a smashmouth partisan who wields the law as a weapon. He’s currently a top official at the Justice Department, and his recent handling of the case against New York Mayor Eric Adams doesn’t inspire confidence. Mr. Adams was indicted and accused of corruption last fall. If the new Trump Administration reviewed the files, decided the case was weak on the merits, and decided to drop it, that’s one thing.

What happened was stranger. According to Danielle Sassoon, then the acting U.S. Attorney in Manhattan, there was a meeting, 11 days after Mr. Trump took power, with Mr. Bove and the mayor’s lawyers.

“Adams’s attorneys repeatedly urged what amounted to a *quid pro quo*,” Ms. Sassoon wrote. “Mr. Bove admonished a member of my team who took notes during that meeting and directed the collection of those notes at the meeting’s conclusion.”

The alleged shady deal? That the Justice Department would end the case, and Mr. Adams would assist Mr. Trump’s crackdown on illegal aliens. Ms. Sassoon resigned. Mr. Bove denied a quid pro quo. Mr. Adams’s lawyers later told the judge they’d merely explained

how the prosecution was “impeding” his work “in myriad ways, including as to enforcement of federal immigration law.” As the case was being killed, Mr. Adams said he was working to “reestablish the ability for ICE agents to operate on Rikers Island.”

The Justice Department initially asked for the prosecution to be dismissed without prejudice, meaning the Trump Administration could bring it back at will. Giving the White House that kind of leverage over the mayor of America’s largest city raised alarms. Federal Judge Dale Ho refused. After seeking a review from the conservative superlawyer Paul Clement, he ended the case permanently. “Everything here smacks of a bargain,” Judge Ho wrote.

None of this looks good, and rather than securing a powerful ally in Mr. Adams, the Trump Administration’s attempt at lawfare seems to have contributed to the mayor’s political implosion. The judge and Mr. Clement prevented the worst outcome.

But what is Mr. Bove’s view in retrospect about this mess? Does he think it’s appropriate for the Justice Department to drop criminal charges against a politician who might help to achieve some political ends?

Such questions matter, given that some on the MAGA right seem ready to throw originalism and textualism overboard. During his first term, Mr. Trump’s conservative appointees remade the courts, which might prove to be his most lasting achievement. This doesn’t mean every ruling will go Mr. Trump’s way.

Yet some of his supporters are now saying they only care about the results they want, no matter the law. How about Mr. Bove?

LETTERS TO THE EDITOR

Slavery Wasn’t Simply ‘Capitalism Run Amok’

Roland Fryer’s “The Economics of Slavery” (op-ed, June 18) draws attention to several lessons that economists and historians have brought to light by studying the institution of slavery. Mr. Fryer correctly notes that the plantation system was immensely profitable for the wealthy elite of the antebellum South and that there is a long tail of poverty left in the practice’s wake. These economic realities demonstrate the exploitative nature of the institution as well as its moral abominations.

Yet Mr. Fryer doesn’t broach another dimension of slavery’s economics: namely, that the institution largely depended on government support. Fugitive slave patrols, military expenditures to fend off the threat of slave revolts and censorship of abolitionist materials by the post office were necessary to secure the institution’s economic position. These policies transferred the burden of enforcing the slave system from the plantation masters on to the taxpaying public. Many of the Confederate states cited the feared loss of these public expenditures in their secession declarations of 1861.

Those who mischaracterize slavery

as a case of “capitalism run amok” would do well to remember Lord Mansfield’s ruling in *Somerset v. Stewart* (1772), the landmark abolitionist case: Slavery is “so odious, that nothing can be suffered to support it, but positive law.” Take away its legal sanction and subsidy, and slavery’s entire economic edifice crumbles.

PHILLIP MAGNESS
The Independent Institute
Oakland, Calif.

Mr. Fryer usefully illuminates the economic drivers of slavery in the U.S. In a sort of poetic justice, those incentives have resulted in lingering adverse effects in the states that most heavily abused the practice.

I’ll offer an addendum: Educational institutions’ indifference to student outcomes today are exacerbating the injustice of our nation’s past indiscretions. Only a concerted effort brought to bear by parents, the public teachers unions and state and federal agencies can help lift those who would most benefit out of the continuing cycle of poverty, dependence and despair and provide dignity and upward mobility.

LOUIS HARRIS
Lakewood Ranch, Fla.

MAGA Isolationists Are in a Tailspin on Iran

Public debates about secret information are almost unenlightening: Those who know don’t tell, and those who don’t know pound the table. But last week, like America, was exceptional.

Before launching its air campaign, Israel clearly developed exquisite intelligence about the Iranian regime, including the names and locations of its most important nuclear scientists and the communications and procedures of the ballistic-missile force. When the Israelis leak that the mullahs triggered the latest phase of the Oct. 7 war by, among other things, scheduling a meeting between Iran’s nuclear-weapons scientists and its ballistic-missile commanders, the evidence should be taken seriously.

As you hint at in your editorial “MAGA’s Misguided Isolationists” (June 20), the ferocity of Israel’s counteroffensive has left its critics dazed and confused. A week or so ago, they officiously reminded everyone that the U.S. intelligence estimate about Iraq was mistaken. The implication? Only a fool would trust any warnings about Iran that emanated from the bowels of the Deep State. Many of these critics still deny that

Iran attempted to murder Donald Trump last year. Yet as the president deliberated about striking Iran’s nuclear facilities, they declared their trust in the American intelligence community and its assessment that Iran wasn’t working toward a bomb.

What accounts for their Damascus conversion? Little about the intelligence community has changed in recent days, other than CIA director John Ratcliffe’s discounting that assessment and stating that Israel had stopped Iran’s bomb program at the “one-yard line.” The isolationists’ ideology evidently requires facts to rearrange themselves.

Polls reveal that actual “MAGA Republicans” and Trump voters overwhelmingly supported the Jewish state’s air campaign and the American strikes. They seem to place as much faith in Israel’s intel as the president does.

Erasing Iran’s nuclear program is important, and Mr. Trump needs the best information available. He won’t get it from the shrieks from the fever swamps.

MIKE WATSON
Hudson Institute
Washington

Why Can’t New York Fix Hospice Care First?

My colleagues in Albany say they voted for “medical aid in dying,” but that’s a euphemism. Your editorial “New York’s Assisted-Suicide Mistake” (June 11) gets to the heart of the issue—that the state Senate granted the government and medical professionals the power to sanction death.

I voted no on the bill for several reasons. Among them: I believe all life is precious and that no one can predict the future with certainty. We shouldn’t make irreversible decisions based on imperfect “terminal” prognoses. The state also shouldn’t speak out both sides of its mouth. New York spends millions each year on improving mental-health and antisuicide efforts. The bill would send a contradictory and dangerous message.

Advocates say that my opposition is cruel, that I’m OK with people suffering. On the contrary, as you note, I want to help New Yorkers “manage inevitable decline and death with care and dignity.” Our state consistently ranks at the bottom of the country for hospice use. Before we introduce a

slippery experiment with suicide, why don’t we invest more time and resources into easing patients’ pain at the end of life?

SEN. ROB ORTT
Lockport, N.Y.
Sen. Ortt, a Republican, is the New York State Senate minority leader.

Time to Soul-Search, Colleges

It is distressing that funding of very desirable research is being disrupted (“How Trump Blew Up Northwestern’s Business Model,” Page One, June 17). But for Northwestern and many other universities, an honest self-assessment would raise troubling questions. Such an assessment is desperately needed and should be done irrespective of how funding is obtained. Many of us think universities have strayed far from their putative dual mission of free open inquiry and educating the young.

ROBERT T. TRASK
Saratoga, Calif.

Can someone explain how drastic cuts in funding for cardiac disease and cancer is Making America Great Again? We are ceding one of our most important and viable competitive advantages to the rest of the world. It makes no sense.

KEN PETRONIS
Charlotte, N.C.

Pepper ... And Salt

THE WALL STREET JOURNAL



“I don’t need to be critically self-aware. I have you for that.”

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OPINION

Can Iran Strike Back Effectively?

By Reuel Marc Gerecht
And Ray Takeyh

It was long evident that Iran’s atomic-weapons program wouldn’t be disabled through diplomatic negotiations and porous compacts such as President Barack Obama’s nuclear deal. George W. Bush, Joe Biden and Donald Trump in his first term also chose to punt, hoping that a mix of sanctions would obviate the need for any U.S. military action. Mr. Biden made the bad bet that leaving sanctions unenforced would leave Supreme Leader Ali Khamenei content with staying a

cans, but not enough to provoke a massive U.S. retaliation. It is a tricky balance, and a discombobulated Mr. Khamenei, who has become more aggressive with age, may not get it right.

History offers some guideposts. In 1988, as war with Iraq dragged on, Tehran tried to pressure the world by targeting oil tankers. The Persian Gulf was then, as it is today, the principal artery for transmitting oil to the world. Ronald Reagan launched an operation that destroyed much of Iran’s navy. A defining tragedy also interceded: The USS Vincennes accidentally shot down an Iranian passenger plane, killing 290 people. In Tehran’s corridors of power, paranoia played to America’s advantage. The Iranian ruling elite thought America had entered the war. Suddenly, Iran stopped molesting maritime commercial traffic. But the theocracy never sued for peace.

In August 2002, Iran was revealed to have an elaborate and clandestine nuclear infrastructure. The speed of Saddam Hussein’s collapse in 2003 stunned Tehran. The mullahs quickly came to terms with European nuclear negotiators, suspending key aspects of their atomic program. Hassan Rouhani, who would become Iran’s chief nuclear negotiator and later president, described Mr. Bush as a war-crazed “drunken Abyssinian” with whom the clerical regime didn’t want to duel. Still, Iran got busy recruiting and arming proxies for the oncoming battle with America.



Senior Iranian officers at a command center in a photo released Monday.

In January 2020, Mr. Trump authorized the killing of the Islamic Republic’s dark lord, Gen. Qassem Soleimani, in retaliation for the death of an American contractor at the hands of Iranian proxies. Tehran was astonished. It held rallies denouncing the U.S. It pledged fire and fury. It lobbed missiles at a U.S. air base, causing no loss of life, and called it quits. But Iran still had the last word.

In all these cases, once the mullahs were assured of America’s limited response, they became bolder. When Mr. Bush let it be known that his entanglements in Iraq would prevent a meaningful retaliation against Iran, his misfortune deepened. Iran resumed its nuclear program and directed its proxies to lacerate U.S.

troops next door, killing as many as 1,000. When Mr. Trump pronounced the killing of Soleimani as the end of hostilities, Mr. Khamenei accelerated uranium enrichment and the deployment of more advanced centrifuges.

Still, Mr. Khamenei has never faced a crisis like the one unfolding today. His military leadership is decapitated, his intelligence services penetrated, and his air defenses diminished. The nuclear program that he has incessantly celebrated lies in ruin. The regime is in jeopardy and its rescue requires careful calibration of competing mandates.

If America declares another mission accomplished and doesn’t strike back for Iran’s attack on its bases, it will confront a more truculent Iran.

The revolution’s martyrs do have to be revenged. The regime will surely supercharge its counterintelligence, surreptitiously resume its bomb project, and see if Israeli spymasters can catch them. This will be difficult and time-consuming, especially if the U.S. and Israel have destroyed Iran’s stockpile of enriched uranium. Tehran will also try to reanimate battered proxies, aiming them again at “Zionists” and Americans.

In the aftermath of the Oct. 7 atrocities, the much-maligned Benjamin Netanyahu declared that the rules of the game have changed. Among Mr. Khamenei’s most disastrous miscalculations was underestimating Mr. Netanyahu and how the cleric’s decades-long anti-Israel campaign, which Mr. Khamenei views as a religious obligation, could unleash a chain reaction that would threaten his rule.

America has escalation dominance. Mr. Khamenei knows that. But the theocrat is also the overlord of a regime that defines itself through unrelenting struggle against the U.S. Does Mr. Trump want to get into a sustained duel with a regime that has no intention of giving up its nuclear ambitions or its defining long war against America and Israel? The clerical regime, and everyone else in the Middle East, waits anxiously for his answer.

Mr. Gerecht is a resident scholar at the Foundation for Defense of Democracies. Mr. Takeyh is a senior fellow at the Council on Foreign Relations.

Past American triumphs were short-lived, but this time retaliation will be more difficult for Tehran.

nuclear threshold state. With Mr. Trump’s profound unease about entanglements in the Middle East, his second term looked unlikely to break from this pattern.

Mr. Khamenei will seek revenge. Monday’s attacks in Qatar and Iraq are a reminder to the Americans that the regime still has resolve. It can strike back, hoping to rehabilitate its battered red lines. Mr. Khamenei seeks again to blend caution with aggression—striking back strong enough to impress his sullen constituents and impetuous Ameri-

Trump’s Iran Strike Looks Judicious and Pragmatic



FREE
EXPRESSION
By Gerard Baker

Like many debates in politics, the “hawks vs. doves,” “interventionists vs. isolationists,” “necons vs. restrainers” dichotomy was always a false choice.

No country, let alone a superpower, can approach national security with a rigid dogma about the use of force, and for all the binary nature of the contentions we have had on the subject in the past few decades, I suspect no American president ever has.

Experience, temperament and ideology will predispose different leaders to a greater or lesser willingness to deploy the military in the event of crisis. But most will proceed on a pragmatic assessment of risks and rewards, not some fixed idea about the principle of using force. Even Genghis Khan knew when diplomacy could achieve more than war.

Seen in this light President Trump’s decision to order a U.S. military strike on Iranian nuclear facili-

ties isn’t a “win” for the interventionists against the noninterventionists in the president’s coalition, a decisive departure in Trumpian foreign policy. It looks instead like a classic and—as far as we can tell—effective piece of operational expediency born of tactical opportunism to advance legitimate strategic objectives. It seems an almost inevitable choice for a president with a proven record of willingness to use force when deployed in limited form with a high probability of success.

I share the disdain of those in the MAGA coalition for the hyperactive types—many of whose uniformed service never went past the Boy Scouts—who seem to think the answer to every global problem is for the U.S. to spend blood and treasure fixing it. Given the experience of American operations in the recent past, this represents either the triumph of hope over experience or a selective amnesia that thinks it’s 1945 again and every enemy is a Nazi Germany or Imperial Japan just waiting to be transformed into an upstanding member of the international community.

You would have thought by now that the lessons of Iraq would in-

duce—if not humility, which is probably asking too much of some of these folks—at least some curiosity about the efficacy of getting our forces involved in a conflict in a far-flung country.

Americans backed the Iraq war in 2003 on the breezy assurances by its advocates that Saddam Hussein had weapons of mass destruction, that regime change would be a walk in

The U.S. enters a fight in our national interest in which an ally has done most of the heavy lifting.

the park, and that peace and democracy would reign as soon as Baghdad was liberated. We went 0 for 3, and most Americans are rightly chastened and suspicious of similar entanglements, especially after a 20-year war in Afghanistan that ended in tragedy and humiliation.

They are skeptical, too, of those who proclaim the false certainty of outcomes of a narrowly targeted intervention. We are told by the

advocates of military engagement that no one is talking about a prolonged conflict, an Iraq-style invasion. This isn’t even a war, they say, merely a “surgical strike” to achieve a narrowly drawn goal.

But unlike surgery, for which the patient is usually flat on his back and under anesthetics administered by the surgeon’s collaborators, the object of the treatment is conscious and plotting his options when we stick the knife in. From the global economy’s vulnerability in the Strait of Hormuz and the thousands of Americans at military and diplomatic outposts in the region to the regime’s terrorist networks around the world, the potential for Iranian retaliation and the cycle of escalation that could follow aren’t negligible.

Yet for all that, the U.S. strikes on the nuclear facilities at Fordow, Natanz and Isfahan still seem not only defensible but urgent and necessary.

No one seriously doubts the Iran nuclear threat. We can quibble about the pace at which the mullahs are pursuing the capability. But while they might have disguised their progress, the evidence is clear that nuclear capability is a line they plan to cross in a way that would change

U.S. security interests forever.

Iran has been in a direct and proxy war with us for years. The near-impunity with which the regime in Tehran has been able to kill Americans in Iraq, Syria and elsewhere has been a dangerous demonstration of American weakness.

Most important, most of the retaliatory capabilities Iran has nurtured as a deterrent to any attack against it have been neutralized or compromised by Israel’s astonishingly brave and successful operations in the war that—remember this—Iran’s proxies launched against it on Oct. 7, 2023. Far from America now going to war at Benjamin Netanyahu’s demand, as some in the MAGA crowd say, the U.S. is entering a fight in our national interest in which our ally has already done almost all the heavy lifting and made almost all the sacrifices.

Again, those who worry about this intervention have recent history and wisdom on their side. No one should blithely assume it is anything more than an important step in a longer struggle. But Mr. Trump’s decision to act now was judicious and pragmatic and looks less risky than the alternative.

Transgender Treatments Distort the Purpose of Medicine

By Farr Curlin

The Supreme Court’s 6-3 decision in *U.S. v. Skrmetti*, upholding Tennessee’s ban on medical gender interventions for children, reflects a split in the Justices’ views of medicine: Is it about restoring patients’ health or satisfying their wants?

The court held last week that the Tennessee law permissibly distinguished between different medical uses of puberty blockers and hormones for children. Writing for the majority, Chief Justice John Roberts explained that medical treatments are defined not only by the drug used but by the purpose for which it is prescribed. Administering testosterone to a boy with delayed puberty is categorically different from giving it to a girl.

Justice Sonia Sotomayor wrote in dissent that the law impermissibly discriminates based on sex: “Male (but not female) adolescents can receive medicines that help them look like boys, and female (but not male) adolescents can receive medicines that help them look like girls.” In her view, the goal of testosterone for boys and girls is the same: it helps

them “look more masculine.”

Behind the justices’ rift is a fundamental question: What is medicine for? In the traditional view, the purpose of treatment is the patient’s health—the well-working of the body. We don’t decide what health is. We observe health, recognize its goodness, and protect it.

Yet the rise of the “patient autonomy” model in the 1960s and ’70s directed physicians to administer treatment at their patients’ behest. This model led to a consumerist approach to medicine, which sees physicians as “providers” instead of healers. Providers of services fulfill customers’ wishes, regardless of whether doing so restores or compromises patient health.

Conflicts over “gender-affirming care” reveal how irreconcilable these models are. Tennessee’s law permits hormones and blockers for treating objective abnormalities of sexual development, consistent with medicine’s focus on health. Justice Sotomayor’s dissent collapses all uses of these drugs into one category: treatments that “help adolescents look and feel more” how they want.

Described in the American Psychiatric Association’s Diagnostic and

Statistical Manual, gender dysphoria is a mental disorder. Those who suffer it perceive healthy secondary sex characteristics as disordered.

Traditionally, medicine treats a mental disorder by helping the patient align perception with reality—like the reality of a healthy body. Medicalized gender transition turns this norm on its head, “affirming” the child’s disordered perception and treating his healthy body as a diseased one. If a girl wants to take testosterone to change her body because of her perceived identity as a boy, in this view, the doctor should go along. Justice Sotomayor described a patient who was “terrified” of undergoing the “wrong puberty” and supposedly benefited from puberty blockers. She also cited statements by major medical associations claiming that treatments to suppress healthy sexual development are “medically necessary.”

In contrast, medicine traditionally takes the well-working human body as its standard. Justice Clarence Thomas pointed out in his concurrence that giving testosterone to a girl induces a disease state, hyperandrogenism, which increases her risk of heart disease and character-

istically renders her infertile.

Justice Thomas’s concurrence aligns with longstanding principles of pediatric ethics that both doctors and parents have a fiduciary duty to promote children’s health-related interests. For pediatric patients, the ethical standard centers on their medical best interests, not their wish to suppress unwanted functions.

Physicians are supposed to promote patients’ health, not cater to their desires.

Medicalized gender transition has another glaring problem. Children can’t comprehend consequences such as sterilization or loss of sexual response. As Justice Thomas noted in his concurrence, members of the World Professional Association for Transgender Health have admitted that discussing fertility preservation with a 14-year-old is like “talking to a blank wall.” This problem is compounded by the high prevalence of anxiety, depression and other mental disorders in these children. Gender clinicians also admit that treatment ends when the child no longer wants

it—unlike how medicine handles genuinely necessary interventions.

Front and center in the debate are the vulnerable children suffering from gender dysphoria. Their healthy bodies and future ability to experience sexual intimacy and have children are at stake, illustrated by stories of irreversible damage done to detransitioners—those who seek treatment and later regret it.

The integrity of the medical profession is also at risk. This isn’t the first time vulnerable patients have been harmed by physicians to alleviate mental distress. In the 19th century, thousands of young women had their ovaries removed to treat “menstrual madness” and “lunacy.” Lobotomies were performed in the 20th century on people like Rosemary Kennedy, whose family was told she’d be calmer afterward.

Today’s gender interventions for children are disturbingly similar. In trying to relieve mental suffering, they cause permanent harm. The Supreme Court was right to recognize this. It is past time for the medical profession to do the same.

Dr. Curlin is a physician and professor at Duke University and co-author of “The Way of Medicine.”

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Notable & Quotable: Fred Smith, RIP

From Tunku Varadarajan’s *Weekend Interview with FedEx founder Fred Smith in the Journal*, April 16, 2022. *Smith died Saturday at 80:*

Free trade is Mr. Smith’s greatest passion. Trade, he says, has enabled the U.S. to be the only global power in human history to get rich while also enabling the rest of the world to prosper. In his view, the neglect of U.S. industry in favor of the financial and tech sectors—for which successive administrations in Washington are culpable—has led to a spike in populism that casts global trade as a villain.

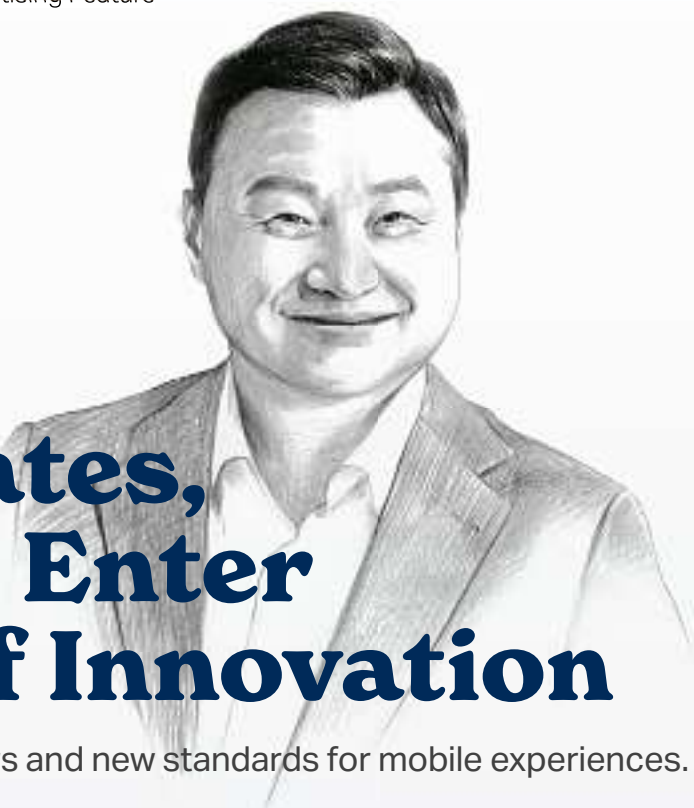
Chinese “mercantilism” hasn’t helped: “You can’t pretend that a mercantilist state like China is a free trader. It’s not.” He’d like a “coalition of the willing” of free-trade states to challenge the Chinese at every opportunity. For his part, he’d like to have a chat with Xi Jinping. “I know President Xi. I met him when he was the party head down in the eastern part of China. If I had a conversation here today, I’d say, ‘Mr. President’—just as I did with Trump—I strongly advise you to re-embrace open markets, which made you rich.”

He was particularly dismayed in 2016, when both Donald Trump and

Hillary Clinton turned against the Trans-Pacific Partnership. He’d like the U.S. to resume global leadership on free trade, and sees such a move as the modern-day equivalent of the Marshall Plan.

The plan takes the name of George Marshall. . . . The Army’s chief of staff during World War II, he was also President Harry S. Truman’s secretary of state and later of defense. “My father died when I was 4,” Mr. Smith says. “As I grew up I searched for role models in all the history I read. And I’ve tried to model my life on Marshall’s leadership.”

Special Advertising Feature



AI for All: As AI Accelerates, Smartphones Enter a New Wave of Innovation

AI catalyzes behavioral shifts, new form factors and new standards for mobile experiences.

AI is transforming how we communicate, create and get things done—and with new technology like smart rings and extended reality (XR) devices emerging, it might seem like we’re moving beyond the smartphone. But TM Roh, Acting Head of the Device eXperience Division at Samsung Electronics, says otherwise: far from fading away, the smartphone is entering its most dynamic chapter yet. And as AI becomes more ambient and personalized, smartphones are evolving from simple tools into full-fledged companions, orchestrating an entire ecosystem of connected devices that anticipate our needs and act on our behalf.

In this conversation, Roh explains why the smartphone remains essential, with foldables and ultra-slim devices signaling a powerful second act for mobile engineering.

With so much attention on AI and new wearable devices, is the smartphone still relevant?

What’s changing isn’t the relevance of the smartphone, but the nature of its intelligence. We’re in a new era where the most useful user interface (UI) is no longer a screen you tap and swipe; intelligence itself is the new UI.

Now, it’s not enough for technology to respond—we expect devices, or networks of devices, to anticipate our needs, as AI innovation brings the entire ecosystem toward a more ambient, intuitive future. Rather than declining, the smartphone’s role has also evolved to coordinate seamless experiences across smartwatches, rings and XR devices to help reduce friction in our lives.

Why is the smartphone still necessary at all? What makes it central to the next wave of intelligent devices?

AI has become a unifying layer for input across devices, sensing and interpreting diverse inputs all day—but it still needs a central hub that can organize and orchestrate multiple experiences. The smartphone naturally fills this need because it plays a unique role other technologies can’t easily replicate. It’s always with you, understands you, offering real-time and personal insights into your behaviors and daily patterns.

Last year, the Galaxy S24 showed the world what it was like to have a phone with practical AI tools such as live translation or generative photo editing. The Galaxy S25 took that further by integrating AI agents that can perform complex tasks for you without opening multiple apps—and they do it all on device. It’s no longer just a device in your pocket; it’s a human-like companion.

And as intelligent experiences grow to demand more from hardware, hardware must evolve to meet those demands. The smartphone is the one platform that can support and sustain truly personal interactions across a growing ecosystem, from wearables to tablets to XR devices.

How is AI influencing the design of mobile devices? Does the hardware even matter anymore?

AI is changing what people expect from their devices. Now it’s about anticipating needs, simplifying tasks and adapting to life in real time. As software advancements enable more intelligent, context-aware interactions, the hardware behind it must keep pace. Intelligent systems demand more processing power,

more accurate sensors, better thermal design and greater energy efficiency. With the Galaxy S25 Edge, we achieved 0.1mm-level precision in mounting components. This allowed us to build a slimmer, more portable phone without compromising the performance and cooling needs of Galaxy AI. The same engineering approach extends to our foldables.

This is the kind of progress AI is driving. We see hardware and AI as each other’s growth engines—true innovation only happens when both evolve together.

How do all the different hardware designs in your portfolio fit into your broader vision for mobile?

The goal is never just to create new form factors; it’s to design experiences that bring meaningful value and intelligently adapt to people’s lives. Our foldables, for example, were created to give people the expanded screen space they wanted without sacrificing the portability they needed. Every generation since has refined this idea.

When we introduced Galaxy AI, foldables offered the ideal canvas—an expansive screen that brought many of our new tools to life. But users quickly asked for more: greater durability, a slimmer design and a more seamless folding experience. With our new foldables, we are delivering just that, combining the full Ultra experience with the flexibility of a foldable form. It provides the power, battery, display and camera performance of a flagship Galaxy with AI that feels even more intuitive.

With all these shifts underway, how is Samsung preparing for what’s next?

This new wave of mobile innovation—powered by AI—is facilitating long-term changes in how people engage with technology.

For one of the clearest views of where we’re heading, we look to younger generations, like Gen Z users, whose relationship with technology has always been frictionless and intuitive. To them, AI is already an assumed capability, not an add-on tool for occasional use. It’s part of how they learn, create and navigate the world. Their expectations drive us to push even further in developing the software and hardware that allows AI to work quietly in the background.

We’re also focused on making innovation accessible, not just aspirational. We’re bringing this mindset to all our form factors—smartwatches, rings, XR and more. But there’s no question smartphones still anchor this intelligent integration.

I feel fortunate to be part of this moment, shaping the future of mobile in ways that are both creative and practical. There’s more to come, and I’m excited for users to experience what’s next.

“What we’re seeing isn’t the decline of one device, but the acceleration of the entire ecosystem. The smartphone remains the anchor—the platform that enables these new experiences and brings them together.”

TM Roh
Acting Head of the Device eXperience Division,
Samsung Electronics



To explore Samsung’s AI innovations, please scan this QR code or visit <https://news.samsung.com/global/>

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Messy Breakup Jolts Hims & Hers

Wegovy maker cuts ties over knockoffs; Shares of telehealth company fall 35%

By **PETER LOFTUS**
AND **ROBB M. STEWART**

Novo Nordisk abruptly ended its partnership with **Hims & Hers** after the Danish drugmaker accused the telehealth company of illegally selling cheaper copycats of Novo Nordisk’s weight-loss drug and engaging in deceptive marketing.

The pharmaceutical giant said on Monday that it had concerns about the safety of knockoff versions of Wegovy, and that Hims & Hers’s deceptive marketing of such knockoffs put patient safety at risk. In turn, Hims & Hers accused Novo Nordisk of pressuring it to steer patients to Wegovy regardless of whether it was the best option for patients. News that the deal was scrapped weighed heavily on Hims & Hers shares, sending them down 35% Monday, the largest decline for the stock on record. Novo Nordisk’s

American depositary shares fell 5.5%. The messy breakup comes less than two months after the companies unveiled what they called a long-term collaboration to directly provide Wegovy to Hims & Hers patients. The partnership was part of Novo Nordisk’s initial foray into working with telehealth firms to sell brand-name Wegovy. It came a few months after rival, Eli Lilly, struck a similar collaboration with the telehealth firm Ro for sales of Lilly’s weight-loss drug Zepbound. The dispute arises from

tensions among the manufacturers of brand-name weight-loss drugs and telehealth firms that have capitalized on the antiobesity craze. Before striking deals with the brand-name drugmakers, telehealth firms were selling lower-cost knockoff versions of these drugs made by compounding pharmacies, taking market share away from the brand-name makers. The compounding pharmacies had been allowed to mass produce knockoff versions conditionally because the original drugs were in short supply. Since then, Lilly and

Novo have resolved the shortages and pushed to end mass production of the competing compounded drugs. But the compounding pharmacies have continued to make the knockoffs, citing a loophole in the law that allows customized versions. Novo Nordisk said it ended the relationship because of Hims & Hers’s promotion and sale of illegitimate, knockoff versions of Wegovy, whose active ingredient is semaglutide. The pharmaceutical company said that Hims & Hers has failed to adhere to the law *Please turn to page B4*

Ford Warns Of Magnets Shortage Despite China Deal

By **CHRISTOPHER OTTS**

Ford Motor still faces difficulties obtaining vital magnets made with rare-earth elements, despite a deal the U.S. struck with China to ease export controls, a company executive said Monday.

“It’s hard to mouth—the normal supply-chain scrambling that you have to do,” said Lisa Drake, a vice president overseeing Ford’s industrial planning for batteries and electric vehicles.

Ford in May stopped production at a vehicle factory in the Chicago area because of a magnet shortage.

The situation has improved, but the company still needs to “move things around” to avoid manufacturing shutdowns given the scarcity of the materials, Drake told reporters during a briefing at an electric-vehicle battery plant the company is building in Michigan.

In April, China began requiring companies to apply for permission to export magnets made with rare-earth metals, including dysprosium and terbium.

The country controls roughly 90% of the world’s supply of these elements, which help magnets operate at high temperatures. Much of the world’s modern technology rely on these magnets.

Ford isn’t the only carmaker still struggling to obtain these magnets. Several other carmakers say the pace of export license approvals for rare-earth magnets hasn’t changed significantly.

“It isn’t quite day-to-day, but it’s week-to-week,” said an executive at one of the carmakers.

Car companies have warned they could be forced to halt factory work if they are unable to obtain enough rare-earth magnets.

In the auto industry, rare earths are essential to electric vehicles because they allow a low-cost way to ensure motors can operate at high speed.

Frackers Say No To Trump On Drilling

By **BENOÎT MORENNE**

President Trump warned American oil producers Monday that he was watching closely for a crude price spike as the Middle East appeared close to a regional war, and he urged the Energy Department to “drill, baby, drill.” But frackers have no immediate plans to pump more crude.

They have wrestled with lower oil prices in recent months and have been steadily shedding oil rigs and sending crews that frack wells home. A long list of factors inhibit their appetite for pumping more oil, from a global economic slowdown to pressure from tariffs and a wave of new crude supplies inundating already sated markets.

The inertia risks unnerving Trump, who has claimed falling crude prices show his efforts to contain inflation are working. As tensions reached a fever pitch in the Middle East following the U.S.’s strikes on Iran, Trump warned on Truth Social against “playing into the hands of the enemy.”

Frackers were nonplussed. For months, they have made it clear to Trump that Wall Street and supply-and-demand *Please turn to page B9*

Chinese Stocks and U.S. Exchanges Part Ways

By **JAMES T. AREDDY**

A once-symbiotic melding of American capital with Chinese growth is unraveling.

Wall Street’s welcome mat for Chinese stock listings long transcended rocky U.S.-China relations. Increasingly, the stock market relationship is succumbing to distrust between the world’s two largest economies.

More than 80 Chinese companies have delisted their shares from U.S. exchanges since 2019, according to data provider Wind. Around 275 China-based companies now represent less than 2% of the capitalization of shares traded on the New York Stock Exchange and Nasdaq.

Chinese initial public offerings still pour in—in fact, 2024 saw the highest number in years—but most are tiny, highly speculative stocks, not the megabillion-dollar “red chips” of yesteryear. The 62 Chinese offerings last year raised an average of under \$7 million. Some struggle to maintain the minimum 300 public shareholders, a red flag for investors that they could be risky or outright scams.

The NYSE hasn’t hosted a new listing from China since carmaker **Zeekr** went public in May 2024.

When Junheng Li launched her research firm JL Warren Capital in 2012, Wall Street was looking east. “China was the ‘it’ investment theme,” Li says. The China-born, Greenwich, Conn.-based Li, who titled her biography “Tiger Woman on Wall Street,” built a brand interpreting the financials underpinning Chinese industry.

She has since pivoted: “Directionally, it’s an inevitable exit for Chinese companies,” says Li, who adds that crypto and artificial intelligence are the more exciting investment opportunities now.

Not long ago, a U.S. listing was the pinnacle of a Chinese company’s success, and the NYSE and Nasdaq competed to land hot Chinese IPOs. As Chi-



Alibaba is an anomaly as a major Chinese listing in the U.S. The New York Stock Exchange on the day of the company’s IPO in 2014.

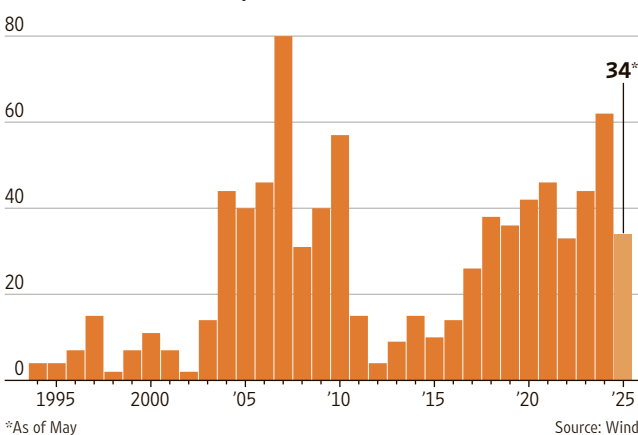
nese companies gorged on capital, American investors clamored for a piece of China’s fast-growing economy.

When online merchant **Alibaba** listed in 2014, the NYSE adorned its columns with a Chinese flag, and co-founder Jack Ma emerged an instant celebrity. The nearly \$25 billion IPO was the world’s largest and followed a string of Chinese listings in the U.S., including by internet firms such as **Baidu** and **JD.com** as well as government-owned behemoths like **China Mobile**, **China Eastern Airlines** and **PetroChina**.

Today, Alibaba is an anomaly, on its own representing 30% of the capitalization of all U.S.-traded Chinese issues.

The best-known Chinese names are mostly gone. For the first time since the 1990s, no Chinese state-owned enterprise trades on an American exchange. China Mobile was

Number of Chinese companies with IPOs on U.S. stock markets



forced to delist in 2021 after U.S. authorities imposed sanctions over national-security considerations.

The NYSE—which on a since-deleted webpage had cheered the Alibaba listing as “a moment emblematic of the truly global nature of capital

markets”—declined to comment on Chinese shares; Nasdaq didn’t respond to questions.

Politicians have always criticized Wall Street’s links to China. But Washington has rarely sounded so intent to drain American money from Chinese stocks. In a first for a

U.S. president, Donald Trump has taken aim at Chinese companies’ capital raising in his America First Investment Policy.

Rep. John Moolenaar (R., Mich.), who heads the House Select Committee on China, recently pressed Securities and Exchange Commission Chairman Paul Atkins to limit the presence of what he calls Chinese Communist Party-linked companies on American capital markets. He alleged “many face U.S. government restrictions, maintain hidden Party control mechanisms, secretly support Chinese military applications, or are linked to slave labor.”

Atkins also got a letter in May from treasurers and other financial officers of 23 states calling for forcing Chinese stocks off the exchanges. Legislation to divest pension funds of Chinese stocks is moving *Please turn to page B2*

Stablecoin Sector Bids To Lure Smaller Banks

By **GINA HEEB**

Thousands of Main Street banks struggling to keep up with cryptocurrency’s push into mainstream finance will soon get an opening to the rapidly evolving world of stablecoins.

Financial-technology giant **Fiserv** plans to launch a stablecoin and platform that could be used by its clients, which include roughly 3,000 regional and community banks, executives told The Wall Street Journal. The platform is expected to be compatible with other stablecoins and allow for easy connection with the other 10,000 financial institutions and millions of merchant locations that Fiserv works with.

Stablecoins act as digital dollars in the broader crypto world, allowing users to easily trade in and out of other tokens. Congress is advancing legislation that could accelerate their adoption for more everyday transactions.

Fiserv will build its platform on top of the payments and financial-services technology through which it already touches trillions of dollars in transactions each year. The stablecoin will be called FIUSD, but banks could work with Fiserv to create their own branded coins.

The venture will “democratize access” in the stablecoin market, said Fiserv Chief Operating Officer Takis Georgakopoulos.

Fiserv will join with the blockchain platform Solana and stablecoin companies **Circle Internet Group** and Paxos on the venture, which should be launched by the end of the year. It plans to announce a separate partnership with **PayPal**, which has its own stablecoin, and is in talks to potentially team up with card networks.

Regional and community banks have been caught flat-footed by the possibility that stablecoins could become everyday transactions. *Please turn to page B2*

INSIDE



TECHNOLOGY

A smartphone that is assembled entirely in the U.S.—and costs \$1,999. **B4**



LOGISTICS

Robots are ready to take on the warehouse jobs that require heavy lifting. **B5**

For Toy Firm, Tariffs Are No Child’s Play

By **THEO FRANCIS**

On paper, things are looking up for Rick Woldenberg and his Illinois-based educational-toy business.

Tariffs on Chinese imports are down from stratospheric levels. Federal courts have ruled the duties were invalid in the first place. And trade deals could further ease import duties.

But on the ground, it is a different story. Crucial equipment has been disassembled, packed and trucked hundreds of miles on mountain roads only to be trucked back on short notice. Staff members are constantly re-evaluating a catalog of more than 2,000 toys and games, deciding which to keep producing and which to put on ice indefinitely. And the business recently had to raise prices.

“We’re moving at the speed of light here—flying the plane while fixing it,” said Woldenberg, who runs the family business. Founded by his

grandfather in 1916, it now comprises two companies, Learning Resources and hand2mind.

For weeks, Woldenberg and his roughly 500 employees—most at a suburban Chicago headquarters—have hastened to halt shipments, reroute cargo, raise prices and freeze expansion plans. The companies sued President Trump and other administration officials in federal court, winning a reprieve that is now under appeal and on hold. On Wednesday, the companies asked the Supreme Court to intervene in their favor.

Through it all, the most pressing questions are how to move toy production out of China, where to move it—and how to get tons of manufacturing equipment there in time to meet deadlines for end-of-the-year holidays.

“It’s almost like an evacuation,” Woldenberg said. “We don’t have a place to make important items our reputation *Please turn to page B2*

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Stablecoin Sector Woos Small Banks

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more mainstream, with many of them already straining to keep up with the costs of technology, as well as the technical and regulatory know-how around it. A broad shift to crypto would put at risk the deposits that regional and community banks are especially reliant on to make loans. If customers were to pull deposits out of accounts and put them into stablecoins, that would leave the banks less room to lend, a critical source of revenue. Walmart and Amazon.com have explored whether to issue stablecoins of their own, the Journal previously reported, and the largest U.S. banks have weighed issuing a stablecoin through a consor-

tium model. Designed to be a less volatile type of crypto, stablecoins are supposed to maintain a 1-to-1 exchange ratio with dollars or other government currencies for easier use in transactions. They are meant to maintain a steady value through backing from reserves of Treasurys or other cash-like assets. Banks see an opportunity for stablecoins to speed up commercial and consumer transactions, with lower costs. But some remain cautious about the security and regulatory implications of stablecoins. FIUSD and the stablecoin platform will have built-in fraud, risk-management and settlement controls, Fiserv said, and large banks will handle custody of the stablecoin. Fiserv said it would allow its bank clients to implement its stablecoin technology at no additional cost. But it will demand transaction fees and part of the yield earned through reserve investments such as Treasurys.

Woldenberg's production has been centered on China since the 1990s, when his companies started pairing up with contract manufacturers there. Factories compete vigorously for his companies' relatively small batches, and have plenty of the unskilled but experienced workers needed to manually smooth, paint, assemble and package the products, he said. After the tariffs of Trump's first term, Woldenberg began exploring new manufacturing centers and moved production for about 15% of his products to Vietnam and India over nearly three years. Last year, the companies imported \$65 million of products, about 60% from China. When Trump won his second term in November, Woldenberg prepared for a trade war with China and drafted a plan to offset tariffs as high as 40%. Cut costs by 10% in every department. Rein in capital expenditures. Negotiate concessions from factories in China. (He said he got about 5% on average "after a lot of arguing.") Keep his own

BUSINESS & FINANCE

Stellantis Revamps Its Leadership

By DOMINIC CHOPPING
Jeep-parent **Stellantis** shuffled its leadership Monday, the first moves by Chief Executive Antonio Filosa as he starts work in his new role. Filosa, a 25-year company veteran, was named as the new head of the automaker last month following a six-month search, after former boss Carlos Tavares departed last December. Filosa served as chief operating officer for the Americas and chief quality officer before taking the top job, and

he said Monday that he will retain the role of head of North America and American brands. Chief Financial Officer Doug Ostermann will take on responsibility for mergers and acquisitions and joint ventures, while Jean-Philippe Imparato continues in his role as head of enlarged Europe & European brands, which will now also include Maserati. Emanuele Cappellano joins the Stellantis leadership team in his role of head of South America and takes responsibility for Stellantis Pro One,

the company's commercial-vehicles business unit. Philippe de Rovira was appointed to lead the rest of world and retains responsibility for Stellantis financial services, while Davide Mele joins the leadership team to lead product planning. Monica Genovese is appointed head of purchasing, Scott Thiele takes on a newly created role as head of supply chain and joins the leadership team, bringing together activities previously covered in planning and manufacturing. "The team structure em-

phasizes the choice of locating product decision-making close to the regions where Stellantis' cumulative knowledge is second to none," CEO Filosa said in a statement. Head of quality Sebastian Jacquet, and head of corporate affairs & communications Clara Ingen-Housz join the leadership team. Stellantis said that Maxime Picat, chief purchasing and supplier quality officer and chief operating officer for Asia Pacific, Middle East & Africa, and Chief Planning Officer Beatrice Foucher are leaving the company.

Toy Maker Sues Over Tariffs

Continued from page B1
is built around." Lining up new factories in another country is just the start. Heavy manufacturing-molds must be transported hundreds or thousands of miles by truck or ship and then reassembled. Quality-control processes and safety inspections must be re-created. On Woldenberg's list: Vietnam, India and Cambodia. One place he isn't considering: the U.S. American injection-molding factories aren't set up—or cost-effective—for the painting, assembly and labor-intensive finishing the toys need, he said.



Rick Woldenberg and daughter Elana Woldenberg Ruffman. Below, a toy made by hand2mind.

Flatbed to Vietnam

price increases under 10%. Then, Trump slapped 145% tariffs on goods from China. Woldenberg threw out his plan. With tariffs at that level, he started planning to move production. That meant relocating the company's 1,500 injection molds installed in Chinese factories, weighing what he estimated to be 1.5 million pounds combined. But where? The answer was clear for one of his top products: GeoSafari Jr. Kidnoculars—bright blue, green and yellow binoculars sold under the Educational Insights brand. Amazon alone has shipped more than 9,000 a month lately, pricing them just under \$10 each, and ranking it No. 1 among nature exploration toys. A factory near Hanoi already made some Kidnoculars. Woldenberg's team ordered the 13 molds in China to be sent there. They filled a flatbed truck with bulky blocks of metal stacked on pallets and wrapped in plastic. By May 1, the Kidnocular molds had arrived. Production began soon after. "That's probably the single easiest product to move," Woldenberg said. Cooper the STEM Robot, a newcomer to the Learning Re-



on constitutional and other grounds. In court, he argued that even the president's emergency powers don't let him impose such tariffs without legislation. The government said that losing the case would hurt trade negotiations and that Trump needed to maintain the tariffs to pursue delicate talks over border crossings, narcotics control and rebuilding U.S. manufacturing. While the case wound through the courts, the tariff policy kept changing. For Woldenberg, the temporary deal with China and his initial court victory are promising but not enough. His team is heading to India and Vietnam in coming weeks to oversee new production lines. Tariff rates for Vietnam and India are scheduled to rise sharply in July—to 46% and 26%, respectively. Woldenberg says he can't afford to import from China if tariffs are 55%. "We're like a refugee from a war—if the higher ground we sought isn't safe, we will load everything up in a donkey cart and move again," Woldenberg said. "It's a really terrible way to run a business."

Suing the president

Woldenberg doesn't dodge publicity. In recent weeks he has campaigned on cable television to end Trump's tariffs. His daughter, a company executive, posts TikTok explaining the pain of tariffs. The companies sued in late April, challenging the tariffs

Wall Street, China Firms Break Up

Continued from page B1
through various statehouses after a federal policy shift in 2023. The SEC didn't respond to questions. Hong Kong now hosts the biggest global IPOs—sometimes aided by Wall Street, like the \$4.6 billion offering by battery group **Contemporary Amperex Technology** in May that got deal support from Bank of America and JP Morgan. Freezing Chinese companies out of U.S. capital markets does little good if American investment banks help them list elsewhere, says Andrew King, a San Francisco venture capitalist whose organization Future Union lobbies against investment in Chinese enterprises. "It builds the capital markets in places like Hong Kong using U.S. money," he says. Stock investing is inherently risky everywhere, and some Chinese listings have blown up in spectacular fashion. Shares of Starbucks competitor **Luckin Coffee** crashed amid allegations of financial shenanigans before U.S. regulators forced it off Nasdaq in 2020, just a year or so after an IPO raised \$651 million. The Luckin case highlighted how Beijing's secrecy laws long made it difficult for U.S. regula-



U.S. regulators forced Luckin Coffee off the Nasdaq in 2020.

tors to examine the accounting of China-based firms. In its wake and following delisting threats by Washington, a U.S.-China deal in 2022 gave an American government watchdog rights to inspect audits of listed companies. Rather than allow American regulators to scrutinize their accounting, two Chinese airlines withdrew listings from the NYSE in 2023. PetroChina, briefly the world's largest company by capitalization, also has left. Now, only around 10 Chinese stocks would be big enough for the S&P 500. Scams abound. One China-based investor says he has been involved in schemes to get companies listed that involved finding Americans who, for a few thousand dollars, will open accounts with designated brokerages and give passwords to a third party that controls all trading. He showed text messages pointing to possible manipulation in the shares of a

2024 Nasdaq health-industry listing he worked on that jumped more than 60% above its IPO price within a few weeks, only to trade today 99% below its offering price. China is now holding back its best companies and has forced some of the U.S. delistings: Just months after ride-hailing firm **DiDi Global** in 2021 launched a whopper \$4.4 billion offering on the NYSE, it withdrew from the market amid a Beijing probe, part of a crackdown on homegrown entrepreneurs. What could have been one of the biggest New York IPOs in years, by China-founded bargain retailer **Shein**, was tripped up last year by political headwinds. "Increasingly, U.S. investors and many global investors are put in a position that it's difficult to invest in the second-biggest economy of the world," says Victor Shih, a professor at University of California San Diego. "There are high-growth companies in China that U.S. in-

vestors should be exposed to," he says, citing as an example carmaker BYD. Now under fire from American critics, including Trump, is a quarter-century-old work-around devised by American investment bankers that made stock-market listings possible for Chinese companies in sectors where Chinese law didn't allow foreign investment, like the internet. With a nod from regulators in the U.S. and China, Alibaba, Baidu and virtually every major Chinese company traded in the U.S. adopted the "variable interest entity" model pioneered to take Sina.com public in 2000. Unlike a regular stock that represents direct equity ownership of corporate assets, a VIE links investors with contracts, for instance, governing their claim to a company's earnings. Some critics in the U.S. say American investors have been hoodwinked all along. A congressional letter to the SEC described the VIE structure as a "shell company arrangement that does not afford investors most shareholder rights." The equities chief for a global investment bank in New York expresses doubt about a wholesale ouster of Chinese listings, saying such threats in the past weren't carried out. Still, he says, his firm is asking client companies, "How do you insulate yourself if this does happen?" Alibaba, which didn't respond to a request for comment, three years ago set a possible escape route: It established a second primary listing in Hong Kong.

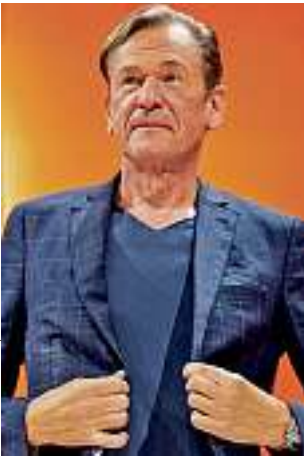
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BUSINESS NEWS



CEO Mathias Döpfner

Axel Springer to Tap AI to Boost Value

News company plans to reduce its reliance on search engines and social media

By NAJAT KANTOUAR

Axel Springer said it plans to double its value within five years supported by artificial intelligence, calling time on

the business model of maximizing clicks and advertising. The German media group behind Politico and Business Insider outlined the goal of doubling its value on Monday, as part of a strategic update following a split of its publishing and classified-advertising businesses. The split, announced last year and completed in April, left Axel Springer as a family-

owned trans-Atlantic media company owning publications such as the German newspapers Bild and Die Welt, separated from a classified-ads company known as AS Classifieds and majority-owned by KKR and CPP Investments. The media business was likely to be valued at around 3.4 billion euros, equivalent to \$3.92 billion, The Wall Street Journal reported last year.

Axel Springer said its strategy will focus on AI-based journalism, expanding media-marketing platforms and developing new growth areas. “Digital is the new print. AI is the new digital,” Axel Springer Chief Executive Mathias Döpfner said. “The business model of maximizing clicks and advertising is over!” The company aims to develop long-term relationships

with its users, reducing its reliance on search engines and social media, Döpfner said. Döpfner and Friede Springer, widow of the media company’s founder, together own 95% of the publisher after the breakup deal with KKR. The remaining shares are owned by Axel Sven Springer, a grandson of the company’s founder, and the Friede Springer Foundation.

Cement Supplier Amrize Spins Off From Holcim

By NICOLE FRIEDMAN

A Swiss building-material company’s spinoff of its North American operations will offer a new way to invest in the construction business while largely avoiding the Trump administration’s tariff threats to the industry.

Amrize, the Chicago-based spinoff of Switzerland’s **Holcim**, made its debut as a public company Monday. Analysts expected it to have a market capitalization of \$30 billion or more, which would mark the biggest spinoff so far this year, according to Dealogic.

Amrize is the biggest ce-

ment provider and second-biggest commercial roofing provider in North America. Its business is divided among commercial construction, infrastructure and residential construction.

The home-building and commercial construction industries in the U.S. have slowed considerably. In May, housing starts fell 9.8% from the previous month to the lowest level in five years. Home-builder confidence has also slumped, falling in June to the lowest level since 2022 and the third-lowest level since 2012.

While economic uncertainty and high borrowing costs have contributed to the dour mood, the prospect of tariffs on major trading partners that supply many materials is also playing a significant part in the industry’s slowdown.

Since Amrize sources most of its cement and other materials domestically, the company stands to benefit if tariffs lead to higher imported cement prices, said Anthony Codling, head of building-materials research for RBC Capital Markets.

Infrastructure construction has risen due to federal and state government spending.

In New York Amrize shares closed at \$51.99 on Monday.

Alibaba Folds Units Into E-Commerce

By TRACY QU

Alibaba Group is folding its food-delivery and online-travel services into its core e-commerce unit, streamlining operations in the face of fiercer competition.

“This marks a strategic upgrade as we evolve from an e-commerce platform into [a] broader consumer-focused platform,” Alibaba Chief Executive Eddie Wu Yongming said in an internal letter seen by Dow Jones Newswires.

Alibaba confirmed the content of the letter, which announced that food-delivery business Ele.me and travel agency Fliggy will be integrated into the company’s China e-commerce division.

The shakeup comes as competition in China’s on-demand delivery and online travel sectors intensifies.

Alibaba’s reorganization underscores the growing strategic importance of on-demand delivery—characterized by delivery times of under an hour—for China’s retail players.

The tech giant in April added a new rapid-delivery feature to its shopping platform, while rivals JD.com and Meituan have both stepped up efforts to win over consumers with ultrafast deliveries.

According to a WeChat post from Alibaba’s shopping platform Taobao, Taobao Instant



Food-delivery unit Ele.me and travel agency Fliggy will maintain independent corporate structures.

Commerce and Ele.me’s daily order volume surpassed 60 million within two months of the quick commerce feature’s launch.

Meituan, the dominant player in on-demand delivery industry, said on its official WeChat account Monday that it is expanding its “instant commerce” feature to products including electric devices and fresh food.

While data from research firm Syntun shows that gross merchandise value sales from quick commerce rose 19% on year during the “618” promo-

tion period, there could be downsides from the rising competition, research by Nomura suggests. “We believe it is clear that the intensity of the competition raised by JD has way exceeded the market’s initial expectation,” Nomura analysts wrote in a note.

The market may have to cut earnings views for JD.com in the weeks to come, say the analysts, who are likewise concerned that Alibaba and Meituan may have spent more on food delivery and quick commerce than the market expected.

The online travel industry is also drawing fresh competition, with JD.com announcing earlier this month that it would offer up to three years of zero commission to hotels joining its JD Hotel membership program.

Ele.me and Fliggy will maintain independent corporate structures, while aligning their business goals and execution closely with the e-commerce unit’s strategy, Wu said in the letter.

Ele.me, which was acquired by Alibaba in 2018, was previously under the group’s local services unit.



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Continental Sets Up New Chip Business



Continental said the new entity will be named Advanced Electronics and Semiconductor Solutions.

German car-parts company to partner with GlobalFoundries in new organization

By NINA KIENLE

Continental said it has partnered with semiconductor company **GlobalFoundries** to design its own computer chips for vehicles. The German car-parts company said on Monday that the new organization will be named Advanced Electronics and Semiconductor Solutions, or AESS. AESS will be responsible for designing and testing specialized computer chips tailored for the electronic systems and technologies integrated into its spinoff **Aumovio's** future automotive products, the company said.

While AESS will focus on design, manufacturing will be handled exclusively by GlobalFoundries, it added. Financial details weren't disclosed. "The creation of this fab-less semiconductor unit will strengthen Continental's position not only by reducing geopolitical risks, but also by the way of becoming more self-reliant in this field," Chief Executive Philipp von Hirschheydt said. The initiative comes amid rapidly escalating demand for semiconductors within the automotive industry, particularly for enhancing the electronic content in software-defined vehicles. Features like lane-keeping assistance, adaptive cruise control and collision detection rely on sophisticated semiconductors. Continental highlighted the

burgeoning global automotive semiconductor market, projected to reach around 110 billion euros, or \$126.77 billion, by 2032. It is therefore imperative for organizations to invest in semiconductor development to be successful in the long run, the company said. Continental said the establishment of AESS directly aligns with the board's long-term strategy of investing in technology and boosting self-sufficiency. Beyond self-reliance, the initiative is designed to foster a more resilient supply chain, improve product quality, and significantly reduce time to market, it added. The company anticipates the new organization will generate value through operational efficiencies, cost savings and an enhancement of overall cash flow.

Wolfspeed and Creditors Agree To Trim \$4.6 Billion in Its Debt

By ANDREW SCURRIA AND ALICIA MCELHANEY

U.S. semiconductor supplier **Wolfspeed** signed a restructuring deal with top creditors to cut roughly \$4.6 billion in debt through a bankruptcy filing. Wolfspeed, which makes its silicon-carbide wafers and semiconductor components primarily in the U.S., said it signed restructuring agreements with the vast majority of its senior and convertible noteholders and plans to ask all its creditors to approve the terms. The company said on Sunday that it expects to file for chapter 11 on or before July 1 to carry out the restructuring and emerge from court protection by the end of the third quarter, subject to court ap-

proval. Current shareholders are expected to retain a stake of between 3% and 5% in the company. Wolfspeed shares fell 32% to 61 cents each on Monday. Wolfspeed, one of the few companies that manufactures its wafers and components in the U.S., stood to benefit from the looming threat of tariffs. However, its substantial \$6.5 billion debt burden put significant pressure on the business. The semiconductor supplier was expected to receive up to \$750 million in government funding via the 2022 Chips Act if Wolfspeed refinanced some of its convertible notes due in 2026, 2028 and 2029. The company had been in talks for months with its lend-

ers for an out-of-court restructuring. In March, Wolfspeed rejected a debt proposal on which its major creditor, Apollo Global Management, also pushed back, The Wall Street Journal has reported. The deal would have converted into equity some of the convertible notes and a loan from its largest customer, Renesas Electronics. Wolfspeed signed a 10-year deal with Renesas to provide the Japanese chip maker with silicon-carbide wafers in exchange for a \$2 billion deposit. Renesas agreed to convert the deposit into new notes and equity in the reorganized Wolfspeed. Renesas said on Sunday that it could take a loss of up to 250 billion yen, or roughly \$1.7 billion, as a result.



Purism's Todd Weaver holds up the Liberty Phone's motherboard, made at its California facility. The device costs \$1,999, and it includes parts that are made in China and other Asian countries.



Liberty Phone Takes On Made-in-America Mission

By BEN RAAB

It is possible to build a smartphone in the U.S. right now. But it won't be as sleek or as powerful as an iPhone and it will cost a lot more. Todd Weaver's company, Purism, developed the Liberty Phone, the closest anyone has gotten. It has specs that would have been more impressive a decade ago and it costs \$1,999. President Trump has threatened steep tariffs on foreign-made smartphones to pressure companies like Apple to shift manufacturing state-side. Meanwhile, the Trump Organization is promoting a "Made in the U.S.A." phone for \$499 with specs that deem it unlikely to be built here anytime soon. Supply-chain analysts agree it is impossible to match Asia's production quality and scale for now. But Weaver's Liberty Phone offers a unique look at the realities of domestic manufacturing. The Liberty Phone's motherboard is built in-house, the chip comes from Texas and the assembly is done at Purism's facility in Carlsbad, Calif. But not all its parts are U.S. made: Other components come from China and other Asian countries. "I've been working on this for 10 years and we've done everything we possibly can to build from U.S. manufacturing," Weaver says. "There are just some parts that don't yet have a supply chain. We're gonna keep incrementing there until we can get to that point." Weaver says he can produce Liberty Phones at a rate of about 10,000 a month, but so far, he has sold fewer than 100,000. Apple shipped about

225 million phones in 2024, according to market analyst firm Canalys. **Dutch processor** The Liberty Phone doesn't run on Android or iOS. Its processor, produced by Dutch semiconductor firm **NXP** in Austin, Texas, is designed for cars, not smartphones. It runs on Purism's own PureOS, which is limited to calling, texting and web browsing, plus some basic apps like a calculator. The screen and battery come from China and the rear-facing camera comes from South Korea. Weaver says a fully U.S.-made phone is limited by a lack of domestic infrastructure. There are no companies mass-producing smartphone screens in the U.S., for example. Complications like this, even at Purism's small scale, help explain why Apple and others haven't made a serious attempt at producing premium smartphones in the U.S. "Even if the specs were less impressive, it would take many, many years to be fully sourced out of the U.S. and not practical," says Jeff Fieldhack, a research director at Counterpoint Research. "Cost aside, we don't have factories here building application processors, high-end displays or most of the other things in your smartphone." Weaver says the Liberty Phone costs about \$650 to make. The iPhone 16 Pro Max, a much more powerful device, was estimated to cost around \$550 to make in China last fall, according to TechInsights. Purism's higher U.S. labor costs are partially offset by cheaper, lower-quality parts: a

basic camera, low-resolution screen and half the RAM. Weaver says the Liberty Phone isn't built to compete with an iPhone right now. He says the \$1,999 retail price reflects a securely sourced phone with a vetted supply chain. About half of Purism's customers are government agencies across the U.S., he says. "On the consumer side, it's security geeks, parents who want a phone for their kid, elderly people or people who want to avoid big tech," says Weaver. "Someone who needs a wicked-strong camera is not our audience." **Tariffs' effect** Weaver estimates he could scale to building 100,000 phones a month within six months. But getting there would require investment. He has no traditional venture-capital funding, relying only on revenue and crowdfunding. Tariffs likely won't affect his costs at his current production rates because he ordered a large batch of parts when he started and still has them in supply at his facility. Weaver says a long-term tariff on imported electronics could make the Liberty Phone's manufacturing cost more competitive, since the cheap components would only see marginal increases, and more components are likely to be built in the U.S. soon. While companies like Intel manufacture chips in the U.S. and firms like TSMC and Micron are building domestic facilities, Fieldhack says those efforts are a fraction of global production. Companies lack incentives to move more to American soil.



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Breakup Jolts Hims & Hers

Continued from page B1 which prohibits mass sales of compounded drugs under the false guise of "personalization." "When patients are prescribed semaglutide treatments by their licensed healthcare professional or a telehealth provider, they are entitled to receive authentic, FDA-approved and regulated Wegovy," said Dave Moore, executive vice president, U.S. op-

erations of Novo Nordisk. Hims & Hers co-founder and Chief Executive Andrew Dudum in a post on X said that Novo Nordisk's commercial team had in recent weeks increasingly pressured his company to control clinical standards and steer patients to Wegovy. "We refuse to be strong-armed by any pharmaceutical company's anticompetitive demands that infringe on the independent decision-making of providers and limit patient choice," he said. Dudum said Hims & Hers would continue to offer access to a range of treatments, including Wegovy. Novo Nordisk said it is taking measures to keep U.S. patients safe from knockoff

drugs made with "foreign illicit active pharmaceutical ingredients." It said efforts would continue to make authentic, FDA-approved Wegovy directly available through NovoCare Pharmacy to select telehealth organizations. Hims & Hers Health and Novo Nordisk in late April said they were collaborating to offer weight-loss treatments, including access to Wegovy along with other services to treat obesity. Under the joint venture, Hims & Hers was able to dispense all doses of Wegovy to Americans who buy eligible subscriptions, and consumers could use NovoCare Pharmacy through Hims & Hers's platform.

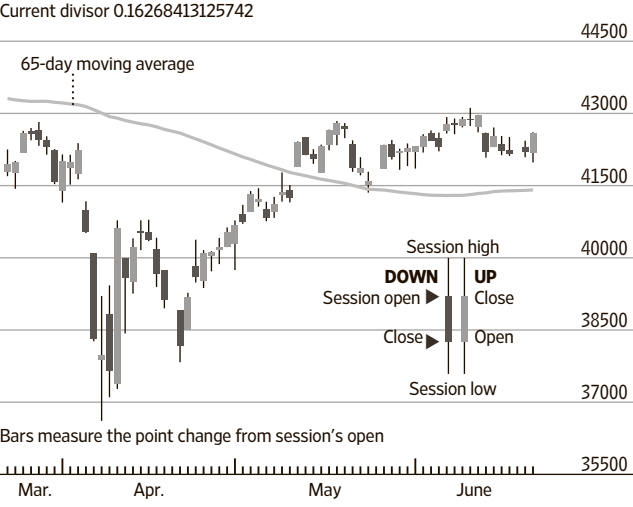
MARKETS DIGEST

EQUITIES

Dow Jones Industrial Average

42581.78 ▲374.96, or 0.89%
High, low, open and close for each trading day of the past three months.

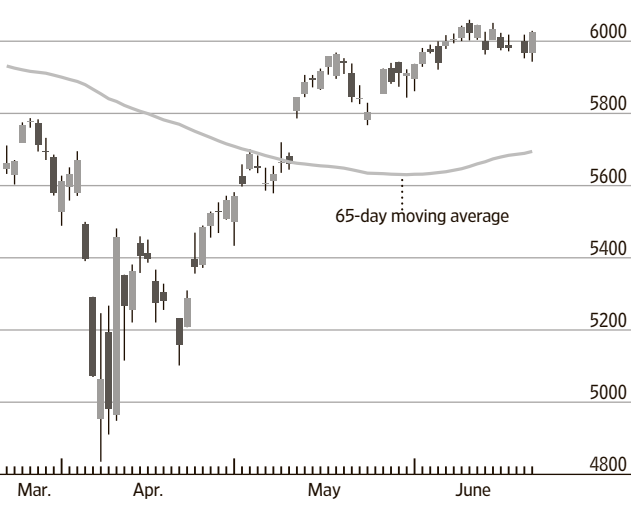
Trailing P/E ratio	24.07	27.35
P/E estimate *	20.28	18.96
Dividend yield	1.70	2.14
All-time high	45014.04, 12/04/24	



S&P 500 Index

6025.17 ▲57.33, or 0.96%
High, low, open and close for each trading day of the past three months.

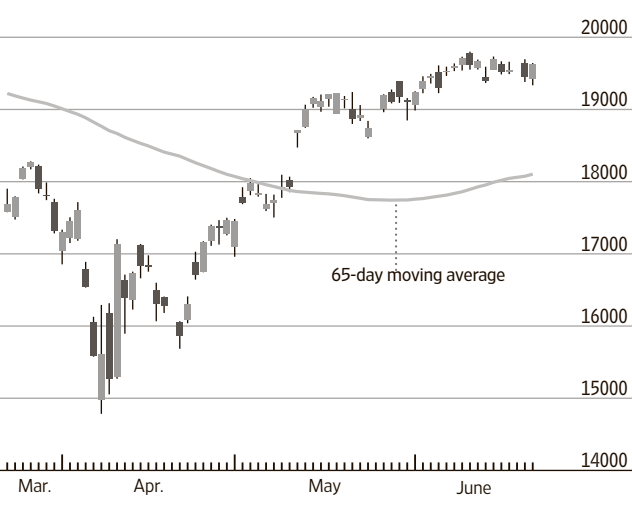
Trailing P/E ratio *	24.99	24.01
P/E estimate *	22.75	22.27
Dividend yield *	1.32	1.34
All-time high	6144.15, 02/19/25	



Nasdaq Composite Index

19630.97 ▲183.56, or 0.94%
High, low, open and close for each trading day of the past three months.

Trailing P/E ratio **	30.72	31.89
P/E estimate **	28.58	28.97
Dividend yield **	0.72	0.78
All-time high	20173.89, 12/16/24	



Major U.S. Stock-Market Indexes

	High	Low	Latest Close	Net chg	% chg	High	52-Week Low	% chg	YTD	% chg 3-yr. ann.
Dow Jones										
Industrial Average	42609.47	41981.14	42581.78	374.96	0.89	45014.04	37645.59	8.0	0.1	11.5
Transportation Avg	15100.64	14678.70	15097.10	332.30	2.25	17754.38	12637.04	-0.9	-5.0	5.0
Utility Average	1051.97	1040.80	1051.49	13.88	1.34	1079.88	898.82	14.0	7.0	4.0
Total Stock Market	59594.19	58706.16	59560.62	558.22	0.95	61024.05	49067.76	10.8	2.0	16.0
Barron's 400	1284.52	1261.67	1284.47	13.17	1.04	1356.99	1058.38	13.1	2.6	14.4
Nasdaq Stock Market										
Nasdaq Composite	19643.70	19334.98	19630.97	183.56	0.94	20173.89	15267.91	12.2	1.7	20.5
Nasdaq-100	21871.87	21532.32	21856.33	229.94	1.06	22175.60	17090.40	12.2	4.0	23.2
S&P										
500 Index	6028.77	5943.23	6025.17	57.33	0.96	6144.15	4982.77	10.6	2.4	16.7
MidCap 400	3052.39	2996.49	3050.55	25.37	0.84	3390.26	2560.93	3.4	-2.3	10.6
SmallCap 600	1312.76	1284.93	1312.48	15.78	1.22	1544.66	1106.12	1.7	-6.8	5.5
Other Indexes										
Russell 2000	2133.36	2088.07	2132.68	23.42	1.11	2442.03	1760.71	5.0	-4.4	7.6
NYSE Composite	20017.11	19765.42	20008.18	139.82	0.70	20272.04	17188.46	10.4	4.8	11.6
Value Line	589.36	579.89	589.26	5.06	0.87	656.04	495.50	0.6	-3.6	3.9
NYSE Arca Biotech	5575.41	5456.91	5524.32	-2.01	-0.04	6318.63	5060.12	2.8	-3.9	5.9
NYSE Arca Pharma	923.09	911.22	919.22	1.59	0.17	1140.17	860.88	-14.2	-1.6	3.7
KBW Bank	133.72	130.40	133.62	2.25	1.71	140.59	102.02	29.0	4.8	9.9
PHLX ^S Gold/Silver	210.59	204.92	207.78	2.84	1.38	210.81	136.20	50.3	51.5	21.5
PHLX ^S Oil Service	61.75	58.51	58.65	-2.73	-4.44	92.31	50.70	-30.5	-19.2	-2.0
PHLX ^S Semiconductor	5267.42	5140.38	5244.30	32.82	0.63	5904.54	3562.94	-2.4	5.3	26.3
Cboe Volatility	22.51	19.82	19.83	-0.79	-3.83	52.33	12.03	48.8	14.3	-12.0

^SNasdaq PHLX Sources: FactSet; Dow Jones Market Data

Late Trading

Most-active and biggest movers among NYSE, NYSE Arca, NYSE Amer. and Nasdaq issues from 4 p.m. to 6 p.m. ET as reported by electronic trading services, securities dealers and regional exchanges. Minimum share price of \$2 and minimum after-hours volume of 50,000 shares.

Most-active issues in late trading

Company	Symbol	Volume (000)	Last	Net chg	After-Hours % chg	High	Low
Schwab Intl Equity	SCHF	17,381.2	21.46	-0.17	-0.78	21.83	21.45
API Group	APG	13,418.0	50.87	0.03	0.06	53.30	50.58
Schwab U.S. TIPs	SCHP	12,560.2	26.62	0.10	0.38	26.62	26.50
SPDR Portfolio LT Trea	SPTL	12,136.0	26.35	0.16	0.61	26.35	26.17
Comcast Cl A	CMCSA	11,283.8	34.63	0.04	0.12	34.70	34.59
Cisco Systems	CSCO	10,221.6	67.41	0.03	0.04	67.50	67.31
Direxion TSLA Bull 2X	TSLL	9,585.1	14.39	...	unch.	14.56	14.00
Intel	INTC	7,409.3	21.16	-0.04	-0.17	21.21	21.11
Percentage gainers...							
Marsh & McLennan	MMC	65.8	230.06	10.95	5.00	233.76	217.51
MakeMyTrip	MMYT	287.7	96.08	4.57	4.99	96.08	90.80
Open Lending Cl A	LPRO	76.6	2.04	0.09	4.62	2.04	1.90
Teladoc Health	TDHC	568.4	8.25	0.36	4.56	8.28	7.88
Zeta Global Holdings	ZETA	450.0	17.50	0.69	4.10	17.55	16.70
...And losers							
Maase	MAAS	727.7	8.31	-1.62	-16.31	17.38	7.20
TMD Energy	TMDE	226.1	2.05	-0.26	-11.26	2.35	2.05
Indonesia Energy	INDO	734.4	4.56	-0.31	-6.37	4.93	4.21
Rush Street Interactive	RSI	86.5	13.46	-0.70	-4.94	14.21	13.46
Claros Mortgage Trust	CMTG	121.7	2.94	-0.15	-4.85	3.09	2.94

Trading Diary

Volume, Advancers, Decliners	NYSE	NYSE Amer.
Total volume*	1,272,740,920	38,399,438
Adv. volume*	785,396,534	26,868,498
Decl. volume*	478,519,676	11,419,717
Issues traded	2,850	299
Advances	1,874	155
Declines	904	133
Unchanged	72	11
New highs	62	12
New lows	49	6
Closing Arms ¹	1.37	0.24
Block trades ²	5,863	330
		Nasdaq NYSE Arca
Total volume*	9,088,000,280	431,961,046
Adv. volume*	5,727,506,270	303,489,339
Decl. volume*	3,256,585,595	123,337,630
Issues traded	4,662	2,286
Advances	2,611	1,928
Declines	1,903	335
Unchanged	148	23
New highs	143	38
New lows	139	19
Closing Arms ¹	0.78	2.59
Block trades ²	68,315	1,833

*Primary market NYSE, NYSE American, NYSE Arca only.
¹(TRIN) A comparison of the number of advancing and declining issues with the volume of shares rising and falling. An Arms of less than 1 indicates buying demand; above 1 indicates selling pressure.

International Stock Indexes

Region/Country	Index	Close	Net chg	Latest % chg	YTD % chg
World	MSCI ACWI	890.10	4.34	0.49	5.8
	MSCI ACWI ex-USA	366.22	-1.21	-0.33	12.4
	MSCI World	3905.86	24.17	0.62	5.3
	MSCI Emerging Markets	1182.25	-7.60	-0.64	9.9
	MSCI AC Americas	2279.85	20.51	0.91	3.1
Canada	S&P/TSX Comp	26609.36	111.79	0.42	7.6
Latin Amer.	MSCI EM Latin America	2252.24	-12.32	-0.54	21.6
Brazil	Bovespa	136550.50	-565.33	-0.41	13.5
Chile	S&P IPSA	4181.79	-24.88	-0.59	15.7
Mexico	S&P/BMV IPC	56097.71	-166.98	-0.30	13.3
EMEA	STOXX Europe 600	535.03	-1.50	-0.28	5.4
	Euro STOXX	551.42	-1.39	-0.25	9.1
	Bel-20	4441.98	2.45	0.06	4.2
	OMX Copenhagen 20	1762.62	-57.95	-3.18	-16.2
	CAC 40	7537.57	-52.09	-0.69	2.1
	DAX	23269.01	-81.54	-0.35	16.9
	FTSE 100	7537.57	-52.09	-0.69	16.9
	Tel Aviv	2840.76	-37.02	-1.29	18.6
	FTSE MIB	38840.51	-390.84	-1.00	13.6
	AEX	916.79	8.27	0.91	4.3
	Oslo Bors All-Share	1886.97	-11.53	-0.61	14.7
	FTSE/JSE All-Share	95128.20	417.72	0.44	13.1
	IBEX 35	13839.40	-10.90	-0.08	19.4
	OMX Stockholm	926.04	-3.57	-0.38	-3.0
	Swiss Market	11854.96	-16.36	-0.14	2.2
Turkey	BIST 100	9141.31	-62.06	-0.67	-7.0
U.K.	FTSE 100	7537.57	-52.09	-0.69	16.9
U.K.	FTSE 250	21120.95	-27.55	-0.13	2.4
Asia-Pacific	MSCI AC Asia Pacific	196.05	-1.48	-0.75	7.9
	S&P/ASX 200	8474.90	-30.58	-0.36	3.9
	Shanghai Composite	3381.58	21.69	0.65	0.9
	Hang Seng	23689.13	158.65	0.67	18.1
	BSE Sensex	81896.79	-511.38	-0.62	4.8
	NIKKEI 225	38354.09	-49.14	-0.13	-3.9
	Straits Times	3879.26	-4.17	-0.11	2.4
	KOSPI	3014.47	-7.37	-0.24	25.6
	TAIEX	21732.02	-313.72	-1.42	-5.7
	SET	1062.78	-4.85	-0.45	-24.1

Sources: FactSet; Dow Jones Market Data

Percentage Gainers...

Company	Symbol	Close	Net chg	% chg	High	Low	% chg
Cidara Therapeutics	CDTX	44.95	23.93	113.84	45.39	10.14	298.1
Geospace Technologies	GEOS	18.40	6.91	60.14	18.50	5.51	112.7
SpartanNash	SPTN	26.57	8.93	50.62	26.65	17.30	41.9
Limnatus Pharma	LIMN	20.00	5.57	38.60	26.68	4.40	72.7
Skye Bioscience	SKYE	2.87	0.71	32.87	8.44	1.14	-65.8
MIND Technology	MIND	8.64	2.05	31.11	11.10	3.05	104.7
Eyenovia	EYEN	5.48	1.27	30.17	124.80	0.85	-89.7
mF International	MFI	5.04	1.14	29.23	5.28	0.51	447.8
CID HoldCo	DAIC	36.50	7.89	27.58	75.00	2.03	241.1
VCI Global	VCIG	2.79	0.59	26.82	672.18	2.19	-99.5
Interlink Electronics	LINK	5.65	1.16	25.84	10.90	3.25	39.2
Houston American Energy	HUSA	18.54	3.74	25.27	32.00	3.85	48.3
Concorde Intl	CIGL	8.09	1.50	22.76	8.80	3.63	...
CorMedix	CRMD	16.56	2.95	21.68	17.43	3.61	289.6
Tecogen	TGEN	7.42	1.29	21.04	7.54	0.65	916.4

Most Active Stocks

Company	Symbol	Volume (000)	% chg from 65-day avg	Latest Session % chg	52-Week High	52-Week Low
Healthcare Triangle	HCTI	537,195	131.8	0.03	3.33	1.90
Impact BioMedical	IBO	423,168	4522.6	1.61	344.63	6.17
Crown LNG Holdings	CGBS	389,244	1079.0	0.11	20.13	10.50
Indaptus Therapeutics	INDP	364,426	83722.0	0.50	85.12	2.42
Direxion TSLA Bull 2X	TSLL	346,297	57.5	14.39	16.42	41.50
Greenlane Holdings	GNLN	256,836	-7.8	0.01	2.30	21.80
ECDA Automotive Design	ECDA	223,852	7490.2	0.35	11.82	1.45
Denison Mines	DNN	208,585	108.0	1.75	0.57	2.47
BigBear.ai	BBAI	193,555	157.9	4.18	4.50	10.36
Tesla	TSLA	186,698	48.8	348.68	8.23	488.54

* Volumes of 100,000 shares or more are rounded to the nearest thousand

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Percentage Losers

Company	Symbol	— Latest Session —			— 52-Week —		
		Close	Net chg	% chg	High	Low	% chg
Defiance Tgt 2X Lg HIMS	HIMZ	15.81	-34.83	-68.78	57.00	9.00	...
S&W Seed	SANW	2.27	-3.09	-57.65	11.60	1.99	-56.6
COMPASS Pathways ADR	CMPS	2.35	-2.28	-49.24	8.54	2.25	-62.6
Next Technology Holding	NXTT	2.14	-1.30	-37.79	6.00	0.22	-57.3
Regenell Bioscience	RGC	23.70	-14.31	-37.65	83.60	0.08	26216.4
Hims & Hers Health	HIMS	41.98	-22.24	-34.63	72.98	13.47	89.5
Quantum BioPharma	QNTM	23.01	-11.99	-34.26	38.25	2.70	92.2
Innovative Eyewear	LUCY	2.49	-1.04	-29.46	13.20	1.57	-63.3
Kazia Therapeutics ADR	KZIA	6.77	-2.38	-26.01	79.00	2.86	-40.1
Know Labs	KNW	2.69	-0.90	-25.07	23.94	0.33	-86.1
Fractyl Health	GUTS	1.61	-0.53	-24.77	5.00	0.87	-66.2
KWESST Micro Systems	KWE	9.30	-2.95	-24.08	116.99	3.86	-90.4
Columbus Circle Capital I	CCCM	11.99	-3.77	-23.92	16.25	10.10	...
CERO Therapeutics	CERO	8.16	-2.52	-23.60	895.40	6.71	-98.8
Reliance Global Group	RELI	1.90	-0.57	-23.08	9.69	0.97	-75.2

HEARD_{ON THE} STREET

FINANCIAL ANALYSIS & COMMENTARY

Iran Has an Oil Card—So Does the U.S.

America’s production revolution blunts dreaded chaos that could come from Iranian closure of Strait of Hormuz

With oil markets roiled after the U.S. decision to bomb Iran, investors are quickly analyzing the nightmare scenario: an Iranian closure of the Strait of Hormuz, the world’s main energy shipping artery. Oil prices could hit triple digits in that event.

But it would be a Pyrrhic victory for Iran, itself a major exporter, and would likely draw the U.S. further into the conflict in more than just military ways.

That is because the U.S. has a secret weapon as Middle East tensions soar—fracking.

Whatever went through President Trump’s mind when deciding whether to bomb Iran’s nuclear infrastructure, the economic calculus was made easier by the massive growth in America’s energy output. It greatly eases the sting of a broader conflict for consumers and investors.

Back in 1977, just before the Iranian Revolution began and planted the seeds of the Second Oil Crisis, the U.S. had net imports of about 3.1 billion barrels of petroleum and refined products or 14 barrels per person.

That per capita number was unchanged as recently as 2003 at the time of the Iraq war. The U.S. also was a significant importer of natural gas in both of those years.

Today, because of hydraulic fracturing, the U.S. has net exports of about 2.5 barrels per capita and is also the world’s largest seller of liquefied natural gas. The technology isn’t new, but improvements in the past 15 years have been transformational.

The other thing about fracking that makes the U.S., and by extension the world, more resilient to any steps Iran could take to choke off the supply of oil and gas is its unique economics. An old saying among commodity traders is that “it takes high prices to cure high prices.”

While more expensive and labor-intensive than a well drilled in the Middle East, shale is a proven resource that can be



Because of hydraulic fracturing, the U.S. has net exports of about 2.5 barrels per capita. A Chevron site near Midland, Texas.

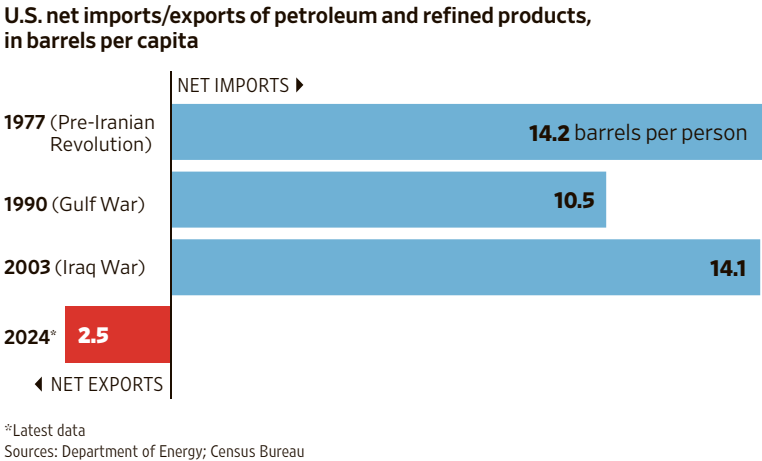
brought online in months, not years.

And, in contrast to a conventional field, much of a shale well’s oil and gas is produced soon after it is completed.

That quick increase and steep decline rate is a double-edged sword, contributing to past booms and busts. But the industry has become more concentrated and disciplined.

Consider that, just as a result of sufficient but not astronomical prices, U.S. oil production rose by 4.2 million barrels a day between a slump in 2016 and the end of 2019. That is more oil than Iran produces in total and about 80% more than it exports.

While a quick reversal of a recent slowdown in shale-patch activity could blunt the blow of



conflict in the strait, it wouldn’t immediately offset it.

As RBC’s head of global commodity strategy, Helima Croft, points out, Iran’s response needn’t be a “full-closure or nothing scenario” of the strait.

It also could attack onshore fa-

cilities in neighboring countries. The U.S. believes Iran was behind damage to a vital Saudi processing hub in 2019, for example.

Not surprisingly, there has been renewed investor interest in U.S. based oil-and-gas exploration stocks.

Including premarket moves Monday, a basket of them has rallied by about 9% since the U.S. ordered diplomatic staff to leave the region earlier this month. That was shortly before Israel launched a surprise attack on Iran’s nuclear and military infrastructure.

That already prices in a good deal of anxiety. Those companies’ most impressive impact on the stock market may be to keep panic at bay for the broader economy.

—Spencer Jakab

MARKETS

Frackers Won’t Drill More

Continued from page B1

mand forces, not the government, dictate whether they bring new wells online. Oil executives say there is too much noise for them to make any hasty decisions—and that a fundamental imbalance in oil markets justifies staying put.

“This is a bubble,” Steven Pruett, chief executive of Midland, Texas, based Elevation Resources, said of last week’s rally, which saw crude prices top \$73 a barrel.

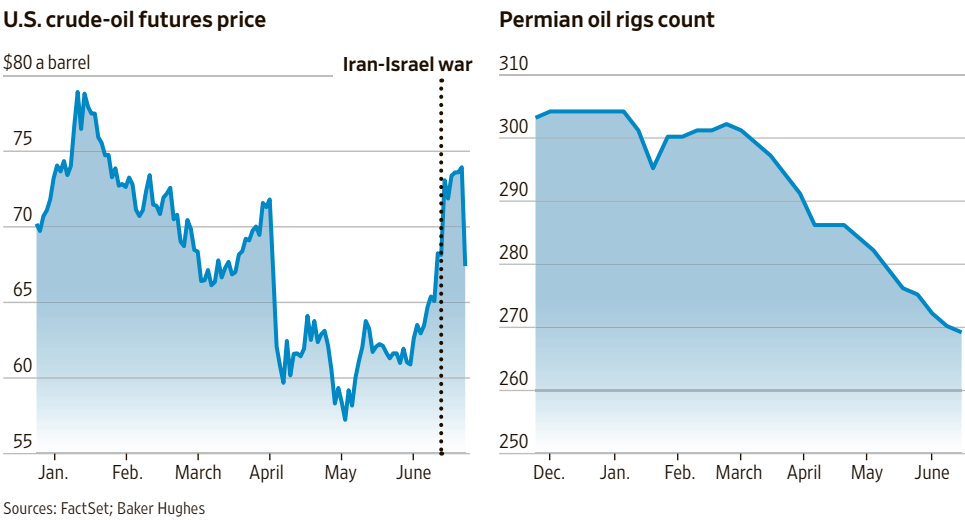
Because the Organization of the Petroleum Exporting Countries and its allies have increased output, crude executives say consumers now have more crude than they need. That puts a fundamental damper on prices. They expected the recent rally in oil prices, which saw the U.S. benchmark cross the \$70 mark, would be short lived.

A few hours after Trump made his call, they appeared vindicated.

U.S. oil prices tumbled after traders read Iran’s targeting of a U.S. military base in Qatar as a sign that its retaliation for U.S. strikes might spare energy infrastructure and oil tankers. Prices settled down 7.2% at \$68.51 a barrel, less than \$1 higher than they were before Israel struck Iran.

The past few months have been a roller coaster for the oil-and-gas industry. U.S. oil prices started the year at around \$73 a barrel, dropped to \$57 in May and rebounded again to \$73 last week.

The volatility maelstrom is the opposite of the relative predictability that disciplined shale drillers need to make



Producers have shed oil rigs and sent crews home.

billion-dollar investment decisions.

Bryan Sheffield, a West Texas driller, noted that large Permian companies announced their 2025 drilling plans to shareholders last fall, only to amend them in April when U.S. oil prices slipped under \$60 a barrel.

“It’s never fun to adjust the first time to your investors,” he said.

Trump’s tariffs helped bring about some of the lowest crude prices since the Covid-19 pandemic. The World Bank recently said that because of the flurry of new levies, the global economy is set for a significant slowdown.

Large drillers including Permian producer **Diamondback Energy** and **EOG Re-**

sources say they will be cutting spending this year. As of last week, the number of active oil rigs in the Permian was the lowest it had been since the end of 2021, according to Baker Hughes data.

As a result of the falloff in drilling, the U.S. Energy Information Administration forecasts U.S. crude oil production will decline from an record of 13.5 million barrels a day in the second quarter of this year to about 13.3 million barrels a day by the end of 2026.

Diamondback said last month that it would need to see oil prices consistently above \$65 a barrel for the company to ramp up activity and potentially expand production.

But the producer is in a

better position than most of its peers. Thanks to recent acquisitions, it has some of the deepest inventory of wells in the Permian, the largest oil field in the U.S. Other competitors suffering from a lack of premium spots would likely need to see higher oil prices to drill through their best remaining wells.

“The guys aren’t going to waste their good inventory on low prices,” said Taylor Sell, CEO of Midland-based Element Petroleum.

Plus, companies are navigating steep tariffs on steel and aluminum that make drilling wells more onerous. Diamondback told investors that the cost of well casing had increased by more than 10% during the first quarter due to tariffs.

One scenario that could potentially see U.S. drillers add new rigs is if Iran made good on his threat to block the Strait of Hormuz. Closing the artery, which handles roughly 20% of the world’s petroleum, would likely push oil prices above \$100 a barrel, analysts say.

But even then, public drillers that have embraced capital discipline would likely have to see weeks of elevated prices before they tweaked their plans again, executives say.

Carlyle Inks Deal With Natural-Gas Producer

By ISAAC TAYLOR AND LUIS GARCIA

Carlyle Group joined with natural-gas producer **Diversified Energy** Co. to invest as much as \$2 billion in mature oil-and-gas fields, as the private-equity firm seeks to capitalize on rising demand for energy by backing assets that generate steady cash flow.

Investing alongside Carlyle will make it easier for the publicly traded company to acquire natural-gas and oil fields across the U.S., said Akhil Bansal, head of asset-backed finance in Carlyle’s global credit group.

Increased emphasis on energy security by governments, combined with rising demand for electricity to power artificial-intelligence systems, was one of the deal drivers, he said.

“Just from a macro perspective, we think it bodes well for investing in mature, producing energy assets,” Bansal said. “We think that a partnership between Diversified and Carlyle can deliver the expertise, certainty of financing and scale of capital required to acquire those assets.”

Carlyle will offer investors various tranches of securitized notes backed by the cash flows generated from the producing wells in the acquired oil and gas assets. Investors in the more senior note tranches typically get lower returns in exchange for the reduced risk associated with those notes. Carlyle has invested in securi-

ties backed by Diversified Energy’s oil-and-gas assets in the past, but saw in the latest deal an opportunity to boost the company’s acquisition efforts in an increasingly consolidated U.S. oil-and-gas sector, Bansal said.

Carlyle’s asset-backed finance team is embedded within the firm’s global credit arm, which focuses on private fixed-income and asset-backed investments. The asset-backed finance team has deployed roughly \$8 billion since 2021 and had \$9 billion in assets under management as of March. Carlyle as a whole oversees \$453 billion of assets.

Carlyle’s asset-backed financing will provide Diversified Energy with a more attractive pool of capital for acquisitions compared with issuing stock, said Rusty Hutson, Diversified’s chief executive. Diversified sees opportunities in the noncore assets that large energy producers are shedding following a wave of multibillion-dollar mergers and acquisitions in the U.S. oil-and-gas sector during the past few years, he said. It’s also looking at the private-equity-backed companies that sponsors are eager to sell after an extended period of subdued asset sales in the sector, he added. Diversified in March acquired West Texas operator Maverick Natural Resources from private-equity firm EIG Global Energy Partners. The roughly \$1.3 billion deal was partially financed with stock.

\$2B

Amount the private-credit arm will invest to capitalize on rising energy demand.

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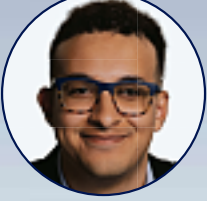
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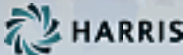


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